



Advancing Partnerships Between Private Sector and Development Actors in Africa

**Translating social-impact opportunities into scalable and
investable partnership pathways across Sub-Saharan Africa**

Main playbook

Developed in partnership
with:

FUTURE AFRICA
Consulting



How to Use This Playbook and Companion Resources

This Playbook is part of a wider suite of resources designed to help development actors, private-sector partners, financiers, public institutions, CSOs, and ecosystem intermediaries translate social-impact opportunities into scalable, investable, and legitimate partnership pathways.

Each deliverable serves a distinct purpose:

- The **Executive Summary/Briefing** provides the high-level strategic narrative. It is intended for senior readers who need a concise overview of the core argument, the value of private-sector collaboration, the concept of deployability, and the relevance of this work to broader African priorities around capital, markets, systems change, localization, and African ownership.
- This **Playbook** provides the core framework. It explains the diagnostic logic, partnership models, actor roles, capital sequencing, trade-offs, systems considerations, and implementation conditions required to move from social-impact activity to deployable partnership pathways.
- The **Toolkit** provides the practical application layer. It contains the diagnostics, scorecards, worksheets, templates, and decision tools that readers can use to assess readiness, prioritize constraints, select models, assign roles, structure capital, and monitor outcomes.
- The **Case Study Compendium** provides the evidence and examples layer. It contains detailed case analysis, including actor roles, financing structures, payer and revenue logic, risk-mitigation approaches, coordination mechanisms, implementation lessons, and factors that enabled or constrained scale.

Readers can use the resources depending on their needs:

- For the **senior-level narrative**, start with the **Executive Summary/Briefing**.
- For the **full framework and strategic guidance**, use this **Playbook**.
- For **diagnostics, checklists, scorecards, and templates**, use the **Toolkit**.
- For **detailed case evidence and practical examples**, use the **Case Study Compendium**.

Together, these resources are intended to provide a coherent pathway from strategic framing to practical application: the Executive Summary explains the case for action, the Playbook sets out the framework, the Toolkit supports implementation, and the Case Study Compendium grounds the approach in real examples.

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Foundations

**Orientation, shared definitions,
evidence base**

Partnerships between development actors and the private sector often underperform not because opportunity is absent, nor because social impact is too weak, nor even because capital does not exist. They underperform because promising development activities are rarely translated into forms that private-sector actors, financiers, governments, and implementing institutions can assess, structure, finance, scale, and repeat.

Across Sub-Saharan Africa, development actors are already doing much of the hard work that makes markets possible. Civil Society Organizations (CSOs), foundations, donors, and implementing partners often operate where formal markets are thin, public systems are constrained, and private firms face high uncertainty. They identify needs, build trust, organize communities, validate demand, test delivery models, strengthen local capacity, and generate evidence about what works.

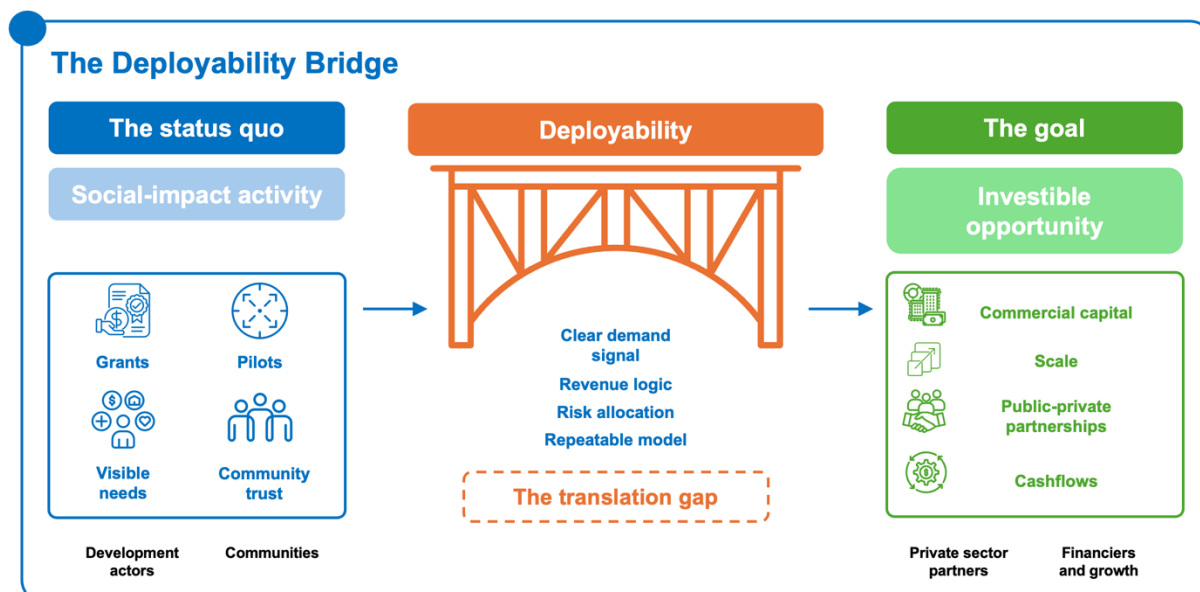
1.1 Why Private-Sector Collaboration Matters

Private-sector collaboration matters because many development challenges are not only problems of need or intent; they are also problems of delivery, scale, continuity, and market structure. Where it is well structured, collaboration with private-sector actors can help extend services to more people, improve delivery efficiency, introduce innovation, strengthen supply chains, mobilize additional forms of capital, and support local enterprise growth.

It can also help create more durable markets and value chains, reduce long-term dependence on grant funding where appropriate, and improve the continuity of services beyond project cycles. This is especially relevant in sectors where development outcomes depend not only on funding, but on reliable providers, credible purchasers, functioning delivery systems, and coordinated value chains.

However, private-sector collaboration is not automatically beneficial. It should not be treated as a default solution, nor as a substitute for public responsibility, grant funding, or community-led approaches. Its value depends on whether participation improves delivery, sustainability, affordability, accountability, or wider system performance.

Figure 1: From grants and pilots to cash flows and scale - bridging the “translation gap” into investable opportunity.



This is why the Playbook focuses on deployability: the practical conditions that allow private-sector participation, capital, and institutional commitment to enter a partnership opportunity with confidence.

Despite this potential, many development activities still remain framed as programs, pilots, grants, or social-impact interventions. They may produce strong development outcomes, but they do not automatically become investable or scalable partnership pathways. The missing step is translation: from impact activity to structured opportunity; from visible need to bankable demand; from program delivery to repeatable operating model; from stakeholder alignment to defined roles, risks, incentives, and payment flows.

This Playbook starts from a simple proposition: **the binding constraint is often not capital scarcity, but deployability.**

1.2 What is Deployability

Deployability refers to the conditions that allow capital, institutional commitment, and private-sector participation to move into a partnership opportunity with confidence. A deployable opportunity has more than impact potential. It has a clear demand signal, a credible payer or revenue logic, an operational delivery model, an appropriate allocation of risk, sufficient preparation, accountable institutions, and a pathway to replication.

This is especially important in sectors such as food and agriculture, energy, and health, where social need is high but partnership pathways are frequently under-structured. The issue is not whether these sectors matter. It is whether the opportunity has been organized in a way that allows different actors to participate sustainably.

This Playbook is therefore not another general framework on why partnerships matter. It is a practical guide for helping development actors build on existing social-impact and delivery efforts to unlock sustainable market participation, scalable partnerships, and long-term operational viability.



The central question is:

What must be true for existing social-impact activity to become an investable, scalable, repeatable, and legitimate partnership pathway?

1.3 Who this Playbook is for and how to use it

This Playbook is written primarily for CSOs, foundations, donors, and development actors seeking to understand how their work can create the conditions for sustainable private-sector participation and scalable partnership models.

It is also intended for the wider ecosystem of actors that shape whether partnership opportunities move from concept to execution: governments, PPP units, development finance institutions, investors, banks, intermediaries, SMEs, and institutional strategy leaders.

The Playbook should be read alongside the companion Executive Summary / Briefing, Toolkit, and Case Study Compendium. The Executive Summary provides the high-level strategic narrative; the Playbook develops the full framework and model logic; the Toolkit supports practical application through diagnostics, scorecards, worksheets, and templates; and the Case Study Compendium provides detailed evidence, examples, financing structures, actor roles, and lessons from implementation.

For CSOs and development actors, the Playbook helps answer questions such as:

- How can existing social-impact activities evolve into scalable partnership opportunities?
- What makes private-sector participation viable in a context where trust, affordability, infrastructure, or payment systems may be weak?
- What operational, financing, legitimacy, or coordination gaps prevent scale?
- How can community trust, delivery knowledge, and validated demand be translated into stronger partnership design?
- When should a development actor fund, convene, de-risk, aggregate, operate, monitor, or exit?

For foundations, donors, and DFIs, the Playbook offers a way to identify where catalytic support is most useful. In some cases, the constraint may be project preparation. In others, it may be demand aggregation, payment credibility, guarantee coverage, working capital, procurement readiness, community legitimacy, or enabling systems. The Playbook helps distinguish between these constraints so that grants, technical assistance, guarantees, and concessional capital are used to unlock execution rather than sustain perpetual pilot activity.

For governments and PPP units, the Playbook provides a lens for assessing whether development-led initiatives can become credible, fiscally manageable, procurement-ready, and scalable partnership pipelines. It asks whether payment commitments are realistic, whether risks are properly allocated, whether preparation is sufficient, and whether delivery systems can support implementation beyond a single project.

For investors, banks, SMEs, and intermediaries, the Playbook clarifies whether existing development activity has created the conditions for sustainable market entry. It focuses attention on practical questions: Who pays? What demand has been validated? What risks remain uncovered? Can the model be standardized? Can it be repeated? Can it generate reliable cash flows or justify blended, catalytic, or concessional finance?

For Chief Strategy Officers and strategy leaders, the Playbook is a tool for role selection. It helps institutions decide whether they should fund, convene, de-risk, aggregate, advocate, operate, build an ecosystem, or step back. This matters because many partnership efforts fail not only because the model is weak, but because institutions enter with unclear roles, mismatched incentives, or insufficient commitment to execution.

The Playbook should be used sequentially, but not rigidly.

- **Parts I–III** establish the thesis, shared language, and evidence base.
- **Parts IV–VI** diagnose why partnerships stall and what systems must be in place.
- **Part VII** helps users select the appropriate model and institutional role.
- **Parts VIII–X** present three partnership models.
- **Parts XI–XII** translate the models across sectors and country contexts.
- **Parts XIII–XIV** introduce the practical tools, companion Toolkit resources, and metrics for execution, monitoring, and learning.
- **Part XV** synthesizes the overall proposition.

The intended use is practical: to move from ambition to structure, and from structure to execution.

1.4 The language gap as a structuring problem

One reason development-private sector partnerships stall is that different actors often describe the same opportunity in different languages.

Development actors may speak in terms of beneficiaries, needs, impact, inclusion, theory of change, community trust, and program sustainability. Private-sector actors and financiers may ask about clients, revenue, margins, repayment, risk, return, cash flow, offtake, guarantees, and scale. Governments may focus on policy alignment, fiscal exposure, procurement, public value, accountability, and political feasibility.

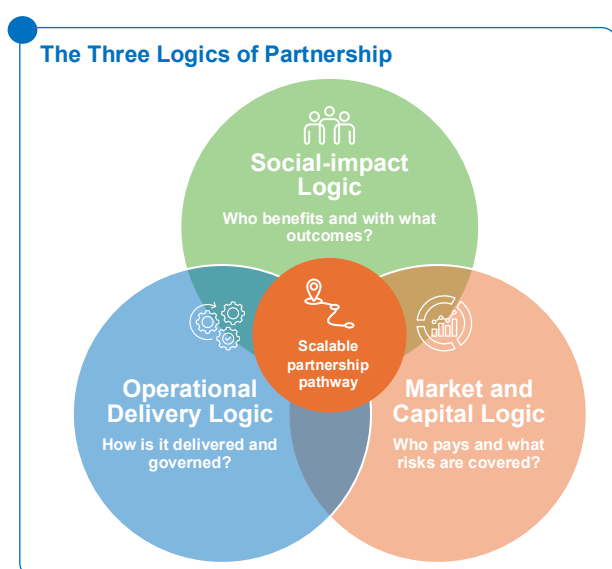
These languages are not incompatible. In fact, strong partnerships often require all of them. But when they are not translated into a common operating logic, promising opportunities remain stuck between worlds.

A program may have beneficiaries but no clearly defined customer or payer. It may demonstrate social need but not bankable demand. It may generate impact but lack a revenue or reimbursement mechanism. It may have a compelling theory of change but no capital deployment pathway. It may build community trust but fail to convert that trust into adoption, payment reliability, provider performance, or long-term delivery continuity.

The language gap is therefore not a communications problem alone. It is a structuring problem.

If an opportunity cannot explain who benefits, who pays, who delivers, who bears which risks, what makes the model sustainable, and how it can be repeated, it will struggle to attract durable private-sector participation. It may still be valuable. It may still deserve grant funding. But it will not yet be structured as a scalable partnership pathway.

Figure 2: Align the three logics – impact, delivery, and capital - to unlock a scalable partnership pathway.



This Playbook acts as a translation tool between three logics:

- 1. Social-impact logic**
What problem is being solved, for whom, with what intended outcomes?
- 2. Operational delivery logic**
How is the service, product, infrastructure, or intervention delivered, verified, governed, and maintained?
- 3. Market and capital logic**
Who pays, what risks are covered, what cash flows exist, what capital is required, and what makes the opportunity repeatable?

The aim is not to force every development activity into a commercial model. Some

activities will remain appropriately grant-funded or publicly financed. The aim is to identify where social-impact activity has created conditions that can support sustainable market participation, and where additional structuring is needed before private-sector capital, capability, or delivery capacity can enter credibly.

1.5 From social impact to investable opportunity

Existing social-impact and development activities can create real value for partnership formation. They can reveal demand, reduce information gaps, build community trust, test delivery models, identify capable local actors, strengthen accountability, and surface risks before capital is committed.

These are not peripheral contributions. They are often the foundation of investability.

In difficult markets, private-sector participation rarely begins with a fully formed commercial opportunity. It often begins with fragmented evidence: a community that trusts a delivery partner; a set of users whose needs and behaviors are understood; a pilot that shows adoption; a donor-funded program that reveals willingness to pay or ability to pay through a third party; a local SME network that could scale if working capital and standards were in place; or a public purchaser that could become credible if payment and verification systems were strengthened.

The task is to convert this evidence into a structured pathway.

That requires asking a set of translation questions early, not after a partnership has already been designed:

Who benefits?

The first question is not only who needs the intervention, but who uses it, values it, depends on it, or gains from its continued delivery. Beneficiaries may be individuals, households, patients, farmers, schools, clinics, SMEs, public agencies, or communities. Understanding who benefits helps define the social case for partnership, but it does not yet define the commercial or operational model.

Who pays?

A partnership pathway must identify the payer, purchaser, reimbursor, offtaker, or revenue source. The person who benefits may not be the person who pays. Payment may come from users, governments, insurers, buyers, utilities, donors, blended-finance vehicles, aggregators, or anchor institutions. Without a credible payment logic, demand remains visible but not bankable.

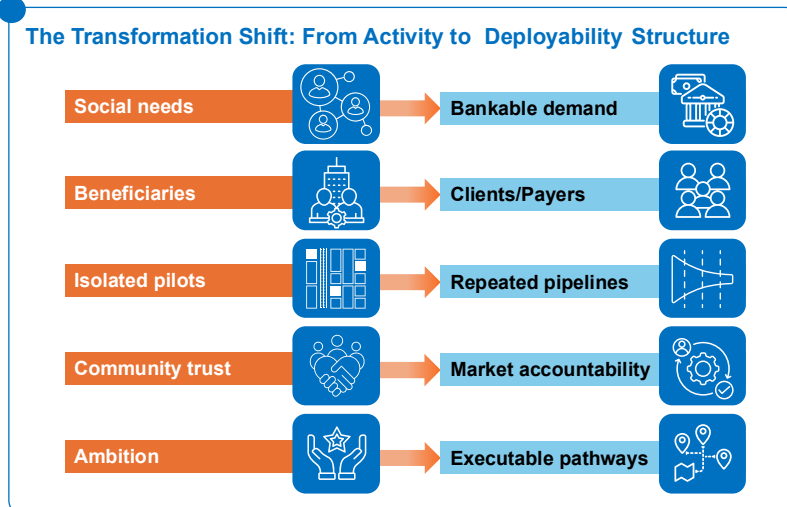
What risk blocks capital?

Figure 3: Shift from activity to deployability: turning needs, pilots, and trust into bankable demand, repeatable pipelines, and executable pathways.

Capital is often available in principle but not deployable in practice because specific risks remain unresolved. These may include demand risk, payment risk, political risk, currency risk, procurement risk, construction risk, performance risk, community acceptance risk, or data reliability risk. Different risks require different instruments: preparation funding, guarantees, first-loss capital, working capital, standard contracts, verification systems, or stronger accountability mechanisms.

What makes the model operationally and commercially sustainable?

A partnership must be able to function beyond initial grant support or pilot funding. This means testing whether the operating model has reliable delivery capacity, clear standards,



sufficient margins or cost recovery, credible governance, accountable actors, and a realistic pathway to institutional ownership. Sustainability is not only financial; it is operational, political, social, and institutional.

How does the model repeat?

Scale depends on repeatability. A partnership that works once because of exceptional relationships, bespoke donor support, or unusually favorable conditions may not be scalable. Repeatability requires standardization, templates, data, performance benchmarks, replicable contracts, clear roles, and a model that can be adapted across locations or cohorts without being redesigned from scratch each time.

Taken together, these questions help convert social-impact activity into partnership architecture. They do not remove complexity, but they make it visible and manageable.

The Playbook's practical value lies in helping users move from:

- need to demand;
- beneficiaries to clients, users, purchasers, or payers;
- pilots to pipelines;
- activities to operating models;
- trust to adoption and accountability;
- grants to catalytic capital or risk mitigation;
- ambition to executable partnership pathways.

This is the shift required for partnerships to become investable, scalable, repeatable, and legitimate.

Part II. Shared definitions and operating language

This Playbook uses a set of terms that cut across development, finance, and operational delivery. These definitions are not academic. They are intended to ensure that different actors interpret key concepts in a consistent, actionable way.

2.1 Core investment and partnership terms

Bankability

The extent to which an opportunity can attract financing on the basis of a credible demand signal, identifiable revenue or payment mechanism, appropriate risk allocation, and sufficient preparation. Bankability is not only about financial returns; it is about whether capital can be deployed with an understood and manageable risk profile.

Deployability

The readiness of an opportunity for capital, capability, and institutional commitment to move into execution. A deployable opportunity has clear demand, defined roles, credible delivery systems, risk mitigation, and a pathway to implementation. Deployability precedes and enables bankability.

Bankable demand

Demand that is not only visible but linked to a reliable payment mechanism. It reflects the presence of a payer (user, government, insurer, purchaser, or intermediary) and a structure through which that demand can translate into predictable revenue or repayment.

Project preparation

The set of technical, financial, legal, environmental, and institutional activities required to structure an opportunity into a financeable and implementable project. This includes feasibility analysis, structuring, documentation, procurement readiness, and risk assessment.

Risk allocation

The distribution of risks across actors based on their ability to manage, mitigate, or absorb them. Effective risk allocation aligns incentives, reduces uncertainty, and improves the likelihood that a partnership can reach financial close and perform over time.

Aggregation

The process of pooling multiple small or fragmented opportunities into a larger, standardized portfolio that can be assessed, financed, and managed collectively. Aggregation improves scale, diversifies risk, and increases investor relevance.

Guarantees

Financial instruments that transfer or cover specific risks – such as payment default, political risk, or performance failure – typically provided by public or development institutions to enable private participation or improve financing terms.

Catalytic capital / first-loss capital

Capital that is deployed to absorb higher risk or lower returns in order to enable additional private or commercial capital to enter. First-loss capital is a form of catalytic capital that takes initial losses in a portfolio, improving the risk profile for senior investors.

Standardization

The use of repeatable structures, contracts, data frameworks, and processes to reduce transaction costs and enable replication. Standardization is a key condition for scaling beyond one-off or bespoke transactions.

Predictable delivery networks

Coordinated systems of service providers, infrastructure, and operational actors that deliver goods or services at consistent quality, volume, and performance, supported by defined standards, verification mechanisms, and reliable payment flows.

2.2 CSO and legitimacy terms

Legitimacy

The degree to which institutions, actors, and delivery models are trusted, accepted, and recognized as credible by the communities and stakeholders they serve. Legitimacy affects adoption, compliance, payment behavior, and long-term sustainability.

Community intelligence

Context-specific knowledge about needs, behaviors, constraints, preferences, risks, and informal systems within a community. It informs design, improves targeting, reduces failure risk, and strengthens adoption.

Accountability architecture

The systems, processes, and roles through which actors are held responsible for performance, conduct, and outcomes. This includes monitoring, reporting, feedback loops, enforcement mechanisms, and governance structures.

Social performance

The extent to which a partnership delivers intended social outcomes – such as access, quality, inclusion, and affordability – alongside operational and financial performance. It reflects whether impact objectives are achieved in practice.

Grievance mechanisms

Formal or informal channels through which users, communities, or stakeholders can raise concerns, report issues, and seek resolution. Effective grievance mechanisms strengthen trust, correct failures early, and improve accountability.

Inclusion safeguards

Design features and operational practices that ensure vulnerable or underserved populations are not excluded. This includes affordability measures, access provisions, participation requirements, and monitoring of equity outcomes.

2.3 Strategy and institutional role terms

Strategic fit

The degree to which a partnership opportunity aligns with an institution's mandate, priorities, capabilities, risk appetite, and time horizon. Strategic fit determines whether an institution should engage and at what level.

Market-shaping role

An institutional role focused on influencing how a market functions, rather than directly delivering services or financing individual projects. This may include setting standards, reducing barriers, improving information, or supporting key enabling conditions.

Ecosystem-building role

An institutional role focused on strengthening the broader system required for partnerships to function. This includes developing intermediaries, building capacity, improving coordination, supporting enabling infrastructure, and fostering collaboration across actors.

Institutional role selection

The process of determining how an institution should participate in a partnership pathway – whether as funder, convener, de-risker, operator, aggregator, purchaser, advocate, or ecosystem builder – based on constraints, capabilities, and strategic intent.

Sustainable market and capital deployment logic

The underlying rationale that explains how an opportunity can support ongoing investment, operational continuity, and market participation over time. It integrates demand, revenue, risk, delivery systems, and institutional commitment.

Portfolio relevance

The extent to which a partnership opportunity contributes meaningfully to an institution's broader set of activities or investments. It considers scale, replicability, strategic importance, and how the opportunity fits within a wider portfolio rather than as a standalone project.

2.4 Impact Capital Continuum

Grant capital

Non-repayable funding used where activities generate public or social value but do not yet have a credible revenue, repayment, or cost-recovery pathway. Grant capital is often appropriate for inclusion, affordability, community engagement, evidence generation, and early-stage market-building.

Market-building grants

Grant funding used to strengthen the conditions required for markets or partnership pathways to function. This may include demand validation, ecosystem coordination, standards, data systems, provider capacity, policy support, and early pipeline development.

Technical assistance

Non-financial or grant-funded support that strengthens the capacity, readiness, or quality of an opportunity, institution, or market actor. Technical assistance may support feasibility work, financial modelling, legal structuring, procurement preparation, operational improvement, ESG readiness, or provider accreditation.

Catalytic capital

Flexible or risk-tolerant capital used to unlock participation from other funders, investors, or market actors. Catalytic capital may accept higher risk, lower returns, longer timelines, or more flexible terms in order to make a partnership pathway more deployable.

First-loss capital

A form of catalytic capital that absorbs initial losses in a transaction, facility, or portfolio before senior investors are affected. It is often used to improve the risk-return profile of an opportunity and crowd in more risk-averse capital.

Concessional finance

Repayable finance provided on more favorable terms than commercial capital, such as lower interest rates, longer tenors, grace periods, or flexible repayment conditions. It is useful where an opportunity has a credible repayment pathway but still faces affordability, risk, or market-readiness constraints.

Guarantees

Risk-sharing instruments that protect lenders, investors, suppliers, or other actors against specific risks, such as payment default, credit risk, political risk, currency risk, or performance risk. Guarantees should address clearly identified risks and should not be used to compensate for weak project design or absent revenue logic.

Liquidity facilities

Short-term financing or reserve mechanisms used to manage timing gaps between delivery and payment. Liquidity facilities are especially relevant where a payer or purchaser is credible, but payment delays could undermine service continuity or provider participation.

Blended finance

The strategic use of public, philanthropic, concessional, or catalytic resources to mobilize additional private or commercial capital toward development outcomes. Blended finance is most effective when it addresses specific risks or market failures and creates a pathway toward more sustainable financing over time.

Domestic capital

Capital mobilized from local or regional sources, including banks, pension funds, insurers, public funds, corporates, development banks, or local investors. Domestic capital is important for local ownership, currency alignment, market deepening, and reduced dependence on external financing.

Commercial capital

Capital provided on market-based terms by banks, investors, funds, or other financial institutions. Commercial capital typically requires credible cash flows, repayment capacity, risk allocation, legal enforceability, and sufficient transaction size or portfolio scale.

Capital recycling

The process through which capital is repaid, refinanced, or redeployed into new opportunities rather than used once. Capital recycling becomes possible when partnership models generate predictable repayments, performance data, refinancing pathways, or take-out options for early catalytic or concessional capital.

Capital sequencing

The process of matching the right form of capital to the right stage of readiness. The appropriate instrument depends on the maturity of demand, credibility of the payer, allocation of risk, strength of delivery systems, and readiness of institutions to execute. The model chapters apply this logic through model-specific capital pathways, while the Toolkit provides the full capital sequencing tools.

2.5 Stakeholder Archetypes and Operating Roles

Because this Playbook speaks to a broad set of actors, it uses the stakeholder archetypes below consistently. These categories are not rigid: one institution may play multiple roles depending on the partnership model, sector, or stage of implementation.

In this Playbook, **development actors**, **development partners**, and **institutional actors** are used as umbrella terms unless a more specific role is required.

These archetypes help clarify who is needed, what each actor can contribute, and what each actor should not be expected to carry alone. They are used throughout the Playbook to support role selection, partnership design, and deployability assessment.

Stakeholder archetype	Primary role	Typical contribution	Common constraint
CSOs and community-facing organizations	Build legitimacy and connect models to local realities	Trust, demand insight, adoption support, accountability, inclusion monitoring	Limited financing, capacity constraints, risk of carrying responsibilities beyond mandate
Donors and foundations	Fund early-stage, catalytic, and market-building work	Grants, TA, convening, preparation support, first-loss or risk-bearing capital	Short funding cycles, fragmentation, risk of sustaining pilots without scale pathways
DFIs and development financiers	Structure and de-risk financeable opportunities	Concessional finance, guarantees, risk-sharing, transaction discipline	Risk appetite, mandate limits, transaction size, need for credible counterparties
Governments and public purchasers	Set public priorities and create enabling conditions	Policy, regulation, procurement, public purchasing, fiscal commitments	Budget limits, procurement constraints, payment credibility, coordination challenges
Private-sector operators and SMEs	Deliver products, services, infrastructure, and operations	Innovation, delivery capacity, logistics, manufacturing, customer relationships	Weak demand, delayed payments, working-capital gaps, compliance burdens
Commercial investors and banks	Provide commercial capital where risks and cashflows are credible	Senior debt, working capital, project finance, portfolio finance	Credit risk, small ticket sizes, limited collateral, unreliable cashflows
Intermediaries and ecosystem orchestrators	Align actors and maintain execution momentum	Coordination, pipeline development, standard-setting, learning, aggregation	Unclear mandate, limited authority, dependence on partner cooperation
Strategy leaders and institutional decision-makers	Translate ambition into roles, resources, and commitments	Role clarity, prioritization, capital pathway decisions, institutional alignment	Competing priorities, internal approvals, unclear ownership

Part III. Evidence base and case orientation

3.1 What the evidence base covers

Scope and nature of evidence

The Playbook draws on evidence gathered across the food, energy, and health sectors in Senegal, Kenya, Ethiopia, and comparator markets. The evidence base combines interviews, desk research, operational examples, and case material from development actors, CSOs, governments, private firms, financiers, intermediaries, and delivery organizations involved in partnership design, implementation, financing, and scale.

The analysis focused not only on successful partnerships, but also on recurring implementation constraints, coordination failures, preparation gaps, operational bottlenecks, and institutional dynamics that continue to limit the transition from social-impact activity to scalable and commercially viable partnership pathways.

Methodology note

The evidence base for this Playbook draws on a structured desk review of **over 170 sources** covering public and private-sector material across **Kenya, Senegal, Ethiopia, Nigeria, Indonesia, the Philippines, and global comparators**. The review focused on three primary sectors – **health, food and agriculture, and energy** – alongside cross-cutting material on PPP frameworks, blended finance, project preparation, guarantees, aggregation, payment systems, and partnership models. Sources included government documents, PPP and legal frameworks, multilateral and technical reports, donor resources, private-sector analyses, academic literature, think tank publications, program documentation, evaluations, and market studies.

The desk review was complemented by **more than 30 interviews across major sector actors**, conducted with support from FutureAfrica in Kenya and FirstConsult in Ethiopia. The analysis coded sources by geography, sector, topic, and sub-topic, and identified recurring signals across countries and sectors. Particular attention was given to predictable cash flows, project preparation capacity, standardized documentation, risk allocation, payment security, aggregation models, and delivery-system readiness.

Private-sector perspectives were reflected through the desk research, source base, and selected consultations. However, the depth of direct private-sector validation varied by country and sector. Further testing with investors, SMEs, operators, banks, corporates, and financiers would strengthen future iterations of the Playbook, particularly where the analysis concerns incentives, risk appetite, and conditions for commercial participation.

The findings should therefore be read as a qualitative and consultation-informed synthesis, rather than a statistically representative assessment. The Playbook identifies recurring constraints, enabling conditions, and partnership design patterns across the evidence base.



Cross-case observations

The evidence points to a consistent structural challenge: opportunities, delivery capacity, and financing interest already exist, yet they remain fragmented, weakly aligned, and insufficiently

organized to support scalable and investable partnership pathways. In many contexts, governments, CSOs, SMEs, donors, financiers, and private operators continue to operate through parallel initiatives, disconnected funding flows, and bespoke arrangements that limit coordination, repeatability, and scale.

At the same time, the analysis highlights that many of the foundations required for scalable partnerships are already present. Existing social-impact and development activities frequently create the underlying conditions that later make commercially viable pathways possible. Community trust, delivery relationships, operational presence, local implementation capacity, and even demand visibility are often established through development-led interventions long before opportunities become attractive to private investors or capable of reaching scale.

The findings therefore suggest that the challenge is not to replace existing social-impact systems, but to better structure, connect, and strengthen them. Across sectors, SMEs already operate across value chains, private providers already deliver essential services, and public or donor programs already generate substantial demand. However, these foundations often remain weakly linked to financing, purchasing, aggregation, reimbursement, and coordination approaches capable of supporting long-term viability and deployability.

The analysis further shows that the primary bottleneck is not the absence of opportunity or capital, but the difficulty of translating fragmented activity into deployable and repeatable execution pathways. Recurring constraints emerged around project preparation, institutional coordination, demand predictability, implementation readiness, payment reliability, risk allocation, governance capacity, and long-term sustainability. As a result, many initiatives remain visible but underprepared, limiting their ability to reach bankability, financial close, or operational scale.

The strongest pathways consistently combined **predictable demand, clearer institutional roles, trusted delivery relationships, structured coordination, risk-sharing arrangements, and stronger implementation capacity**. The evidence also shows that outcomes depend not only on financing structures, but on the quality of enabling conditions such as procurement reliability, logistics, payment infrastructure, governance capacity, digital systems, and data visibility.

Together, these recurring patterns informed the development of the Playbook's three proposed partnership models, each designed to address a different but recurring set of structural constraints identified across the evidence base.

3.2 Early case signals

One of the clearest findings across sectors and markets is that social-impact and development activities can create the foundations for commercially viable, scalable, and deployable partnership pathways when the right enabling conditions are in place. Across multiple cases, long-standing development interventions helped establish demand visibility, trusted delivery systems, operational presence, local capabilities, and implementation networks that later supported stronger market participation and more sustainable partnership structures.

What repeatedly distinguished the strongest pathways was not the replacement of social-impact objectives, but the ability to connect them to clearer coordination structures, predictable demand, stronger preparation mechanisms, implementation readiness, and more credible approaches to financing and risk allocation.

The cases reviewed throughout this work revealed that these transitions rarely happened spontaneously. In most instances, commercially viable participation emerged progressively as development actors, public institutions, local ecosystems, and private operators became better aligned around shared operational realities and longer-term delivery objectives. While the pathways differed across sectors and contexts, the strongest examples consistently demonstrated how social-impact and development interventions could gradually create the conditions for more scalable, sustainable, and investable forms of participation.

The Regenerative School Meals Program offers a strong illustration of this dynamic. What began as an effort to improve child nutrition and strengthen food security gradually evolved into a broader effort to reconnect schools, farmers, communities, and local food systems around a shared long-term objective. Rather than treating school meals only as a social intervention, the program positioned them as a stable and recurring source of demand capable of supporting local producers, encouraging more sustainable agricultural practices, and strengthening local supply relationships over time.

As the initiative expanded, the impact extended well beyond nutrition outcomes alone. School feeding systems started to create stronger economic linkages between rural producers and local markets, while also reinforcing trust, coordination, and local implementation capacity across the ecosystem.

Another case that reflects a similar dynamic is Helina Food Complex in Ethiopia. Initially operating as a food producer serving conventional consumer markets, the company identified an opportunity to respond to the growing nutritional needs of children affected by severe acute malnutrition. At the time, humanitarian actors relied heavily on imported therapeutic foods, creating delays, supply vulnerabilities, and limited local industrial participation. What helped shift the trajectory was not the abandonment of the humanitarian objective, but the creation of conditions that allowed local production capacity to emerge around it.

Through a partnership involving UNICEF, donor-backed equipment financing, technical support, and long-term procurement commitments, Helina gradually evolved from a local food producer into a specialized manufacturer capable of supplying therapeutic nutrition products at scale. Over time, the relationship itself also evolved: what initially depended on development support and structured procurement progressively became a more established supplier-buyer ecosystem with stronger local production capacity and reduced dependence on imports.

A comparable evolution can be observed in Sanku's food fortification model in Kenya. The initiative emerged from a recognition that many of the populations most affected by malnutrition were being reached through small and medium-scale millers that had neither the resources nor the commercial incentive to independently fortify flour. Traditional approaches centered primarily on regulation or awareness campaigns had struggled to achieve meaningful scale, particularly in underserved rural and peri-urban markets.

Rather than treating fortification solely as a public health intervention, Sanku worked to integrate it into the everyday economics of local milling systems. By redesigning incentives, embedding fortification into existing commercial flows, and reducing the additional cost burden on millers, the initiative helped make participation increasingly viable within normal business operations. Over time, what began as a nutrition-focused intervention evolved into a broader market-based delivery model capable of reaching low-income populations through existing private-sector distribution networks.

A different but equally important transition dynamic can be seen through the Kenya Off-Grid Solar Access Project (KOSAP). Large parts of northern and rural Kenya had long remained outside the reach of traditional electricity infrastructure, with many communities considered too remote, risky, or commercially unviable for private-sector investment. While the development need was clear, private operators had limited incentives to enter these markets given high upfront costs, uncertain returns, and operational challenges linked to geography, infrastructure, and purchasing power.

Rather than attempting to replace the private sector, the initiative focused on creating the conditions that would allow commercially sustainable participation to emerge over time. Through concessional financing, results-based funding mechanisms, and risk-sharing structures supported by the Government of Kenya and the World Bank, KOSAP helped reduce barriers to entry for off-grid energy providers operating in underserved areas. As deployment expanded, private companies were able to build operational presence, scale PAYGo energy models, and extend service delivery into markets that had previously been considered inaccessible. The case illustrates how development-led de-risking, structured financing, and implementation support can help transform underserved and high-risk environments into more viable and scalable commercial participation pathways.

Across sectors and operating environments, these cases demonstrate that commercially viable participation rarely emerges from capital alone. More often, it develops progressively through the alignment of trusted delivery systems, institutional coordination, implementation capacity, predictable demand, and incentives capable of supporting long-term participation. While the pathways differed across contexts, the strongest examples consistently showed that development and social-impact interventions can do more than address immediate needs – they can help create the foundations upon which more sustainable and scalable economic systems gradually emerge.



Detailed case narratives are provided in the accompanying Case Compendium. This Playbook uses cases to extract recurring execution patterns and “what worked” conditions.

Diagnosis

Why partnerships stall, actor incentives and political economy and the systems beneath the models

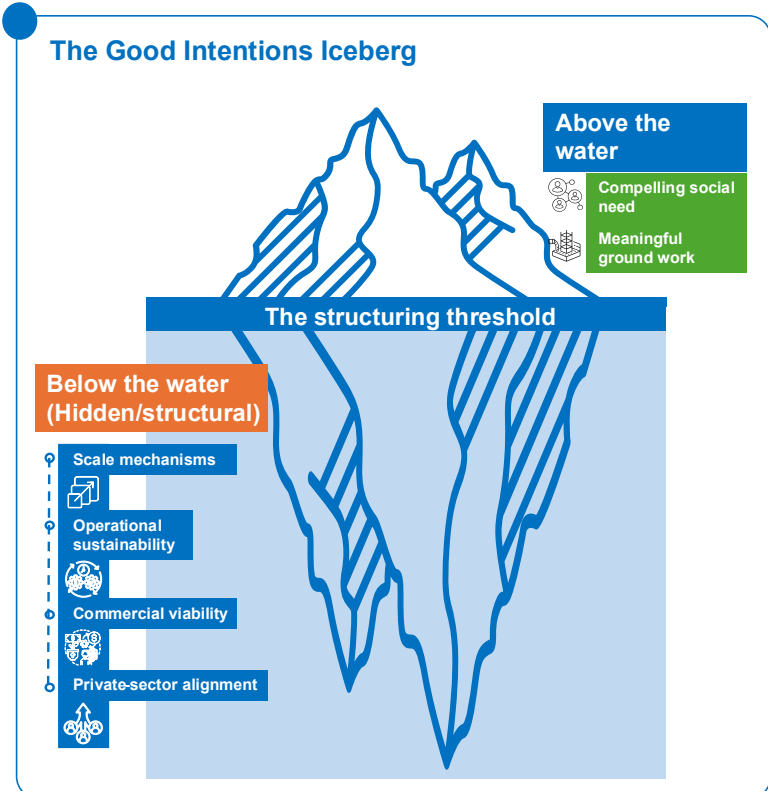


Partnerships between development actors, CSOs, public institutions, and the private sector rarely stall because the underlying social need is unclear. In many cases, the need is well understood, the social-impact logic is compelling, and actors are already delivering meaningful work on the ground. The challenge is that these activities are not always structured in ways that make scale, sustainability, and private-sector participation possible.

This section identifies the recurring failure patterns that prevent promising initiatives from becoming investable, repeatable, and legitimate partnership pathways. These are not failures of intent. They are failures of translation, structuring, coordination, and institutional alignment.

The purpose of this diagnostic is to help users understand **where the partnership is breaking down before selecting a model or instrument.** The right response will differ depending on where the underlying constraint sits: demand, preparation, risk, coordination, legitimacy, institutional role clarity, or operational sustainability.

Figure 4: Good intentions above the surface – real investability hidden below the structuring threshold.



4.1 Core failure patterns

4.1.1 Social demand is visible but not yet structured into bankable demand

Across many sectors, social demand is clear. Communities need reliable services, farmers need access to markets and inputs, patients need affordable care, schools need consistent food supply, and households need dependable energy. CSOs and development actors often understand these needs deeply because they are close to communities and delivery realities.

However, visible need does not automatically become bankable demand.

For private-sector participation to become viable, demand must be connected to a credible payment, purchasing, reimbursement, offtake, or revenue mechanism. The central question is not only **who benefits**, but also **who pays, under what terms, and with what reliability**.

This is where many initiatives remain under-structured. A program may demonstrate strong social value, but if payment timelines are uncertain, purchasing commitments are weak, volumes are unpredictable, or repayment sources are unclear, private actors and financiers will struggle to engage.

This does not mean the social demand is less important. It means the pathway from social demand to sustainable delivery must be made more explicit.

Typical symptoms include:

- high community need, but no clear payer or purchaser;
- demand demonstrated through participation, but not translated into contracted volume;
- public commitments that are policy-based but not budget-backed;
- beneficiaries clearly defined, but clients, payers, or offtakers less clear;
- donor-supported activity with limited path to recurrent revenue or operational continuity.



Diagnostic question:

Is the initiative relying on **visible need**, or has demand been **structured into a credible payment, purchasing, or revenue pathway**?

4.1.2 Project lists are mistaken for pipelines

Many institutions maintain lists of priority projects, Programs, or opportunities. These lists often reflect real needs and strategic priorities. However, a list of opportunities is not the same as an investable pipeline.

A pipeline requires more than identification. It requires preparation, sequencing, documentation, role clarity, risk allocation, implementation readiness, and a credible route to financing or delivery. Without these elements, opportunities remain visible but not actionable.

This distinction is especially important for CSOs, foundations, and development actors seeking to scale existing work. A promising Program may be well known, locally legitimate, and aligned with national or donor priorities, but still not ready for capital or partnership expansion if it has not been translated into an executable structure.

Typical symptoms include:

- many named opportunities, but few with clear preparation status;
- limited feasibility, financial, operational, or legal structuring;
- no clarity on procurement, approval, or implementation steps;
- weak documentation of delivery assumptions and operating costs;
- opportunities dependent on one-off relationships rather than repeatable structures.



Diagnostic question:

Is this a list of **promising activities**, or a **prepared pipeline** with enough **structure for partners and capital to engage**?

4.1.3 Risk is misallocated

Risk is rarely absent from development-private sector partnerships. The problem is that risk is often carried by actors who cannot manage, price, or absorb it.

CSOs may carry delivery, trust, adoption, and reputational risk without the resources to manage scale. SMEs may carry demand, payment, or working-capital risk without adequate buffers. Private investors may be asked to absorb policy, public-payment, or counterparty risk that sits outside their control. Public actors may make commitments without clear fiscal space or implementation capacity. Development actors may intend to de-risk participation, but apply guarantees, catalytic capital, or technical support too late or too generally.

When risk is not allocated deliberately, it surfaces later as delay, withdrawal, underperformance, or loss of trust.

Typical symptoms include:

- private actors expected to enter without payment certainty;
- CSOs expected to scale delivery without operational or financial buffers;
- public actors controlling approvals but not bearing implementation consequences;
- donors funding pilots without addressing the risks that block scale;
- guarantees or de-risking tools introduced after the deal logic has already weakened.



Diagnostic question:

Which **risks are blocking scale**, and are they being **carried by the actors best placed to manage or absorb them**?

4.1.4 Coordination has no owner

Many partnerships have multiple committed actors but no clear coordinating function. Governments, CSOs, donors, foundations, DFIs, firms, and intermediaries may all be active, yet no one is responsible for moving the opportunity from concept to structure, financing, implementation, and learning.

This is especially common where initiatives grow out of development Programs or social-impact activities. The original Program may have strong delivery logic, but scaling it requires additional actors, financing layers, operational systems, and decision points. Without a clear owner of coordination, the work fragments across institutions.

Coordination failure is not just a process issue. It affects trust, timing, cost, and accountability. It also creates confusion over who has authority to make decisions, who absorbs risk, who manages delivery, and who is responsible when assumptions change.

Typical symptoms include:

- strong interest from multiple actors, but no agreed pathway to execution;
- unclear handoffs between Program design, financing, procurement, and delivery;
- parallel donor or institutional activity with limited alignment;
- no single actor maintaining momentum across decision points;
- accountability gaps when implementation problems emerge.



Diagnostic question:

Who is responsible for **moving the opportunity from ambition to structure, financing, delivery, and adaptation?**

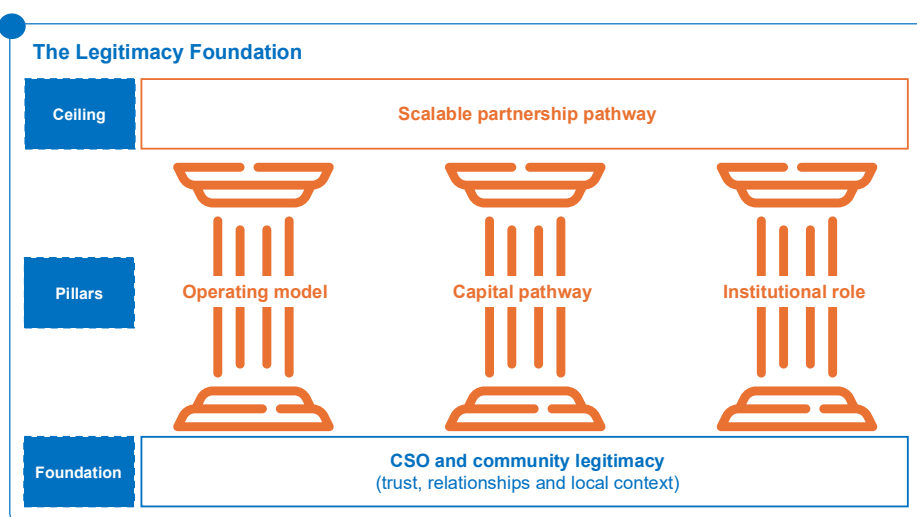
4.2 Additional lenses for CSOs and institutional actors

The core failure patterns above are common across partnership systems. For CSOs, foundations, donors, and institutional leaders, additional lenses are needed because partnership failure is not only financial or technical. It can also emerge from weak legitimacy, late recognition of community risk, unclear institutional roles, or disconnection between strategy and implementation.

4.2.1 Legitimacy is assumed, not built

Many partnership models assume that social acceptance, community trust, and user adoption will follow once a service or product is available. In practice, legitimacy is built over time through relationships, responsiveness, accountability, and credible delivery.

Figure 5: Legitimacy first: anchoring operating, capital, and institutional pillars in community trust to reach a scalable pathway.



CSOs often hold legitimacy that private or public actors cannot quickly replicate. Their relationships with communities, service users, and local systems can be one of the most valuable assets in a partnership. Yet this legitimacy is sometimes treated as background context rather

than a core design condition.

If legitimacy is not built into the partnership structure, initiatives may face low adoption, resistance, mistrust, reputational risk, or exclusion of the very groups they intend to serve.

Typical symptoms include:

- community engagement treated as a late-stage activity;
- CSOs included for outreach but not for design or feedback;
- assumptions about uptake that are not tested locally;
- limited grievance or feedback mechanisms;
- weak understanding of social norms, affordability constraints, or trust barriers.



Diagnostic question:

Has legitimacy **been designed into the partnership**, or is it being assumed?

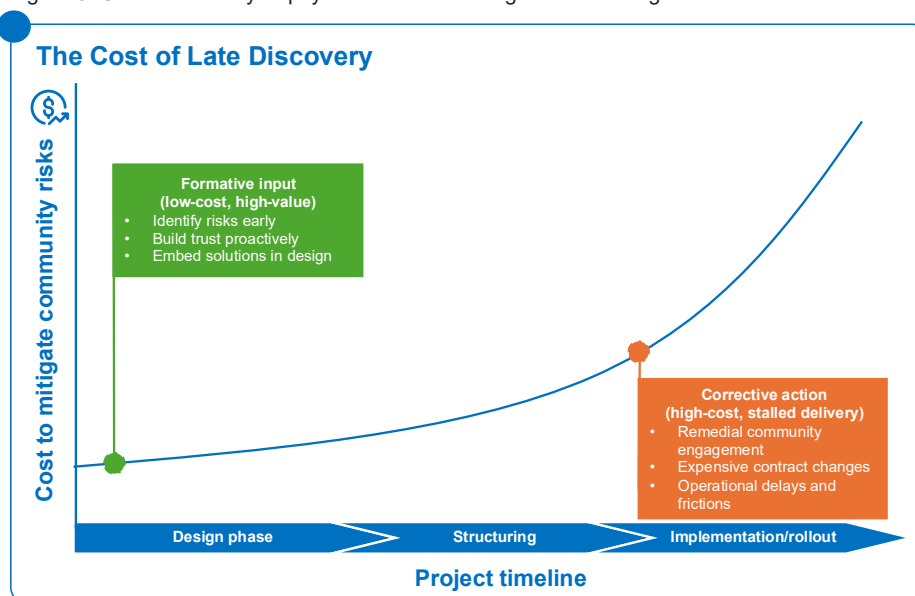
4.2.2 Community risks are surfaced too late

Community-level risks often become visible only during implementation, when they are more expensive and difficult to address. These risks may include affordability barriers, land or access concerns, low trust in providers, gendered participation constraints, local political dynamics, service-quality concerns, or resistance to new delivery models.

CSOs and community-facing organizations are often well positioned to identify these risks early. However, if they are consulted only after the partnership structure has been designed, their insight becomes corrective rather than formative.

Surfacing community risks early does not slow down partnership development. It improves the quality of preparation and reduces the likelihood of failure during rollout.

Figure 6: Catch risks early or pay later: low-cost design fixes beat high-cost rollout corrections.



Typical symptoms include:

- adoption barriers discovered after launch;
- community concerns not reflected in feasibility or implementation planning;
- social safeguards treated separately from operational design;
- affordability or accessibility issues identified too late;
- weak feedback loops between users and decision-makers.



Diagnostic question:

Which community-level risks could affect delivery, adoption, or legitimacy, and who is best placed to surface them early?

4.2.3 Strategy and execution are disconnected

Many institutions have strong strategic ambition around private-sector engagement, systems change, market building, or social impact. However, strategic ambition does not automatically translate into executable pathways.

A strategy may identify priority sectors, target groups, or partnership opportunities without clarifying the role the institution should play, the resources required, the partners needed, the risks to absorb, or the pathway from pilot to scale.

This is where institutional leadership matters. Leaders need to decide not only what the institution wants to achieve, but how it should participate in the broader ecosystem. The institution may be best placed to fund, convene, de-risk, advocate, aggregate, operate, strengthen networks, or step back.

Typical symptoms include:

- broad strategic priorities without model choice;
- ambition to partner with the private sector but unclear institutional role;
- fragmented internal teams working across funding, programs, policy, and partnerships;
- no clear link between strategic objectives and capital or operational pathways;
- pilots launched without a pathway to scale or institutional ownership.



Diagnostic question:

Is the institution's strategy connected to a clear role, resource commitment, and execution pathway?

4.2.4 Senior ambition is not translated into role choice, capital pathway, or operating model

Senior leadership can create momentum, legitimacy, and visibility for partnership efforts. But high-level ambition can also remain abstract if it is not translated into practical decisions. For an initiative to become deployable, leadership ambition must be connected to:

- a defined institutional role;
- a clear partnership structure;
- a credible capital or funding pathway;
- an operating model;
- decision rights;
- implementation responsibilities;

Figure 7: From vision to delivery: narrowing ambition into roles, capital, and an executable model.



- risk allocation;
- measures of success.

Without this translation, teams may move forward with different assumptions about what the partnership is meant to do and who is responsible for making it work.

Typical symptoms include:

- senior-level endorsement without implementation authority;
- unclear whether the institution is funding, convening, operating, or de-risking;
- capital discussions disconnected from delivery realities;
- role ambiguity between CSOs, public actors, financiers, and private firms;
- no shared view of what success looks like beyond launch.



Diagnostic question:

Has senior ambition been translated into a role, capital pathway, operating model, and accountability structure?

4.3 Prioritizing the Binding Constraint

The failure patterns and diagnostic lenses described above often appear together, but they do not carry equal weight in every context. A partnership opportunity may face weak payment systems, unclear risk allocation, fragmented coordination, limited preparation, and legitimacy gaps at the same time. The practical task is therefore not only to identify barriers, but to determine which one is most binding.

A binding constraint is the primary issue preventing capital, institutional commitment, private-sector participation, or operational delivery from moving forward. A secondary constraint still matters, but does not explain the main blockage. A symptom is an observable problem, such as weak investor interest or slow implementation, that may point to a deeper issue. An enabling-system weakness is a broader condition, such as weak procurement capacity, poor data systems, or limited regulatory clarity, that shapes whether the partnership can operate at scale.

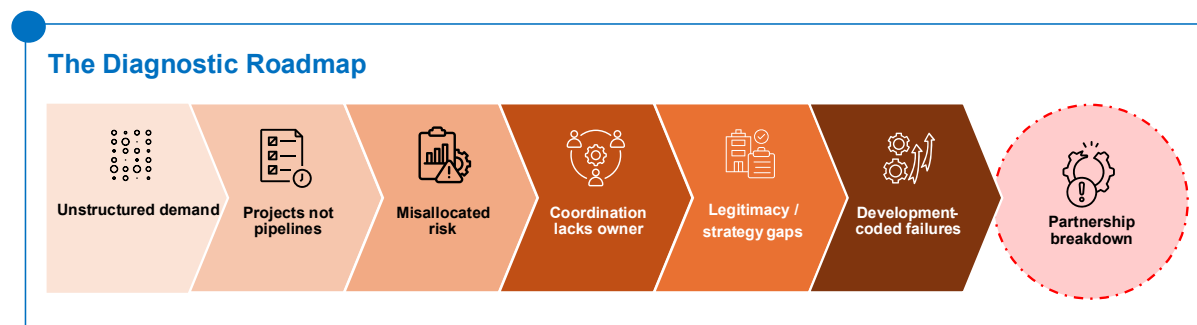
Prioritization matters because different constraints require different responses. If payer credibility is weak, additional convening will not unlock scale. If preparation is incomplete, guarantees alone will not make the opportunity financeable. If delivery is fragmented, capital may flow inefficiently unless providers, standards, verification, and payment rules are organized. If legitimacy is weak, implementation may fail even where financing is available.

A practical sequencing logic is to ask:

1. Is there a clear demand signal and credible payer, purchaser, reimbursor, offtaker, or revenue source?
2. Is the opportunity sufficiently prepared, and are the main risks identified and allocated to the right actors?
3. Is there a clear coordination owner responsible for moving the opportunity from concept to execution?
4. Are legitimacy, affordability, inclusion, feedback, and accountability built into the operating model?
5. Are the surrounding systems – procurement, payment, data, regulation, verification, and delivery capacity – ready to support scale?

Model selection should follow this diagnosis. The right model is not selected by institutional preference or familiarity, but by the constraint it is designed to solve. The accompanying Toolkit provides a fuller bottleneck prioritization tool to help users distinguish binding constraints from secondary issues, symptoms, and enabling-system weaknesses.

Figure 8: From scattered demand to breakdown: tracing the fault lines where partnerships fail before they scale.



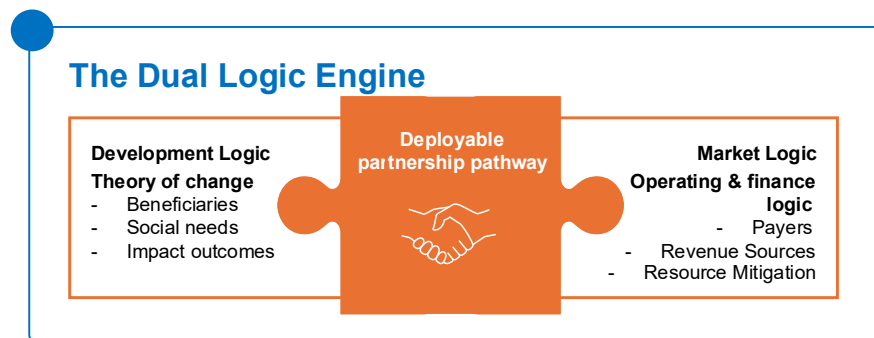
4.4 Development-coded project failure modes

Development-led and CSO-led initiatives often begin with strong social-impact logic. They may be rooted in deep community relationships, validated needs, trusted delivery systems, and clear theories of change. These are strengths. The challenge is that they are not always expressed in terms that allow private-sector actors, financiers, or institutional partners to understand how scale and sustainability could work.

This section identifies common ways in which promising initiatives remain “development-coded” and therefore harder to translate into commercially viable or investable pathways.

4.4.1 Projects remain framed around need, beneficiaries, or theory of change without clear clients, payers, repayment sources, risk mitigation, or timeline considerations

Figure 9: Connecting the two engines – impact and capital – into one deployable partnership pathway.



A strong theory of change can explain why an intervention matters and how it creates impact. However, it does not always explain how the intervention will be financed, who will pay for it, how long repayment or sustainability will take,

or which risks must be mitigated.

For partnership with private-sector actors, the theory of change needs to be complemented by an operating and financing logic. This does not replace the social-impact logic. It extends it into questions of delivery, sustainability, and scale.

Translation questions include:

- Who benefits, and who pays?
- Are beneficiaries, users, clients, and payers the same or different actors?
- What is the repayment or revenue source?

- What timeline is realistic for operational or financial sustainability?
- Which risks prevent partners or capital from engaging?
- Which risks should be absorbed by donors, foundations, public actors, or catalytic capital?
- What evidence shows that the model can repeat beyond the initial context?



Diagnostic question:

Has the **theory of change** been translated into a **delivery, financing, and risk logic**?

4.4.2 Social-impact logic remains compelling, but pathways toward operational sustainability, commercial viability, and scalable participation are underdeveloped

Many initiatives demonstrate meaningful impact but remain dependent on project-based funding, individual champions, or context-specific delivery arrangements. This does not diminish their value. It means that additional structuring is needed to understand what would be required for them to sustain, scale, or attract complementary participation.

Operational sustainability may involve stronger delivery systems, clearer cost structures, better coordination, predictable funding flows, or more reliable partners. Commercial viability may involve payment mechanisms, offtake, reimbursement, service contracts, blended finance, or catalytic risk-sharing. Scalable participation may require standardization, aggregation, accreditation, or clearer roles for public, private, and civil-society actors.

Typical symptoms include:

- strong impact evidence but unclear cost recovery or long-term funding;
- delivery depends heavily on one actor or one grant cycle;
- unit costs, operating requirements, or payment flows are not fully visible;
- private actors are interested but cannot see the commercial pathway;
- scale would require systems that are not yet in place.



Diagnostic question:

What would need to be **strengthened** for the initiative to **sustain, scale, or support wider participation**?

4.4.3 Inclusion and accountability are treated as safeguards rather than design conditions that affect trust, adoption, bankability, and scale

Inclusion and accountability are often treated as compliance requirements or social safeguards. In practice, they can directly affect whether a partnership works.

If target users cannot access, afford, trust, or benefit from the service, uptake will suffer. If feedback mechanisms are weak, quality problems may persist. If accountability is unclear, trust may erode. If excluded groups are not considered in design, scale may reinforce rather than reduce barriers.

For this reason, inclusion and accountability should be treated as design conditions that influence adoption, delivery performance, legitimacy, and long-term sustainability.

Typical symptoms include:

- inclusion considered after the operating model is already designed;
- accountability mechanisms limited to reporting rather than feedback and response;
- user experience not reflected in payment, service, or delivery design;
- weak grievance or correction mechanisms;
- scale plans that do not test whether underserved groups can access the model.



Diagnostic question:

Are inclusion and accountability built into the operating model, or treated as external safeguards?

Closing diagnostic

The purpose of this section is not to suggest that CSO-led or development-led initiatives are weak. In many cases, they hold the very assets that make future partnership possible: trust, delivery knowledge, community relationships, demand validation, and legitimacy.

The issue is that these assets need to be made visible, structured, and connected to the requirements of scale, sustainability, and partnership. Once that translation happens, social-impact activity can become a stronger foundation for private-sector participation, catalytic capital, public collaboration, and repeatable delivery models.



The diagnostic question for the Playbook is therefore:

What already exists, what needs to be strengthened, and what must be structured differently for social-impact activity to become a scalable and legitimate partnership pathway?

Before moving from diagnosis to actor roles and model selection, users should also test whether private-sector collaboration is appropriate at all.



When Private-Sector Collaboration May Not Be Appropriate

Not all development activities should be commercialized, and not every private-sector partnership will improve outcomes. Private-sector collaboration is most useful when it strengthens delivery, sustainability, affordability, accountability, or system performance.

Consider a grant-funded, public, community-led, or hybrid approach where:



No credible payer, purchaser, reimbursement, or revenue pathway exists



Universal access or affordability would be weakened



Transaction costs exceed likely benefits



Accountability, quality assurance, or grievance systems are weak



Private incentives conflict with public value



Risk would shift to CSOs, SMEs, communities, or providers without support



Does private-sector collaboration improve outcomes and allocate risk fairly?

If not, another delivery or financing approach may be more appropriate.

See Toolkit: Trade-off Assessment Checklist.

Part V. Actor Incentives, Legitimacy, and Political Economy

Purpose of this section

Partnerships do not become deployable only because capital is available, a project idea is strong, or a development need is visible. They become deployable when the actors around a partnership have aligned incentives, credible roles, sufficient authority, trusted relationships, and the operational capability to move from intent to execution. Across food, energy, health, and infrastructure, the recurring challenge is not the absence of actors. Governments, DFIs, donors, investors, CSOs, SMEs, intermediaries, and communities are already present in most markets. The deeper constraint is that mandate, capital, risk appetite, legitimacy, and delivery capability often sit in different places and are rarely aligned around the same operating logic.

This section provides a diagnostic lens for understanding how actor incentives, legitimacy, and political economy conditions shape whether a partnership can become investable, scalable, repeatable, and legitimate. It helps users move beyond the question of **“who is involved?”** toward the more practical question of **“what role can each actor credibly play, under what conditions, and with what implications for deployability?”**

The central message is simple: partnerships stall when roles are unclear, risks are pushed to actors unable to manage them, approval rights are fragmented, community legitimacy is assumed rather than built, and institutional ambition is not translated into executable role choices. Conversely, partnerships become more deployable when actors understand their respective mandates, incentives, constraints, sources of credibility, and accountability obligations.

5.1 Diagnostic actor map

A diagnostic actor map is a practical tool for understanding how a partnership system actually works before selecting a model, designing a capital structure, or assigning implementation responsibilities. It is not enough to identify the institutions present in a sector. The critical question is whether each actor has the mandate, authority, incentives, capacity, legitimacy, and risk-bearing ability required to support the partnership pathway.

The actor map should use the stakeholder archetypes introduced in Part II, including CSOs and community-facing organizations; donors and foundations; DFIs and development financiers; governments and public purchasers; private-sector operators and SMEs; commercial investors and banks; intermediaries and ecosystem orchestrators; and strategy leaders or institutional decision-makers.

In many African markets, partnerships underperform because the actor with the formal mandate does not always have delivery capacity; the actor with capital may not have local legitimacy; the actor with community trust may not have influence over investment design; and the actor carrying execution risk may not have access to working capital or decision-making power. This mismatch creates a gap between strategy and implementation. The diagnostic actor map is designed to surface that gap early.

Core diagnostic dimensions

Each actor should be assessed across the following dimensions:

Table 1: Actor assessment table.

Dimension	Diagnostic focus
Mandate	What is the actor formally responsible for within the partnership system?
Authority	What decisions, approvals, or operational functions can the actor actually control?
Capacity	Does the actor have the technical, financial, managerial, and institutional ability to perform its role?
Operational reach	Can the actor operate effectively across the relevant geography, market, or value chain?
Capital and deployability	Can the actor deploy capital in the right form, timeline, and risk profile required?
Incentives	What does the actor gain or lose from participation, and are incentives aligned with delivery?
Risk exposure	What risks does the actor carry, and is it best placed to manage them?
Credibility	Does the actor have a track record of honoring commitments and sustaining partnerships?
Legitimacy	Is the actor trusted by communities, institutions, financiers, or delivery partners?
Time horizon	Is the actor operating under short-term cycles or long-term institutional objectives?
Organizational structure	Are responsibilities and decision-making structures clear and operationally effective?
Key talent	Does the actor have the expertise required to structure, manage, and adapt the partnership?

For private-sector operators, SMEs, investors, and banks, the actor map should also test the practical incentives that determine whether participation is viable: revenue certainty, payment reliability, margin, scale potential, operating risk, policy risk, reputational risk, and working-capital needs. Where these conditions are weak, private-sector interest may not translate into participation, even where social need and institutional support are strong.

How to use the actor map

The actor map should be used before model selection. It helps determine whether the core bottleneck is fragmentation, preparation, risk allocation, weak payment systems, lack of trust, absence of coordination, or insufficient institutional ownership. It also helps avoid assigning roles based only on what actors “should” do in theory. Instead, roles should be assigned based on what actors can credibly do in practice.

A partnership may have a strong policy objective but fail because the paying institution lacks fiscal credibility. It may have strong private-sector interest but fail because the community adoption pathway is weak. It may have donor resources but fail because no actor owns coordination after the pilot phase. It may have CSO legitimacy but fail because that legitimacy is not connected to investment design, revenue logic, or operational standards.

The actor map therefore functions as a deployability test: if no actor has the authority, incentive, capacity, and legitimacy to own a critical function, that function must be built, reassigned, or explicitly supported before the partnership can scale.



The accompanying Toolkit includes a stakeholder role matrix to help users apply this diagnostic in more detail, including actor roles, incentives, capabilities, legitimacy, authority, and risk-bearing limits.

5.2 CSO role in partnership systems

Civil Society Organizations are often treated as consultation actors, implementation partners, or safeguard monitors. This underestimates their strategic role in partnership systems. In development-to-investment pathways, CSOs can provide the legitimacy, community intelligence, demand validation, adoption support, accountability architecture, and operational learning that determine whether a model can move from technical design to real use.

The Playbook does not ask CSOs to become investors, banks, or transaction advisors. Rather, it recognizes that many development actors already hold assets that are highly relevant to deployability: trusted relationships, local presence, program data, beneficiary insight, social accountability mechanisms, and experience delivering under difficult conditions. These assets can help convert social-impact activity into scalable and commercially viable partnership pathways when they are translated into the language of demand, risk, adoption, delivery reliability, and accountability.

CSOs as demand validators

Many opportunities fail to attract private-sector participation because demand is visible socially but not yet structured commercially. A health need, food security gap, energy access problem, or service delivery deficit may be clear from a development perspective, but investors and operators still need to understand who uses the service, who pays, how demand behaves, what drives adoption, and what barriers prevent uptake.

CSOs can help bridge this gap by converting community-level knowledge into demand intelligence. They can identify whether demand is latent, active, seasonal, price-sensitive, trust-dependent, gendered, geographically concentrated, or linked to public purchasing. In agriculture, this may involve understanding farmer adoption, aggregation behavior, input use, or willingness to engage with processors and off takers. In health, it may involve understanding patient trust, provider preference, reimbursement barriers, grievance patterns, or continuity-of-care needs. In energy, it may involve understanding affordability, productive use, land concerns, payment behavior, and community acceptance.

For partnership design, this matters because bankable demand is not only a question of need. It is a question of credible use, payment, retention, and repeatability. CSOs can help test whether demand can become a stable market signal.

CSOs as trust-builders and legitimacy holders

Legitimacy is not a soft add-on to investment. It is a condition for adoption, continuity, and reputational risk management. Partnerships that enter communities without trusted channels often face slow uptake, resistance, misinformation, exclusion risks, or breakdowns in accountability. This can undermine both social impact and commercial viability.

CSOs often hold trust because they have long-term relationships with communities, understand local norms, and are perceived as closer to users than government or private actors. This trust can reduce adoption friction, improve communication, and surface concerns before they become implementation risks. However, CSO legitimacy should not be assumed. It depends on the quality of relationships, transparency, consistency, accountability, and the extent to which the CSO is seen as representing community interests rather than external agendas.

In partnership systems, CSOs can support legitimacy by:

- explaining the partnership model in accessible terms;
- identifying community concerns before implementation;
- ensuring inclusion of women, youth, low-income users, and marginalized groups;
- supporting grievance and feedback systems;
- monitoring whether the partnership delivers what it promised;
- helping private and public actors understand adoption barriers;
- protecting trust when models evolve from grant-funded delivery to more commercial or blended structures.

CSOs as creators of trusted pathways for private-sector participation

Private-sector actors often face difficulty entering underserved markets because they lack local knowledge, trust, distribution channels, and confidence in demand. CSOs can reduce this entry barrier by creating trusted pathways for engagement. This does not mean simply introducing private firms to communities. It means helping define the conditions under which private participation is socially acceptable, operationally feasible, and aligned with development outcomes.

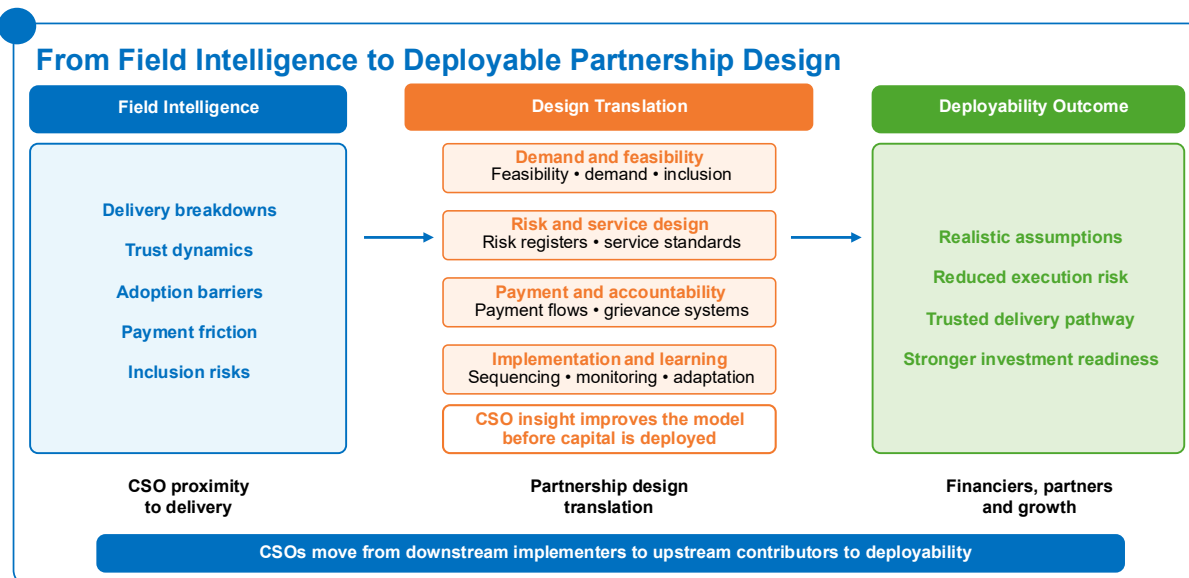
For example, in service network models, CSOs may help onboard users, explain service standards, monitor quality, and ensure that payment or reimbursement changes do not exclude vulnerable groups. In aggregation models, CSOs may help identify credible farmer groups, women-led enterprises, cooperatives, local SMEs, or community-based delivery networks. In project preparation and guarantee models, CSOs may surface land, affordability, social license, inclusion, or grievance risks early enough to inform structuring.

This is especially important because poorly designed private-sector participation can create distrust if communities perceive that development programs are being commercialized without safeguards. CSOs can help manage this transition by making participation conditions transparent and ensuring that social outcomes remain central to the model.

CSOs as sources of operational learning and delivery intelligence

CSOs often generate practical knowledge that is not captured in financial models or policy documents. They understand where delivery breaks down, which actors are trusted, which incentives matter, which payment points create friction, and which operational assumptions are unrealistic. This information can materially improve partnership design.

Figure 10: From field insight to investment readiness: translating breakdowns into bankable, trusted delivery pathways.



This shifts CSOs from being downstream implementers to upstream contributors to deployability. Their role is not only to execute activities but to improve the quality of the model before capital is deployed.

CSOs as accountability and inclusion partners

Partnerships can become financially structured but socially fragile if accountability is weak. Users may not know what they are entitled to, how prices are set, how complaints are handled, or who is responsible when services fail. This is especially risky in sectors such as health, food, energy, water, and logistics, where users may have limited alternatives and where affordability and continuity matter.

CSOs can strengthen accountability by establishing feedback loops, grievance channels, social performance monitoring, community scorecards, user protection mechanisms, and inclusion tracking. These tools help determine whether the partnership is working not only for capital providers or public institutions, but also for the people and communities it is intended to serve.

From an investment perspective, accountability also reduces risk. It can improve adoption, detect service failures early, protect reputational credibility, and support course correction. In this sense, accountability is not only a safeguard. It is part of the operating system that makes partnerships durable.

5.3 Chief Strategy Officer and institutional actor role

Institutional actors, including Chief Strategy Officers, foundation leaders, donor strategy teams, DFI country teams, government strategy units, and senior executives within development organizations, play a different but equally important role. Their task is not only to fund activities or endorse partnerships. It is to determine where the institution should sit in the partnership ecosystem, what role it can credibly play, and how its resources, relationships, and legitimacy can be aligned with a pathway to scale.

Many partnerships fail because institutional ambition is not translated into role choice. A senior team may decide that a sector is strategic, that private-sector engagement is important, or that a partnership should be pursued. But unless the institution defines whether it will fund, convene, de-risk, aggregate, operate, purchase, strengthen systems, or exit, the ambition remains too abstract to guide execution.

Institutional role selection as a strategic discipline

Institutional role selection begins with a clear diagnosis of the binding constraint. Different constraints require different roles.

If the constraint is weak demand visibility, the institution may need to support market intelligence, user research, demand validation, or community engagement.

If the constraint is weak payment credibility, it may need to strengthen purchasing systems, support payment guarantees, create liquidity buffers, or improve reimbursement rails.

If the constraint is weak preparation, it may need to fund feasibility studies, project preparation, legal structuring, and procurement-ready dossiers.

If the constraint is fragmentation, it may need to convene actors, create aggregation mechanisms, support an intermediary platform, or play an ecosystem orchestration role that maintains momentum from dialogue to execution.

If the constraint is weak inclusion or trust, it may need to partner with CSOs and build accountability systems before scaling.



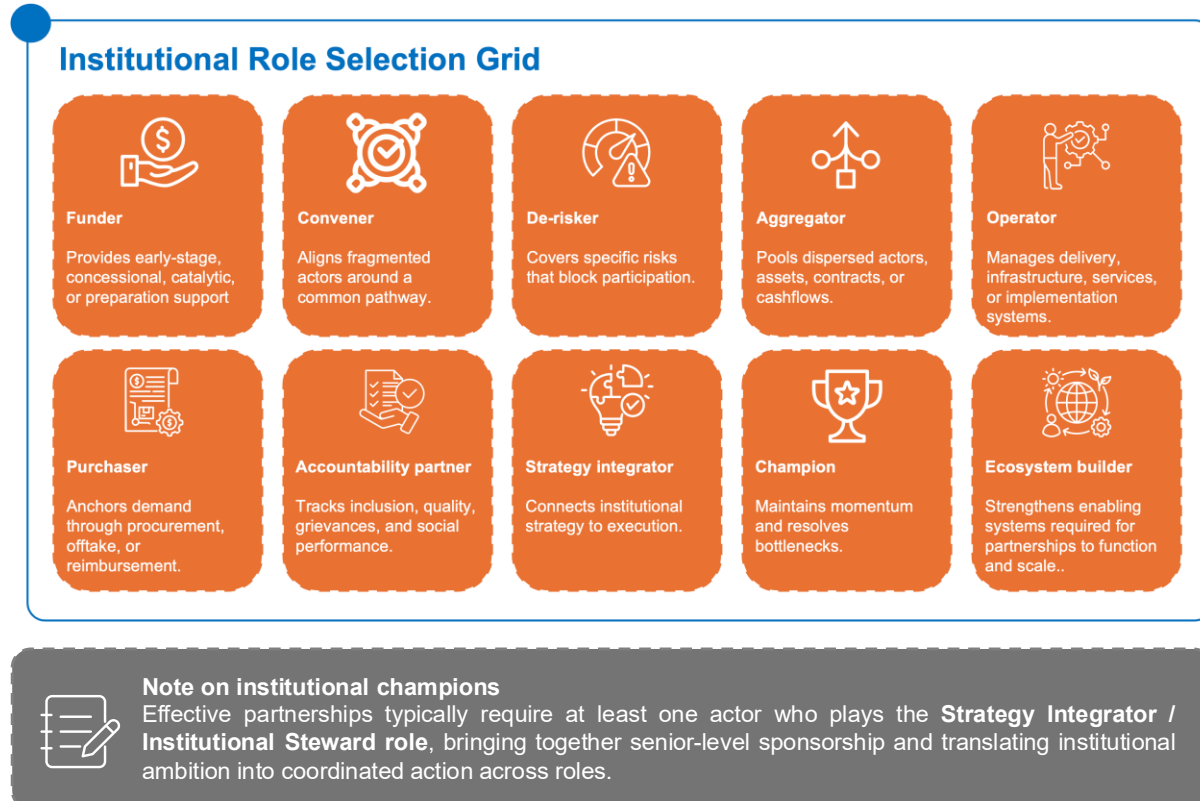
The strategic question is therefore:

Not “should we partner?” but “what role should we play to remove the binding constraint?”

Core institutional roles

Each role below describes how an actor can contribute to a partnership pathway, and the conditions under which that role is most critical.

Figure 11: Clear role choices, defined upfront – who funds, convenes, delivers, and holds the system together.



Ecosystem orchestrator/platform convener

An ecosystem orchestrator/platform convener is a distinct role from a general convener. Convening brings actors together. Orchestration helps actors move from alignment to execution.

This role is especially important where the binding constraint is fragmentation across institutions, funding flows, sectors, delivery systems, or implementation responsibilities. The orchestrator helps align actors around a shared pathway, reduce transaction friction, maintain execution momentum, coordinate across institutions, support shared standards, and connect capital, demand, delivery, legitimacy, and accountability.

In practice, ecosystem orchestration may involve clarifying roles, maintaining a shared workplan, surfacing bottlenecks, coordinating technical inputs, supporting pipeline development, standardizing learning, and ensuring that partnerships do not stall after initial dialogue or agreement.

This role also supports platform-building and capital recycling by helping move from one-off projects toward repeatable structures, shared tools, reusable financing pathways, and stronger implementation systems.

This is relevant to AfricaXchange's broader ambition to move from convening to sustained collaboration, learning, resource mobilization, and implementation. An AfricaXchange-type platform can help bridge the gap between dialogue and action by supporting the coordination architecture needed for partnerships to become deployable.

Institutional decision logic

Institutional actors should ask five questions before committing resources:

1. What is the binding constraint preventing scale or investment?
2. Which role are we best placed to play given our mandate, capital, relationships, and credibility?
3. What role should others play, and are those roles realistic?
4. What must be true for our support to crowd in capability or capital rather than substitute for it?
5. What exit, transition, or institutionalization pathway will prevent dependency?

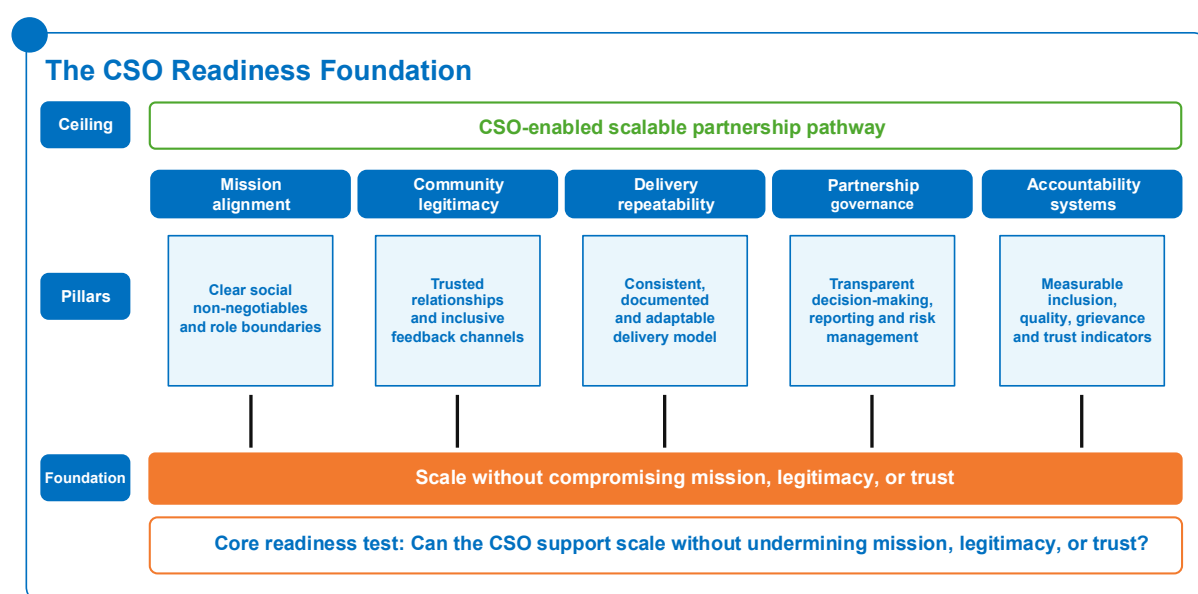
This logic prevents institutions from defaulting to grant-making when the constraint is coordination, convening when the constraint is payment credibility, or technical assistance when the constraint is risk allocation. It also helps ensure that development activity is not only impactful in isolation but capable of evolving into a structured partnership pathway.

5.4 CSO readiness

CSO readiness refers to the extent to which existing CSO-led impact and delivery work can support scale, sustainability, and partnership engagement without undermining mission, legitimacy, or trust. It is not a measure of capacity in isolation. A CSO may be effective at service delivery but not ready to engage in a structured partnership model. Conversely, a CSO may not be a large institution but may hold critical legitimacy, community intelligence, or accountability functions that make it highly valuable to a partnership.

The purpose of a CSO readiness lens is to help CSOs and their partners understand what must be strengthened before existing development activities can support broader partnership pathways.

Figure 12: Scale-ready CSOs aren't accidental: align mission, legitimacy, delivery, governance, and accountability to grow without losing trust.



These indicators should be connected to broader partnership monitoring so that social performance is not separated from financial and operational performance.

When CSO readiness is strong, CSOs can help partnerships become more legitimate, adoptable, and durable. They can validate demand, surface risks early, support responsible private-sector engagement, protect inclusion, and monitor whether delivery remains aligned with community needs. When readiness is weak, CSO involvement may still be valuable, but additional support may be needed before the CSO can take on a strategic partnership role.

5.5 Political economy questions

Political economy analysis examines how power, incentives, authority, risk, and interests shape whether partnerships move forward or stall. It is essential because many partnership failures are not technical failures. They are failures of alignment, credibility, sequencing, ownership, and trust.

A partnership may be technically sound and financially promising but still fail if approvals are controlled by actors with weak incentives to move quickly, if payment commitments are not credible, if risks are shifted to actors without bargaining power, if key stakeholders benefit from ambiguity, or if communities do not trust the model.

The purpose of political economy analysis is not to make the Playbook overly complex. It is to prevent users from mistaking formal design for real implementation readiness.

Question 1: Who controls approvals?

Approval rights determine speed, sequencing, and accountability. In many partnership systems, approval authority is fragmented across ministries, PPP units, regulators, treasury departments, procurement bodies, local governments, donors, and boards. This fragmentation can slow implementation and create uncertainty for private actors.

Users should identify:

- Which institutions approve the project, financing, procurement, tariffs, licenses, standards, or contracts?
- Are approval pathways clear and sequenced?
- Are there overlapping mandates?
- Who can block progress even if they do not formally lead the project?
- Is there a fast-track or escalation mechanism for resolving bottlenecks?

If approvals are unclear, model selection should account for this. A complex PPP structure may not be appropriate if approval pathways are highly fragmented and no actor has coordination authority.

Question 2: Who pays?

Payment credibility is one of the strongest determinants of deployability. Investors, SMEs, and service providers need to know not only who benefits, but who pays, when, how, and with what reliability. Payment may come from users, governments, insurers, donors, offtakers, utilities, processors, purchasers, or blended mechanisms.

Users should ask:

- Is the payer clearly identified?
- Does the payer have budget, liquidity, and willingness to pay?
- Are payment rules transparent?
- Are there arrears or delay risks?
- Can payment be verified through claims, invoices, outputs, or performance data?
- Is there a need for liquidity buffers, guarantees, escrow structures, or reimbursement reform?

Weak payment credibility can undermine even strong delivery models. Where payment is the binding constraint, institutional actors may need to strengthen purchasing systems before expecting private capital to enter.

Question 3: Who bears risk?

Risk allocation is often the difference between a partnership that scales and one that stalls. In weakly structured partnerships, risk is frequently pushed to actors with the least capacity to manage it: SMEs, service providers, communities, or local implementing partners. This undermines delivery and discourages investment.

Risks may include demand risk, payment risk, construction risk, policy risk, foreign exchange risk, adoption risk, social license risk, quality risk, operational risk, and reputational risk.

Users should ask:

- Which risks are present?
- Which actor is currently carrying each risk?
- Is that actor best placed to manage it?
- Which risks require mitigation, guarantees, first-loss capital, technical support, or public commitment?
- Are any risks being hidden rather than allocated?

A partnership is more deployable when risks are explicit, allocated to actors able to manage them, and mitigated where necessary.

Question 4: Whose commitments are credible?

Partnerships depend on promises: promises to pay, regulate, deliver, procure, invest, maintain quality, include vulnerable users, or sustain coordination. Not all commitments carry the same credibility. Some are backed by budget, law, contracts, institutional mandate, or track record. Others depend on individual champions, donor cycles, political attention, or informal goodwill.

Users should assess:

- Are commitments written, budgeted, contract-backed, or only verbal?
- Has the actor honored similar commitments before?
- Are commitments resilient to leadership changes?
- Are there enforcement mechanisms?
- Are communities and users able to hold actors accountable?

Where commitments are weak, the model may require stronger documentation, guarantees, phased implementation, or independent monitoring.

Question 5: Who benefits from ambiguity or delay?

Not all actors benefit from clarity. Ambiguity can preserve discretion, rents, influence, or negotiation leverage. Delays can benefit actors who gain from repeated studies, renegotiation, gatekeeping, or fragmented procurement. Political economy analysis should therefore identify whether slow progress is only a capacity issue or also an incentive issue.

Users should ask:

- Are any actors advantaged by unclear roles or opaque processes?
- Does fragmentation create opportunities for gatekeeping or duplication?
- Are there incentives to keep projects in preparation rather than move to implementation?
- Do delays shift costs to weaker actors?
- Are there political reasons why decisions are avoided?

This question is sensitive but important. It helps distinguish technical bottlenecks from institutional resistance.

Question 6: Who already has trusted delivery relationships or operational legitimacy?

Partnership design often starts with formal institutions, but operational legitimacy may sit elsewhere. A ministry may control approvals, but local providers may hold user trust. A DFI

may provide capital, but CSOs may understand adoption barriers. A private firm may have technology, but cooperatives or community health workers may control uptake.

Users should identify:

- Which actors are already trusted by users?
- Which actors have delivered consistently in the target geography or sector?
- Which actors understand local risks?
- Which actors can maintain trust during transition from pilot to scale?
- Which actors should be involved early to avoid social or operational failure?

Operational legitimacy should influence design, not only implementation. Actors with trusted delivery relationships should be included early enough to shape assumptions, risks, and accountability systems.

Question 7: Who owns, leads, and benefits locally?

Localization and African ownership are not only participation principles. They affect whether a partnership can become legitimate, durable, and system-strengthening over time. A partnership may be technically sound, financially structured, and institutionally supported, but still weaken local ownership if decisions, capital, value capture, or accountability remain concentrated outside the communities, institutions, and markets the partnership is meant to serve.

Users should ask:

- Who participates in key decisions, and are local actors involved before the model is finalized?
- Which African institutions, intermediaries, SMEs, providers, or community-facing organizations are positioned to lead or co-lead implementation?
- Is domestic capital participating, or is the model fully dependent on external finance?
- Will local SMEs, service providers, cooperatives, or enterprises gain stronger market access, capability, or ownership over time?
- Where is value captured: locally, nationally, regionally, or mainly by external actors?
- Who will own the platform, asset, delivery network, data system, or institutional capability after initial support ends?
- Does the model reduce dependency on external actors, or does it create new forms of dependency?
- Are accountability mechanisms close enough to communities, users, and affected groups to support feedback, correction, and trust?

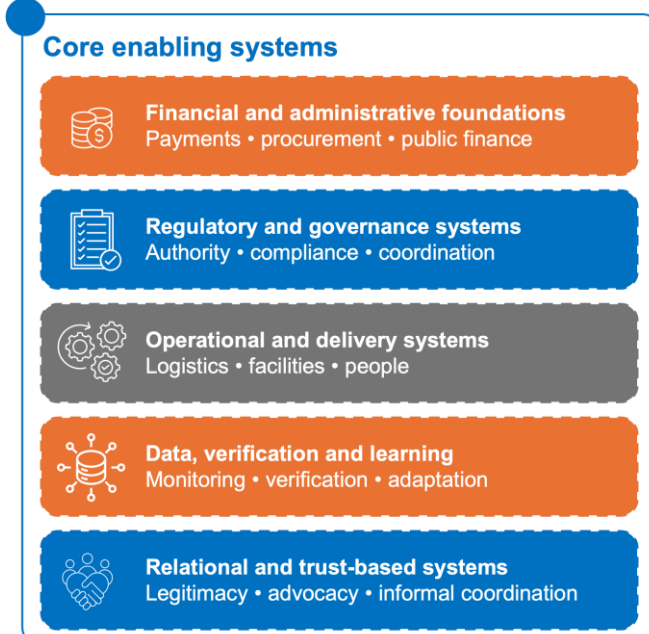
A partnership is more deployable when it strengthens local decision-making, builds African institutional capability, mobilizes domestic capital where possible, and creates pathways for long-term local ownership. If local actors are only consulted but not positioned to lead, own, finance, or hold the model accountable over time, the partnership may scale activity without strengthening the ecosystem it depends on.

Part VI. The systems beneath the models

6.1 Core enabling systems

Collaboration models are ultimately shaped by the environments in which they operate. Beyond financing structures or institutional arrangements, implementation outcomes often depend on the strength of underlying operational, financial, regulatory, and coordination capacities. In practice, weak enabling systems frequently become hidden constraints that slow execution, reduce implementation credibility, and limit the ability of initiatives to scale sustainably. Assessing these systems is therefore critical to understanding both implementation readiness and long-term delivery capacity.

Figure 13: Five systems, one outcome: from finance and regulation to trust and data, enabling delivery that actually holds.



1. Financial and administrative foundations

Reliable implementation depends heavily on the strength of underlying financial and administrative systems. This includes the reliability and enforceability of payment rails, the transparency and operational capacity of procurement processes, and the broader discipline of public financial management processes. In many contexts, delayed reimbursements, procurement bottlenecks, or inconsistent financial flows create operational uncertainty that weakens delivery credibility and discourages long-term private-sector participation.

2. Regulatory and governance systems

Regulatory and governance systems shape the legitimacy, predictability, and coordination capacity of implementation ecosystems. Regulatory pathways and compliance processes, legislative processes and political legitimacy, and broader coordination and decision-making capability all influence how rapidly initiatives move from concept to execution. In fragmented institutional environments, fragmented coordination mechanisms or unclear institutional authority frequently slow implementation and create execution risks across actors. Long-term implementation is also influenced by institutional culture and accountability norms, which shape how responsibilities are enforced and how institutional decisions are maintained over time.

3. Operational and delivery systems

Operational systems determine whether services, products, and interventions can realistically function at scale. This includes the strength of logistics and supply-chain systems, the availability of service delivery facilities and networks, and the reliability of core infrastructure such as power and digital connectivity. Sustainable implementation also depends on the availability of skilled personnel, institutional continuity, and accumulated operational knowledge through human capital and institutional memory. Even well-funded initiatives often struggle when core delivery capacities remain unreliable or institutionally fragile.

4. Data, verification, and learning systems

Effective implementation also relies on reliable data infrastructure and performance verification systems. These systems support monitoring, accountability, operational visibility, and evidence-based decision-making. Weak verification capacity frequently undermines coordination, reduces trust between actors, and complicates results-based or performance-linked financing arrangements.

5. Relational and trust-based systems

Beyond formal structures, collaboration ecosystems are also sustained by informal and relational dynamics. Advocacy and legitimizing narratives often help build political support, sustain stakeholder alignment, and strengthen public legitimacy around implementation efforts. At the same time, informal coordination and trust-based cooperation frequently play a critical role in resolving operational friction, facilitating collaboration across institutions, and maintaining momentum across complex delivery ecosystems.

6.2 From System Readiness to Systems Transformation

The systems described above are not only conditions required for implementation. They can also be strengthened through the partnership model itself. A partnership should therefore be assessed not only by whether it can operate within existing systems, but also by whether it improves those systems over time.

This systems transformation lens asks whether a partnership helps build the institutional, financial, operational, and accountability foundations required for future opportunities to become more deployable. A model that reaches financial close but leaves coordination weak, institutions dependent on external support, local actors excluded, or transaction costs unchanged may deliver a project without strengthening the wider ecosystem.

Users should therefore ask whether the partnership:

- strengthens the institutions responsible for preparation, procurement, payment, regulation, delivery, or accountability;
- improves coordination across public, private, civil-society, financing, and delivery actors;
- reduces transaction costs through standard documents, repeatable processes, shared platforms, or better data;
- builds implementation capability among local institutions, providers, SMEs, or intermediaries;
- improves the ability of the system to absorb and use capital effectively;
- strengthens domestic capital participation where feasible;
- supports local ownership of assets, platforms, institutions, or delivery networks over time;
- enables capital recycling through repayment, refinancing, portfolio performance, or take-out pathways;
- reduces long-term dependence on external grants by creating more credible payment, delivery, and ownership structures.

This does not mean every partnership must become commercially self-sustaining. Some activities will continue to require grant funding or public financing. The question is whether the model strengthens the system around it, so that future partnerships are easier to structure, finance, implement, monitor, and adapt.

Part XIV returns to these questions through monitoring and learning metrics, including indicators on institutional capability, coordination quality, domestic capital participation, transaction-cost reduction, local ownership, and capital crowd-in.

6.3 Community and accountability systems

Sustainable implementation depends not only on institutional effectiveness, but also on community legitimacy, trust, and accountability. Even technically sound initiatives can face resistance, limited adoption, or implementation risks when community engagement systems remain weak or when affected populations lack trusted channels for participation, feedback, or protection.

6. Community engagement and participation systems

Successful implementation often depends on the existence of effective community feedback loops, strong community adoption and participation systems, and broader forms of local trust infrastructure that support engagement between institutions and affected populations. These mechanisms help strengthen implementation legitimacy, improve responsiveness to local realities, and encourage sustained participation over time. In many contexts, trusted community relationships also play an important role in facilitating behavioral adoption, reducing resistance, and supporting long-term implementation continuity.

7. Accountability, protection, and monitoring systems

Implementation sustainability also relies on the presence of credible accountability and protection mechanisms. Effective grievance channels allow affected communities and stakeholders to raise concerns, resolve disputes, and strengthen institutional responsiveness during implementation. At the same time, safeguards, data protection measures, and broader social performance monitoring systems help ensure that implementation processes remain ethical, inclusive, and socially accountable over time. Weak accountability systems can undermine public trust, reduce adoption, and create operational or reputational risks that become increasingly difficult to address over time.

6.4 System readiness test

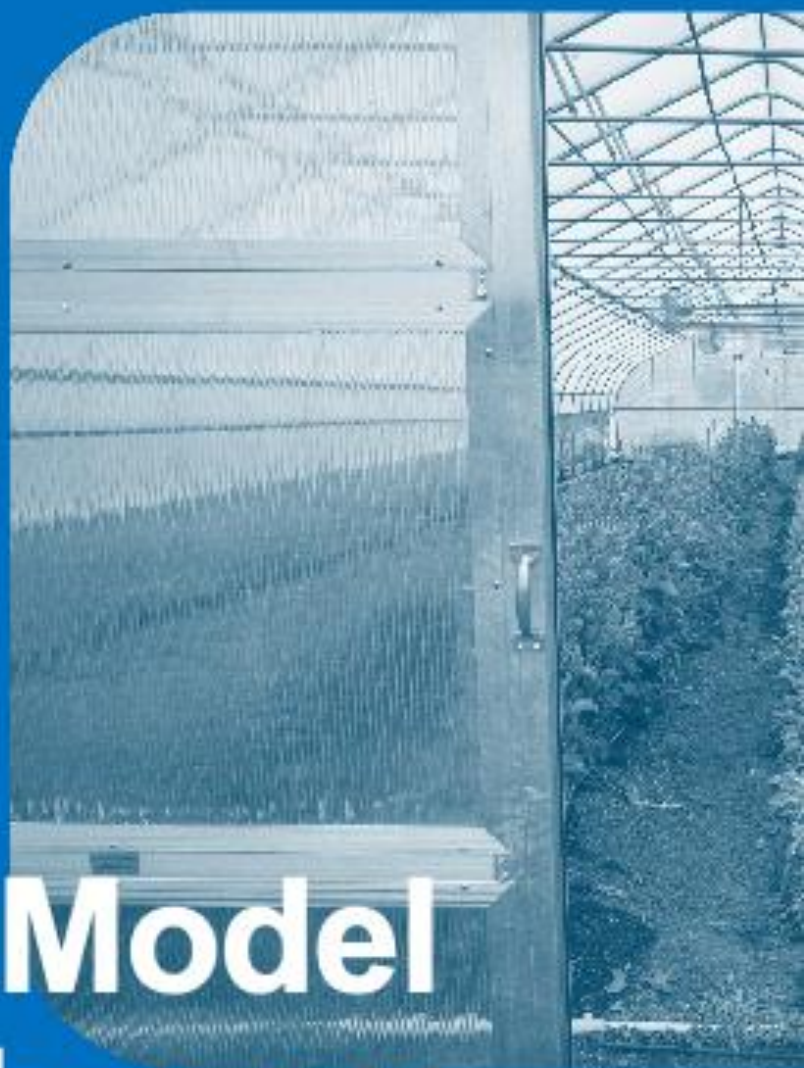
Before selecting or scaling a collaboration model, it is important to assess whether the systems required for implementation are already functional, partially established through previous development activity, or still require significant strengthening. In many contexts, implementation constraints do not emerge from the model itself, but from weaknesses in the surrounding operational, accountability, payment, verification, and community structures.

System readiness should influence both model selection and implementation sequencing. In some contexts, the priority may not be immediate scale, but rather the strengthening of the foundational systems required to support sustainable execution and long-term implementation credibility.

The following diagnostic lens can help assess implementation readiness across key enabling areas.

Table 2: A simple diagnostic, not a judgment: mapping which system foundations are in place – and where real strengthening is needed before scale.

System Area	Already functional	Partially established	Requires significant strengthening
Delivery systems and service networks			
Operational and logistics systems			
Payment and reimbursement systems			
Verification and data systems			
Accountability and safeguard systems			
Community engagement and trust systems			
Coordination and institutional decision-making systems			



Model pathways

**Model selection and the three
models in detail**

Model selection begins with the binding constraint. The three models in this Playbook are not generic partnership types; they are responses to specific execution problems that prevent existing social-impact or development activities from becoming scalable, sustainable, and deployable.

Before choosing a model, users should ask: **what is preventing this opportunity from moving from activity to execution?** In some cases, the problem is fragmentation: many small actors, assets, contracts, or cash flows exist, but none are large or standardized enough to attract capital individually. In other cases, the opportunity is visible but underprepared: the need is clear, but the project lacks credible structuring, risk allocation, payment security, or implementation readiness. In other contexts, service providers already exist, but they are not connected to predictable demand, standards, verification, and payment systems.

This section helps users move from diagnosis to model choice. It should be used after assessing the core failure patterns, actor roles, political economy conditions, and system readiness described in the previous sections.

7.1 Constraint-led model selection

The first step is to identify the primary constraint. The same opportunity may face several constraints at once, but model selection should begin with the constraint that most directly blocks scale, sustainability, or private-sector participation.

Table 3: Match the constraint to the pathway: different bottlenecks call for different models to unlock scale.

If the primary constraint is...	The likely model pathway is...	Because the model helps...
Fragmentation, small ticket sizes, dispersed assets, or sub-scale opportunities	Model 1: Aggregation and Warehouse Platforms	Pool smaller opportunities into standardized portfolios that can attract capital, reduce transaction costs, and create portfolio-level visibility.
Weak preparation, unclear risk allocation, poor payment credibility, or incomplete implementation readiness	Model 2: Integrated Project Preparation + Guarantee Platforms	Convert visible but underprepared opportunities into financeable and executable pathways by combining preparation, structuring, and targeted risk coverage.
Fragmented service providers, weak payment predictability, variable standards, or unreliable delivery coordination	Model 3: Predictable Delivery Networks	Connect providers to structured demand, service standards, verification systems, payment rules, and liquidity support.

The purpose of this selection process is not to force every opportunity into one model. Some initiatives may combine features of more than one model over time. For example, a delivery network may later generate receivables that can be aggregated into a financing portfolio, or a prepared infrastructure project may require a predictable provider network to sustain operations. However, starting with the primary constraint helps users avoid applying the wrong instrument to the wrong problem.

A useful model choice should answer three questions:

- **What is the main bottleneck preventing scale or participation?**
- **Which model directly addresses that bottleneck?**
- **What must be true for the model to work in this sector or country context?**

Model selection should begin with the constraint that most directly prevents deployability. The three models are not generic partnership options; each responds to a different structural problem.

A simple decision logic is:

If the main constraint is fragmented actors, assets, contracts, receivables, SMEs, or cash flows, the primary pathway is likely Model 1: Aggregation and Warehouse Platforms.

If the main constraint is an underprepared opportunity, unclear risk allocation, weak payment security, or low execution confidence, the primary pathway is likely Model 2: Integrated Project Preparation and Guarantee Platforms.

If the main constraint is fragmented service delivery, weak provider standards, limited verification, delayed payment, or poor coordination across providers and purchasers, the primary pathway is likely Model 3: Predictable Delivery Networks.

This decision logic should not be applied mechanically. Some opportunities may require more than one model over time. For example, a delivery network may later require aggregation finance, or a project preparation platform may eventually create a pipeline that can be warehoused or refinanced. The purpose of model selection is to identify the most urgent structural constraint and choose the model that addresses it first.



Wrong model risk

Selecting the wrong model can create activity without improving deployability



- Aggregation does not fix absent revenue logic.
- Pooling weak or unpaid assets does not make them financeable.



- Guarantees do not fix weak project design.
- Risk coverage cannot substitute for preparation, credible demand, or a viable operating model.



- Delivery networks do not fix lack of demand.
- Standards, accreditation, and verification only help if there is a credible user, purchaser, payer, or reimbursement pathway.



- Tools do not compensate for weak institutional ownership.
- Templates, scorecards, and diagnostics are useful only when actors have the mandate, authority, incentives, and capacity to act on them.

The right model should therefore be selected based on the binding constraint, not institutional preference, familiarity, or available instruments.

Using the Impact Capital Continuum Across the Three Models

The Impact Capital Continuum is not simply a list of financing instruments. It is a way of matching the right form of capital to the right stage of readiness. Grants, catalytic capital, guarantees, concessional finance, domestic capital, and commercial capital each play different roles depending on how mature the opportunity is, what risks remain unresolved, and whether the underlying delivery and payment systems are credible.

Across the three models, capital should move only as the opportunity becomes more deployable. This means that the type of capital used should reflect the maturity of demand, the credibility of the payer, the quality of preparation, the allocation of risk, the strength of delivery systems, and the ability of institutions to execute.

The **Continuum** helps users assess:

- which type of capital is appropriate at each stage of readiness;
- what risks must be reduced before more commercial capital can enter;
- when grant funding remains appropriate for market-building, inclusion, preparation, or public-good functions;
- when catalytic capital should be used to absorb early risk or crowd in additional participation;
- when guarantees, liquidity facilities, or risk-sharing instruments are needed to address specific risks;
- when domestic or commercial capital can participate credibly;
- which KPIs show that an opportunity is moving toward greater deployability.

Each of the three model chapters applies the **Impact Capital Continuum** through a model-specific capital pathway:

- **Aggregation and Warehouse Platforms** show how capital may move from market-building grants and first-loss capital toward warehouse finance, senior debt, domestic capital, and refinancing.
- **Integrated Project Preparation and Guarantee Platforms** show how grant-funded preparation, technical assistance, concessional finance, and guarantees can help move underprepared opportunities toward financial close.
- **Predictable Delivery Networks** show how grants, technical assistance, working-capital facilities, liquidity buffers, and receivables finance can help fragmented providers become financeable delivery partners.

The key point is that capital should not be introduced as a substitute for structure. If demand is unclear, grants or technical assistance may still be needed. If payment is credible but delayed, a liquidity facility may be more appropriate than a guarantee. If risks are specific and well understood, targeted risk-sharing may unlock participation. If cash flows, performance data, and institutional responsibilities are credible, domestic or commercial capital may become appropriate.



The accompanying Toolkit provides the full capital sequencing worksheet to help users assess which form of capital is appropriate at each stage, what conditions must be met before capital can move, and which indicators show progression toward deployability.

7.2 Institutional role selection

Once the model pathway is identified, institutions should clarify the role they are best placed to play. The question is not only **which model fits**, but **who is needed to make the model work**.

These roles are not mutually exclusive. In practice, institutions or individuals may perform multiple functions across the partnership lifecycle. However, role selection should be practical rather than aspirational. Actors should take on roles based on their mandate, authority, capacity, legitimacy, capital, risk appetite, and ability to coordinate or execute.

Figure 14: Core institutional roles: clarifying who funds, convenes, de-risks, delivers, and sustains scale.



The roles above should also be read through a systems lens. In some cases, the most

important role is not generic convening, but ecosystem orchestration: the function of aligning actors, reducing transaction friction, maintaining execution momentum, coordinating across institutions, supporting shared standards, and linking capital, demand, delivery, legitimacy, and accountability. This differs from convening because it does not stop at bringing actors together; it helps move partnerships from alignment to execution.

Other roles may also be needed depending on the constraint. A domestic capital mobilizer may be required where local banks, pension funds, insurers, public funds, corporates, or local investors need to be prepared and engaged. A local ownership steward may be needed where the partnership must strengthen African institutional capability, local enterprise participation, community accountability, and long-term ownership of platforms, assets, or delivery systems.

Roles can also change across the partnership lifecycle. An actor that leads during design may not be the right actor to lead implementation. An institution that funds early preparation may need to transition responsibility to a public purchaser, operator, intermediary, or local platform owner as the model matures. Role selection should therefore be assessed across design, preparation, financing, implementation, scale, and transition or institutionalization.



The accompanying Toolkit includes a role-selection matrix to help users map these roles across the partnership lifecycle and test whether each actor has the mandate, authority, incentive, capacity, legitimacy, and risk-bearing ability required for the role it is being asked to play.

The strongest partnership pathways usually require more than one role. A donor may fund preparation but also convene actors. A CSO may provide market intelligence and accountability. A government may act as purchaser, regulator, and political sponsor. A foundation may de-risk early participation while supporting ecosystem development. What matters is that roles are explicit, credible, and aligned with the constraint being addressed.

If no actor has the authority, incentive, capacity, or legitimacy to perform a critical function, that gap must be resolved before the model can become deployable.

7.3 CSO and institutional actor decision layer

Model selection should not be driven by capital logic alone. A model may appear financially sound but still fail if it lacks legitimacy, adoption, accountability, or delivery readiness. Similarly, a model may be socially compelling but remain difficult to scale if roles, payments, risks, and operating systems are unclear.

For **CSOs and development actors**, the decision layer should test whether the model is grounded in real demand and delivery realities. Key questions include:

- Is the demand visible, validated, and understood from the perspective of users or communities?
- Are trust, legitimacy, and adoption conditions strong enough to support implementation?
- Are inclusion risks, affordability concerns, or community-level constraints identified early?
- Are accountability, feedback, and grievance mechanisms built into the model?
- Does the model preserve the social and delivery logic that made the opportunity worth scaling?

For **institutional actors**, the decision layer should test whether the model fits strategic priorities, institutional capabilities, and resource commitments. Key questions include:

- Does the model align with the institution's mandate, strategy, and risk appetite?
- What role is the institution best placed to play?
- Are the required resources, partners, systems, and decision rights available?
- Is there a credible capital, funding, or procurement pathway?
- Can the model scale beyond a one-off intervention or pilot?

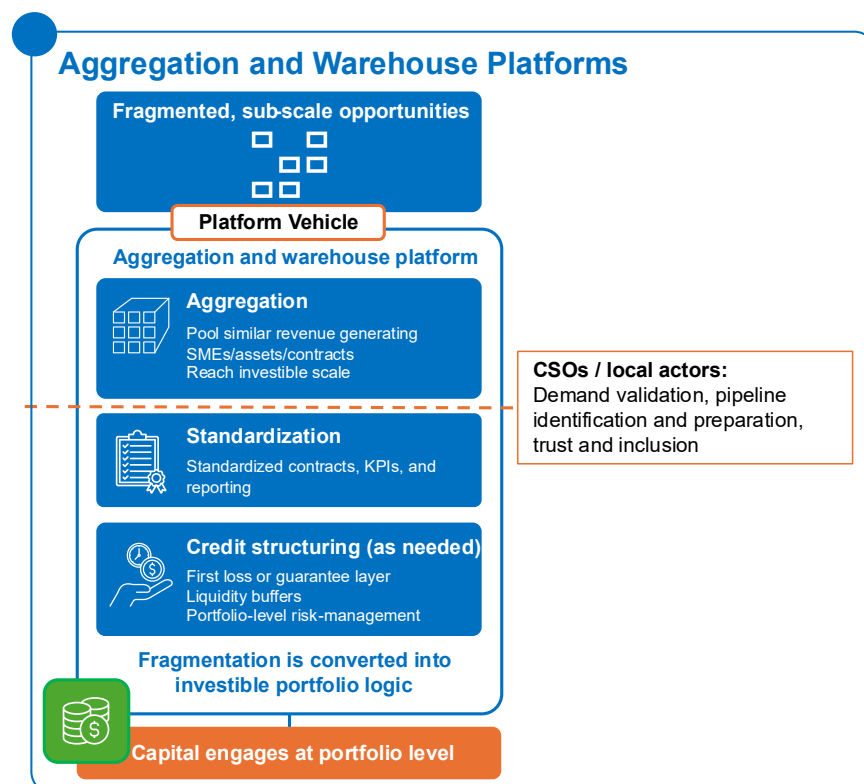
This decision layer helps prevent two common mistakes: selecting a model because capital is available, rather than because it addresses the binding constraint; and assigning roles based on what actors should do in theory, rather than what they can credibly do in practice.

In this sense, model selection and role selection are inseparable. A model becomes deployable only when the right constraint is identified, the right pathway is selected, and the right actors are positioned to make it work.

Part VIII. Model 1 – Aggregation and Warehouse Platforms

8.1 What problem the model solves

Figure 15: From fragmentation to flow: pooling, standardizing, and structuring risk to turn small deals into investable portfolios.



Aggregation and warehouse platforms address situations where promising opportunities exist, but remain too fragmented, small, or inconsistent for investors and larger partners to assess efficiently.

In many markets, social-impact and development activities are already generating value through local enterprises, CSOs, SMEs, service providers, cooperatives, clinics, distributors, or community-facing actors. The challenge is that these opportunities often remain dispersed across many small actors, locations,

contracts, or delivery systems. Individually, they may be too costly to diligence, too small to finance, or too variable to scale. Collectively, however, they may represent a credible and investable market.

This model creates a pathway from fragmented activity to structured portfolio logic. It pools smaller opportunities into a common platform or vehicle, applies shared eligibility criteria and standard terms, and creates enough visibility, consistency, and scale for capital to engage.

The purpose is not to replace local delivery systems or erase their diversity. It is to make existing activity more legible, comparable, and financeable without losing the trust, relationships, and delivery capacity that made the activity valuable in the first place.



At its core, this model helps answer one practical question:

Can many smaller opportunities be structured together in a way that makes them easier to assess, finance, manage, and scale?

8.2 Where it applies

Aggregation and warehouse platforms are most relevant where there are many similar or adjacent opportunities that are individually sub-scale but collectively meaningful. The model works best where there is enough commonality across actors, assets, contracts, or cash flows to allow standardization without undermining local delivery realities.

Food and agriculture

This model can apply to processors, aggregators, irrigation providers, cold chain operators, storage assets, logistics providers, input distributors, and other value-chain actors that sit between producers and final buyers.

These markets often depend on a shared understanding of production volumes, quality expectations, delivery timing, and performance across multiple actors. When these elements are visible enough to coordinate, smaller enterprises and assets can be grouped into structures that are easier for buyers, lenders, and investors to engage.

Aggregation can help convert scattered value-chain activity into a more coherent platform for finance, offtake, infrastructure use, and market access.

Energy

This model can apply to mini-grids, PAYGo receivables, solar irrigation assets, clean cooking providers, distributed energy systems, and other decentralized energy models.

Distributed energy markets often involve many small customers, assets, payments, and service points. Individually, these may appear too fragmented for institutional capital. However, where usage patterns, service reliability, customer payment behavior, and asset performance are sufficiently understood, these activities can be pooled into more financeable portfolios.

Aggregation allows capital to engage with the performance of a portfolio rather than underwriting every asset or customer relationship separately.

Health

This model can apply to clinics, pharmacies, diagnostic providers, provider networks, equipment-finance portfolios, and other distributed health delivery assets.

Health markets often include many smaller providers that serve real demand but lack the scale, documentation, or payment history needed to attract finance individually. Where there is confidence in service utilization, provider performance, quality standards, and payment continuity, these providers can be grouped into financing or service platforms.

Aggregation can help transform fragmented provider capacity into a more structured network that supports reimbursement, quality assurance, working capital, equipment finance, and service expansion.

8.3 Transaction mechanics

Aggregation and warehouse platforms work by creating a common structure through which smaller opportunities can be assessed, financed, and managed as a portfolio.

Typical transaction mechanics include:

- **Eligibility criteria** that define which SMEs, assets, contracts, providers, or receivables can enter the platform;
- **Standardized contracts and documentation** to reduce transaction costs and make opportunities comparable;
- **A warehouse vehicle or portfolio structure** that temporarily holds, finances, or organizes the underlying assets or cash flows;
- **Pooled cash flows or portfolio-level repayment logic** that allows lenders and investors to assess performance at scale;
- **First-loss or catalytic capital** to absorb early risk and create confidence for more commercial layers of capital;
- **Senior debt or institutional capital** that enters once the portfolio has sufficient structure, scale, and performance confidence;
- **Operational and performance tracking** to support reporting, accountability, and portfolio management;
- **Take-out financing or refinancing pathways** that allow the portfolio to move from early warehousing into longer-term capital once performance is established.

The model depends on a balance between standardization and flexibility. Too little standardization leaves capital facing the same fragmentation as before. Too much standardization may exclude the smaller or community-rooted actors the platform is meant to support.

8.4 Impact Capital Pathway: From Fragmentation to Portfolio Finance

Aggregation models require capital to move in stages as fragmented opportunities become more structured, standardized, and financeable. Early grant and preparation support help identify and organize the pipeline. Technical assistance and catalytic support help develop common eligibility rules, documentation, and reporting systems. Warehouse finance supports pooled assets, receivables, SMEs, contracts, or cash flows while performance data is built.

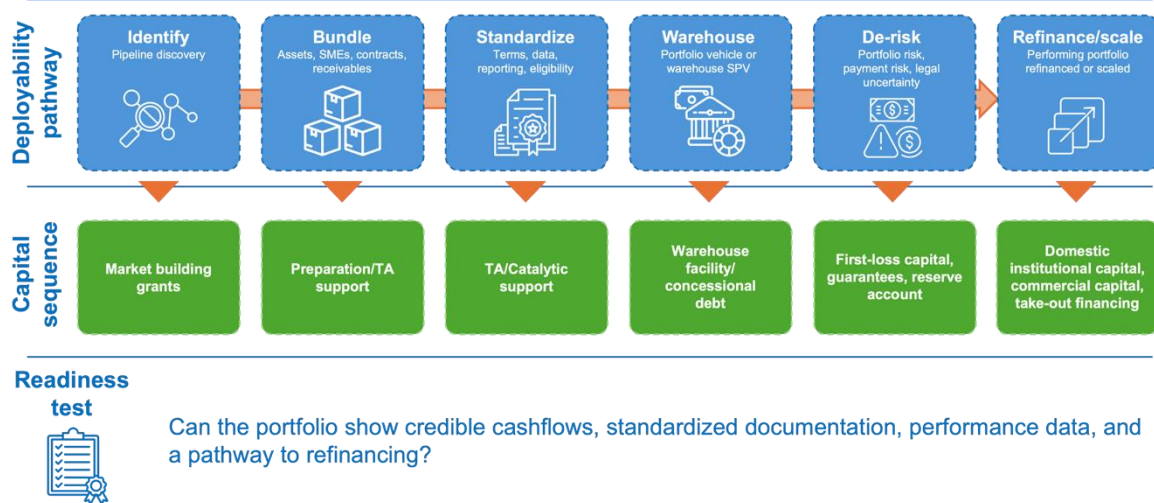
First-loss capital, guarantees, or reserve accounts may then be used to address specific portfolio, payment, or legal risks. Domestic and commercial capital become appropriate once repayment logic, reporting, performance history, and take-out pathways are credible.



The key financing question is not simply whether capital is available. It is whether the portfolio has become structured enough for different forms of capital to enter at the right stage.

Impact capital pathway

Model 1: From Fragmentation to Portfolio Finance



Key indicators to track include:

- number of assets, SMEs, contracts, or receivables aggregated;
- percentage of underlying opportunities meeting eligibility criteria;
- portfolio repayment or performance rate;
- time required to finance the aggregated portfolio compared with individual transactions;
- level of domestic capital participation;
- reduction in transaction costs;
- take-out financing or refinancing achieved.

Risks to test include:

Risk to test	What it means	Mitigation
Heterogeneity risk	Underlying opportunities are too different to be pooled effectively.	Use strict eligibility criteria, technical standards, and standardized documentation.
Weak revenue logic	Pooled opportunities lack credible cashflows, receivables, contracts, payment mechanisms, or offtake.	Require identifiable repayment or payment logic before assets enter the warehouse.
Portfolio opacity	Investors cannot assess performance because data, reporting, or verification is weak.	Use common KPIs, reporting templates, verification systems, and portfolio dashboards.
Subsidy dependence	Concessional capital masks weak unit economics rather than reducing specific risks.	Define a credible pathway to commercial take-out, refinancing, or capital recycling.
Exclusion risk	Eligibility criteria exclude smaller, informal, or community-rooted actors.	Use tiered eligibility standards, technical assistance, and CSO or local actor input.

For detailed examples of aggregation models in practice, see the Case Study Compendium.

8.5 CSO and institutional actor lens

CSO role

CSOs and community-facing organizations can play a significant role in making aggregation models more legitimate, inclusive, and grounded in delivery reality.

They can help:

- validate demand and user needs across communities or delivery points;
- identify credible local actors, SMEs, providers, or cooperatives;
- strengthen trust between formal finance, aggregators, and local delivery actors;
- support adoption, feedback, and accountability mechanisms;
- ensure inclusion of smaller or underserved actors that may otherwise be excluded by formal eligibility requirements;
- surface operational constraints that may affect delivery, repayment, quality, or uptake;
- protect the social-impact objectives that justify aggregation in the first place.

In this model, CSOs do not need to become financiers or portfolio managers. Their value lies in helping ensure that aggregation is not only efficient, but also legitimate, inclusive, and connected to real demand.

Institutional actor role

Institutional actors should clarify whether they are best positioned to fund, convene, de-risk, aggregate, or support the pathway or platform.

Their role may include:

- funding early platform design or market preparation;
- convening fragmented actors around a common structure;
- providing first-loss capital or guarantees;
- supporting standardization of documentation, eligibility rules, or reporting;
- helping build confidence among lenders, investors, buyers, or public actors;
- strengthening the systems needed for coordination, payment, and performance monitoring;
- deciding whether aggregation fits the institution's broader strategic role in the market.



The key strategic question for institutional actors is:

Are we helping fragmented actors become visible and financeable together, or simply adding another layer of coordination?

8.6 Bankability test and failure modes

Aggregation and warehouse platforms are only useful where aggregation creates genuine portfolio value. Pooling weak or unrelated opportunities does not automatically make them investable.

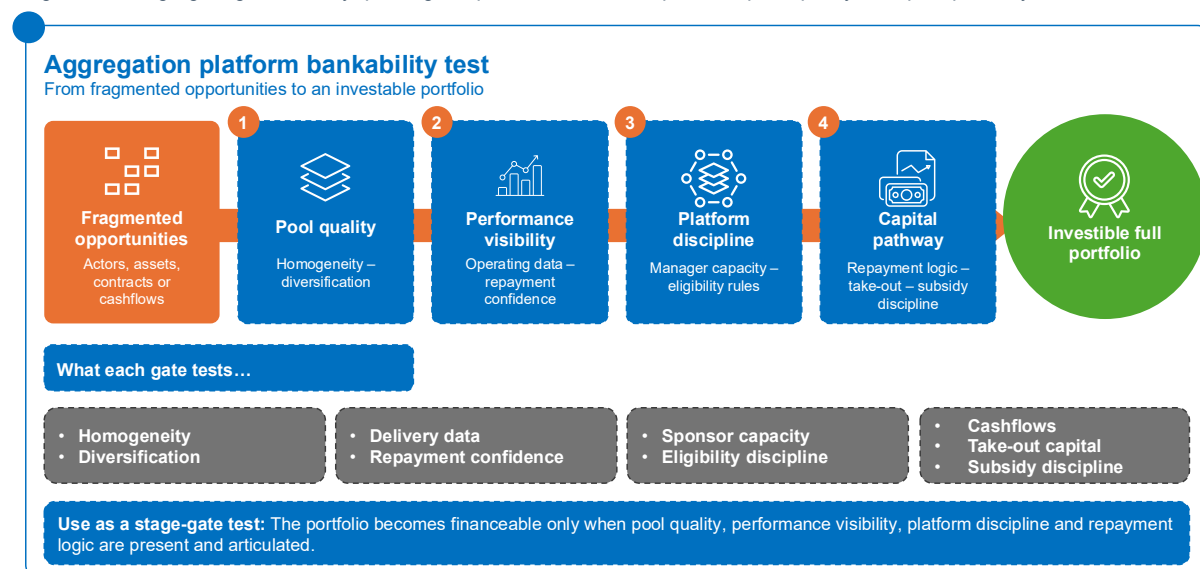
Before using this model, users should assess whether the underlying opportunities are sufficiently similar, visible, and reliable to support portfolio logic.

Bankability test

Key questions include:

- **Homogeneity:** Are the underlying actors, assets, contracts, or cash flows similar enough to be pooled?
- **Performance confidence:** Is there enough visibility into how the underlying opportunities operate, deliver, and repay?
- **Sponsor or platform capacity:** Is there a credible actor able to manage the warehouse, enforce standards, and coordinate participants?
- **Repayment logic:** Are there identifiable cash flows, receivables, contracts, or payment mechanisms that can support financing?
- **Portfolio diversification:** Does the pool reduce risk through scale and diversification, or simply concentrate similar weaknesses?
- **Eligibility discipline:** Are entry rules clear enough to maintain quality without excluding the actors the model is meant to support?
- **Path to take-out capital:** Is there a realistic route from early warehousing to longer-term refinancing or institutional participation?
- **Subsidy discipline:** Is catalytic or concessional capital reducing specific risks, or masking weak unit economics?

Figure 16: Stage-gating bankability: proving the portfolio at each step – from pool quality to capital pathway.



Common failure modes

Failure condition	What it means in practice
Heterogeneity of underlying opportunities	Assets or enterprises are too different in size, risk profile, or business model to be standardized into a coherent portfolio.
Unclear revenue logic	Opportunities are pooled before a clear payer, revenue stream, or repayment pathway is established.
Weak platform management	No credible manager or coordinating entity to structure, govern, and operate the platform effectively.
Misuse of catalytic capital	First-loss or concessional capital is deployed without a clear pathway to crowd in commercial investors.
Weak reporting and data visibility	Investors cannot assess performance due to poor data, inconsistent reporting, or lack of transparency.
Exclusion through eligibility rules	Standardization or eligibility criteria unintentionally exclude smaller, informal, or community-rooted actors.
Subsidy dependence	The platform relies on ongoing subsidies without improving underlying unit economics or viability.
Assumed take-out financing	Refinancing or exit through commercial capital is expected but not structured or secured in advance.
Administrative layering	The platform adds complexity or bureaucracy rather than improving scale, efficiency, or access to capital.

Closing logic

Aggregation is not coordination for its own sake. It is useful when it turns many smaller, dispersed, or informal opportunities into a structured portfolio that can be understood, financed, and scaled.

For CSOs and development actors, the model offers a way to preserve the value of local delivery, trust, and social-impact activity while creating a bridge toward broader participation. For institutional actors and investors, it creates a pathway to engage with markets that are too fragmented to finance one actor at a time.

Model Effectiveness

- 
Creates a pathway to sustainable capital
 Establishes a credible transition from early support and catalytic capital to commercially viable, repeatable participation.
- 
Introduces disciplined standardization
 Applies enough structure to reduce transaction costs, improve comparability, and increase investor confidence – without eroding local relevance.
- 
Protects trusted delivery systems
 Preserves the local relationships, community trust, and operational systems that generate impact and enable adoption.

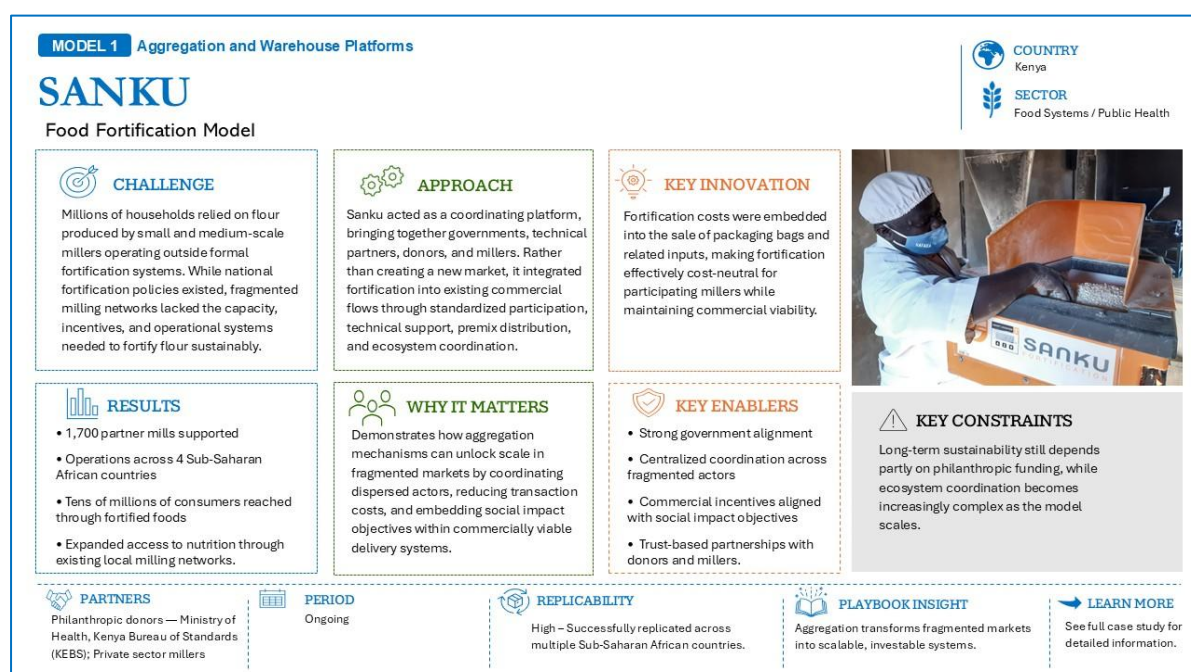
8.7 Illustrative case

In food systems and agricultural markets, aggregation models have increasingly emerged as mechanisms for organizing fragmented producers, delivery actors, and value-chain relationships into more coordinated and financeable structures. By creating shared operational systems, standardized participation mechanisms, and portfolio visibility across dispersed actors, these models help transform fragmented local activity into scalable delivery ecosystems capable of attracting longer-term institutional and commercial participation.

Sanku's food fortification model in Kenya shows how aggregation can turn a fragmented market into a scalable delivery system. By coordinating governments, technical partners, donors, and small- and medium-scale millers, Sanku embedded fortification into existing milling operations rather than creating a parallel market. The model reduced participation costs through packaging-related revenue, aligned commercial incentives with nutrition outcomes, and reached millions of consumers through trusted local milling networks. Its success depended on government alignment, ecosystem coordination, and partnerships with donors and millers, while long-term sustainability remains linked to philanthropic support and the growing complexity of coordination as the model scales.

What worked:

- Fragmented actors were pooled into a visible portfolio.
- Common standards made opportunities comparable.
- Contracts, receivables, or demand signals created a financing basis.
- Local actors helped preserve trust and pipeline quality.



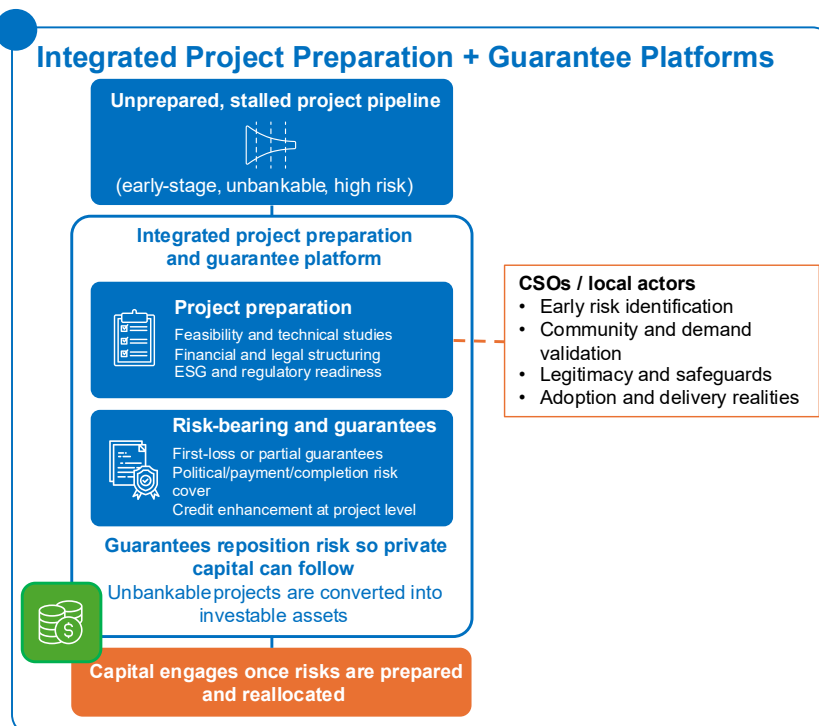
Part IX. Model 2 – Integrated Project Preparation + Guarantee Platforms

9.1 What problem the model solves

This model addresses situations where development or investment opportunities are already visible and strategically important, but remain difficult to finance, scale, or execute because preparation is incomplete, risks are poorly allocated, or implementation readiness is uncertain.

In many cases, the opportunity is not missing. The social need is clear, the development rationale is strong, and public or institutional interest may already exist. What is missing is a structured pathway that makes the opportunity sufficiently credible for partners, financiers, and implementers to act.

Figure 17: From pipeline to bankability: preparing projects and reallocating risk so capital can finally engage.



This model helps existing social-impact and development initiatives evolve into scalable and financeable partnership pathways by pairing project preparation with targeted risk coverage and implementation readiness. It does not replace the original delivery intent or social-impact logic. Instead, it strengthens the conditions required for those initiatives to become legible, credible, and executable at scale.



At its core, this model helps answer one practical question:

Can a visible but underprepared opportunity be structured, de-risked, and readied for execution in a way that makes wider participation possible?

9.2 Where it applies

This model is most relevant where opportunities are already identified, but confidence in delivery, payment, risk allocation, or implementation readiness is not yet sufficient for private-sector or institutional participation.

Energy

This model can apply to IPPs, transmission, geothermal, grid infrastructure, renewable generation, and other energy assets that require significant preparation before capital can engage.

In these sectors, viability often depends on credible assumptions around demand, costs, timelines, counterparties, tariff or payment structures, and system performance. Even where resource potential or policy ambition is strong, projects can stall if preparation is incomplete or if investors cannot see how risks will be allocated and managed.

Integrated preparation and guarantee support can help move energy opportunities from strategic priority to financeable project.

Food and agriculture

This model can apply to irrigation schemes, agro-industrial zones, storage infrastructure, cold chain systems, logistics corridors, market hubs, and other value-chain infrastructure.

These opportunities often depend on realistic expectations around production, throughput, coordination, offtake, logistics, and operating costs. If these assumptions are not tested and structured clearly, projects may remain attractive in principle but difficult to finance or implement.

Preparation and risk coverage can help translate agricultural and food-system ambition into executable investment pathways, especially where infrastructure and market coordination are both required.

Health

This model can apply to hospitals, diagnostics, equipment PPPs, digital health infrastructure, delivery platforms, and other health-system investments requiring coordination between public, private, and development actors.

In health, sustainability often depends on credible expectations around service utilization, reimbursement discipline, provider performance, payment continuity, and quality standards. Opportunities may be strategically important, but difficult to finance if public purchasing, claims settlement, or operational continuity is uncertain.

Integrated preparation can help clarify the operating model, while targeted risk coverage can improve confidence in the payment and delivery pathway.

9.3 Transaction mechanics

The model combines structured preparation with selective risk coverage to make opportunities more legible, credible, and executable.

Typical elements include:

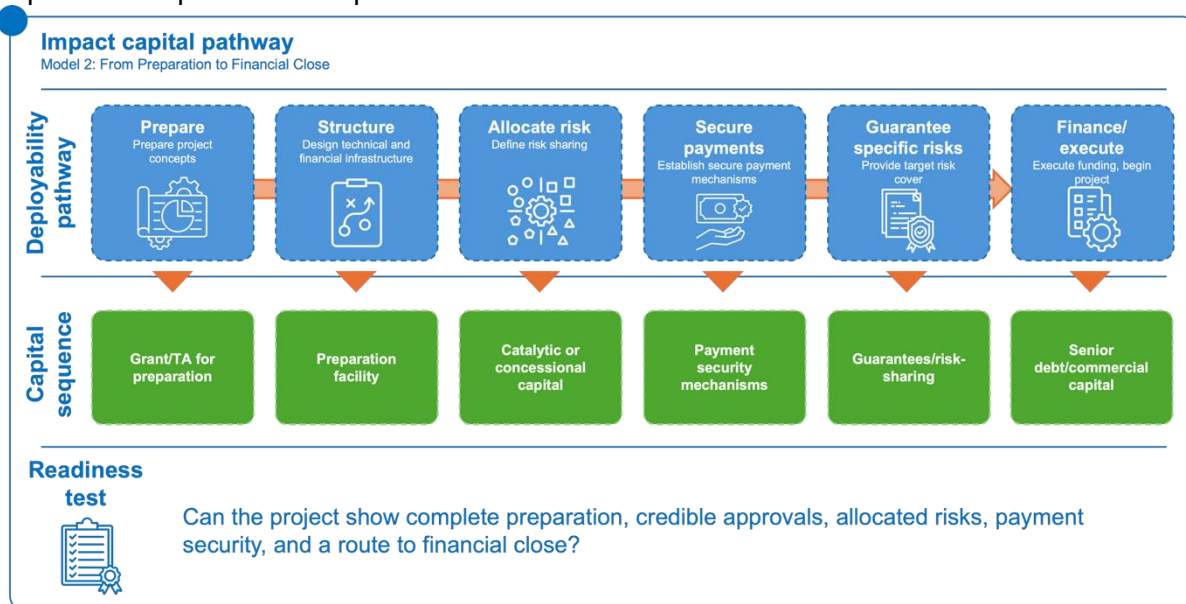
- **Preparation funding** to support early technical, operational, financial, legal, and institutional work;
- **Feasibility studies** grounded in delivery realities, market conditions, and realistic operating assumptions;
- **Legal and financial structuring** that reflects operational constraints, revenue logic, payment pathways, and counterpart responsibilities;
- **Environmental and social documentation** that incorporates community, implementation, safeguard, and adoption considerations;
- **Procurement-ready dossiers** with clear scope, sequencing, responsibilities, and performance expectations;
- **Guarantees or risk-sharing instruments** aligned to the specific risks constraining participation;
- **Payment security mechanisms** that improve confidence in timing, reliability, and counterparty performance;
- **Contingent liability management** informed by realistic exposure, fiscal capacity, and long-term public commitments;
- **Implementation readiness checks** that confirm whether the necessary approvals, actors, capabilities, and systems are in place before moving forward.

Together, these elements help translate ambition into a credible execution pathway. Preparation makes the opportunity visible and structured; targeted risk coverage helps make it investable.

The model works best when preparation and de-risking are designed together. Preparation without risk coverage may produce well-documented but still unfinanceable projects. Risk coverage without preparation may protect investors without solving the underlying execution problem.

9.4 Impact Capital Pathway: From Unprepared Opportunity to Financeable Project

Integrated project preparation and guarantee platforms require capital to move in stages as an opportunity becomes more structured, risk-aware, and financeable. Early grant funding and technical assistance support feasibility, legal structuring, ESG and social safeguards, community risk assessment, financial modelling, and procurement documentation. Preparation facilities help move priority opportunities from concept stage to procurement-ready or investment-ready status. Catalytic or concessional capital can then support promising opportunities where early risks remain unresolved. Guarantees and risk-sharing instruments should be used only for specific risks, such as payment default, political risk, completion risk, counterparty risk, or liquidity risk. Senior debt and commercial capital become appropriate once preparation, approvals, revenue logic, risk allocation, and payment security are credible. The key financing question is not simply whether the project has development value or political support. It is whether the opportunity has been prepared, structured, and de-risked enough for capital and implementation partners to move forward with confidence.



Key indicators to track include:

- number of projects moving from concept to preparation-ready;
- number of projects reaching procurement-ready or investment-ready status;
- time from preparation to financial close;
- percentage of risks explicitly allocated;
- payment security mechanism established;
- guarantee utilization rate;
- private capital mobilized per unit of grant or concessional capital;
- fiscal exposure assessed and managed.

Risks to test include:

Risk	Deployability concern	Mitigation
Preparation without execution	Studies, feasibility work, or transaction documents do not lead to implementation.	Require a time-bound execution pathway, decision gates, and an accountable sponsor.
Misused guarantees	Guarantees compensate for weak design, unclear revenue logic, or poor preparation.	Use guarantees only for clearly defined risks after the project logic is credible.
Weak payment security	Payment commitments exist but are not credible, budget-backed, timely, or enforceable.	Use escrow, liquidity facilities, budget-backed commitments, or payment guarantees.
Approval delays	Permits, procurement, fiscal approvals, or regulatory steps are not sequenced.	Create an approval roadmap, decision calendar, and institutional owner.
Contingent liability risk	Public exposure from guarantees or backstops is not fully understood or capped.	Conduct fiscal exposure assessments, apply value-for-money checks, and set risk caps.

For detailed examples of project preparation and de-risking models in practice, see the Case Study Compendium.

9.5 CSO and institutional actor lens

CSO role

CSOs can play an important role in ensuring that preparation reflects delivery realities rather than only technical assumptions.

They can help:

- surface early community-level risks, adoption constraints, and legitimacy considerations;
- support consultation processes that strengthen trust and reduce implementation friction;
- identify operational issues that may affect uptake, service quality, or continuity;
- provide insight into affordability, access, inclusion, and user experience;
- support accountability monitoring during preparation and implementation;
- help validate whether assumptions about demand, delivery, and participation reflect what is happening on the ground.

In this model, CSOs are not simply consulted as safeguard actors. They can help improve the quality of preparation by making social, operational, and community realities visible early enough to shape the project structure.

Institutional actor role

Institutional actors assess which opportunities merit preparation, where risks or gaps remain, and what type of support is needed to move from concept to execution.

Their role may include:

- prioritizing opportunities that are strategically important and realistically executable;
- funding or coordinating preparation work;
- deciding where catalytic capital, guarantees, or technical assistance are appropriate;
- aligning internal and external stakeholders around a common pathway;
- testing whether public commitments, payment pathways, and institutional roles are credible;
- ensuring that preparation and risk coverage are linked to long-term sustainability, not only financial close.



The key question for institutional actors is:

Are we preparing and de-risking the opportunity in a way that addresses the real constraint, or only improving the appearance of readiness?

9.6 Bankability test and failure modes

This model is more likely to succeed when there is shared confidence in how the opportunity will function in practice. Bankability depends not only on technical preparation, but on whether delivery, payment, risk allocation, and institutional commitments are credible enough for partners and capital to engage.

Bankability test

Key questions include:

- **Demand and revenue logic:** Are assumptions around demand, revenue, utilization, or offtake credible and grounded in delivery experience?
- **Operational sustainability:** Is there a realistic understanding of operating costs, service continuity, maintenance, and long-term institutional ownership?
- **Counterparty credibility:** Is the public, purchasing, or contracting counterparty reliable and consistent in its commitments?
- **Risk coverage fit:** Are guarantees or risk-sharing instruments aligned with the risks that actually constrain participation?
- **Payment security:** Is there enough confidence in the timing and reliability of payment flows?
- **Procurement integrity:** Is procurement structured in a way that supports transparency, competition, and disciplined implementation?
- **Approval sequencing:** Are approvals, permits, and decision points sequenced realistically enough to move from preparation to delivery?
- **Fiscal exposure:** Are fiscal and contingent liabilities understood, disclosed, and manageable?
- **Implementation readiness:** Are the actors, systems, and capabilities required for delivery sufficiently in place?

Figure 18: From readiness to reality: pressure-testing demand, delivery, risk, and procurement before capital moves.



Common failure modes

Failure condition	What it means in practice
Technical preparation disconnected from reality	Preparation focuses on studies and analysis without grounding in actual delivery conditions, capacity, or implementation constraints.
Overly optimistic feasibility assumptions	Feasibility studies rely on demand, cost, or performance assumptions that have not been tested in real operating environments.
Misaligned risk coverage	Guarantees or risk instruments do not address the specific risks that are actually preventing capital from entering.
Late or misused guarantees	Guarantees are introduced too late in the process or used to compensate for fundamentally weak project design.
Weak payment security	Payment mechanisms are assumed to function but are not contractually defined, funded, or enforceable.
Unclear or weak procurement processes	Procurement is delayed, opaque, or lacks credibility, creating uncertainty for investors and implementers.
Politically strong but fiscally weak commitments	Public-sector commitments are visible or announced but lack the fiscal backing or credibility needed for long-term delivery.
Late-stage legitimacy risks	Community acceptance, adoption, or social risks are identified only after structuring is advanced, increasing implementation risk.
Breakdown in institutional confidence	Trust between counterparties erodes during implementation due to delays, unmet commitments, or unclear roles.
Preparation without execution pathway	Preparation produces reports and documentation but does not lead to a credible, time-bound path to implementation and delivery.

Closing logic

Integrated project preparation and guarantee platforms are most useful when the problem is not the absence of opportunity, but the absence of credible structure.

For CSOs and development actors, this model helps translate social-impact activity, delivery experience, and community legitimacy into preparation that can support scale. For institutional actors and financiers, it clarifies what must be prepared, what risks must be covered, and what commitments must be credible before participation becomes viable.

Model Effectiveness

1



Transforms opportunity into execution

Converts visible but under-structured opportunities into clear, actionable, and implementable partnership pathways.

2



Targets the real constraint

Aligns risk coverage, preparation, and structuring with the specific barriers preventing participation, rather than applying generic solutions.

3



Preserves what makes the model viable

Maintains the social, operational, and delivery logic that originally validated the opportunity and supports adoption at scale.

9.7 Illustrative case

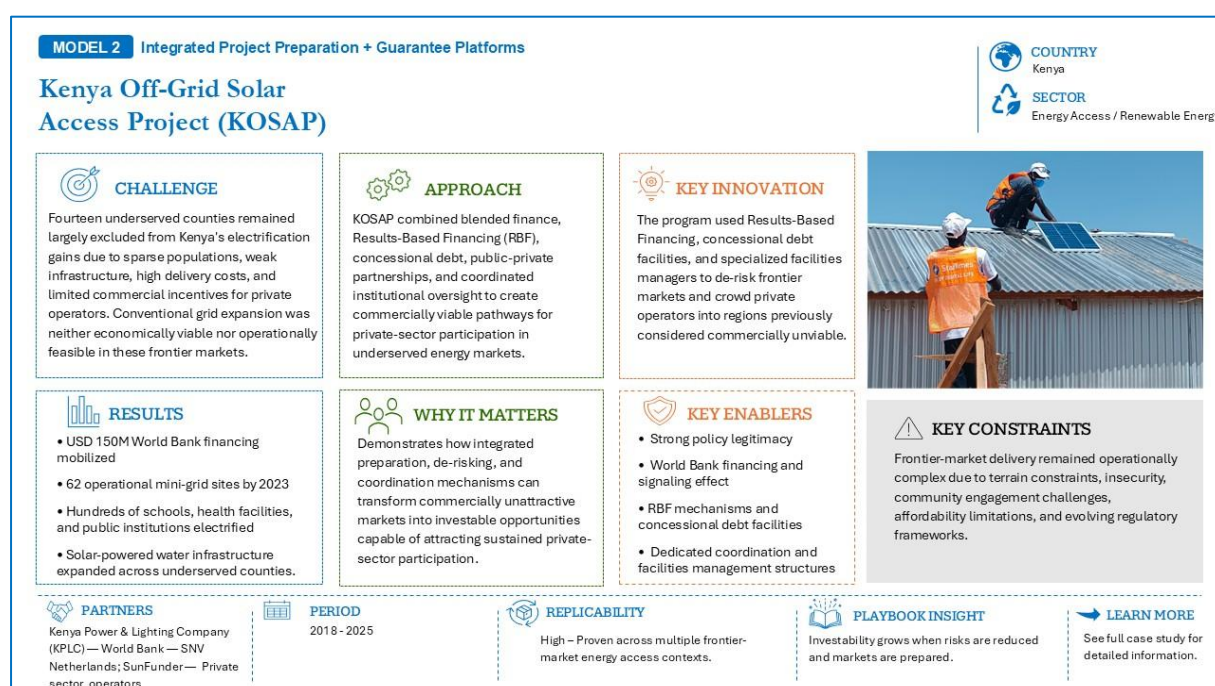
In practice, integrated preparation and de-risking structures have become particularly important in sectors where projects are strategically valuable but remain difficult to finance due to execution uncertainty, payment risk, or implementation complexity.

KOSAP shows how integrated preparation and de-risking can turn commercially unattractive frontier energy markets into viable delivery pathways. By combining World Bank financing, results-based financing, concessional debt, public-private coordination, and

dedicated facilities management, the project reduced risks for private operators entering underserved counties with weak infrastructure, dispersed demand, and high delivery costs. Its success rested on strong policy legitimacy, coordinated institutional support, and targeted financial instruments that made off-grid solar deployment more investable, even though execution remained constrained by terrain, affordability, community engagement, and evolving regulatory conditions.

What worked:

- Preparation clarified demand, cost, risk, and delivery assumptions.
- Guarantees targeted specific risks rather than masking weak projects.
- Public or institutional commitments became more credible.
- Community risks were surfaced before rollout.

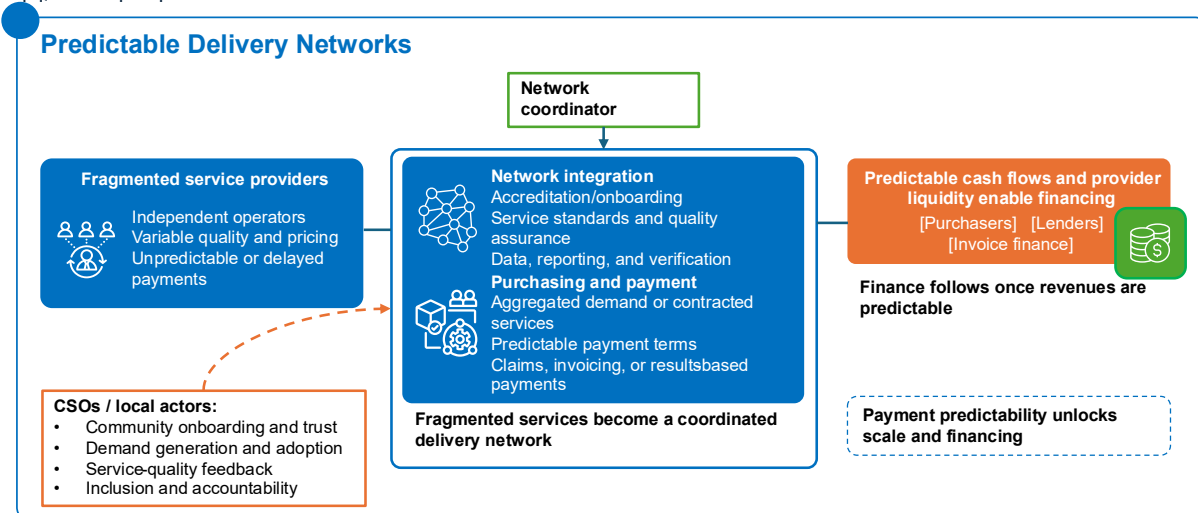


Part X. Model 3 – Predictable Delivery Networks

10.1 What problem the model solves

Predictable Delivery Networks address situations where service capacity already exists, but remains fragmented, weakly coordinated, or difficult to finance because demand, standards, verification, and payment are not sufficiently structured.

Figure 19: From fragmentation to reliability: integrating providers, standards, verification, and payment into predictable



In many sectors, CSOs, local providers, SMEs, private firms, public agencies, and community-facing organizations are already delivering important services. Clinics provide care, pharmacies distribute medicines, extension agents support farmers, energy service companies maintain distributed assets, and logistics providers move goods across difficult markets. The problem is not always the absence of service providers. The problem is that these providers often operate in disconnected systems with uncertain payment, variable standards, weak visibility, and limited access to working capital.

This model converts fragmented service capacity and existing delivery activity into coordinated, scalable, and sustainable delivery networks. It does this by linking providers to clearer demand, common standards, verification mechanisms, payment rules, and, where needed, liquidity or working-capital support.

The purpose is not to over-formalize every local delivery relationship. It is to create enough structure for service providers to become more reliable partners, and for purchasers, funders, lenders, or public actors to engage with confidence.



At its core, this model helps answer one practical question:

Can existing service providers be organized into a trusted network where demand, quality, payment, and accountability are predictable enough to support scale?

10.2 Where it applies

This model is most relevant where delivery actors already exist but are not yet integrated into a reliable system of demand, standards, verification, and payment. It is especially useful in service-heavy markets where scale depends less on a single asset or project and more on coordinating many providers over time.

Health

This model can apply to clinics, pharmacies, diagnostic providers, digital health platforms, provider integration systems, and other health-service networks.

In health, fragmented providers may already serve significant demand, but lack predictable reimbursement, common quality standards, claims discipline, or access to working capital. A predictable delivery network can help integrate providers into more structured purchasing, accreditation, reporting, and payment arrangements.

This can support service continuity, quality assurance, provider financing, and wider access without assuming that all delivery must be public or centrally operated.

Agriculture

This model can apply to extension services, mechanization providers, veterinary services, input distribution, fortification, aggregation agents, and other farmer-facing or value-chain services.

In agriculture, service provision often depends on dispersed actors operating across fragmented geographies and seasonal demand cycles. Farmers may need inputs, advisory, mechanization, veterinary support, storage, or market access, but providers may struggle to scale where demand is uncertain, payment is irregular, and service standards vary.

A predictable delivery network can help organize providers around clearer service obligations, demand aggregation, performance expectations, and payment or financing mechanisms.

Energy

This model can apply to distributed energy service companies, clean cooking providers, maintenance networks, solar irrigation operators, appliance-service providers, and other decentralized energy-service models.

In energy, the challenge is often not only asset deployment, but sustained use, maintenance, payment, and service continuity. Distributed energy models can scale when customers, providers, financiers, and public or donor programs have confidence that services will be delivered, monitored, paid for, and maintained over time.

Predictable delivery networks can help turn decentralized energy providers into more reliable service systems.

Logistics

This model can apply to cold chain, warehousing, last-mile delivery, rural distribution, health commodity logistics, and food-system logistics.

In logistics, delivery reliability depends on coordination across multiple actors, routes, assets, and service points. Where service standards, delivery schedules, payment arrangements, and accountability are unclear, providers may remain sub-scale or unreliable.

A predictable delivery network can create a more structured basis for service contracts, performance monitoring, working capital, and expansion.

10.3 Transaction mechanics

Predictable Delivery Networks work by organizing service providers around clearer rules of participation, delivery, verification, payment, and accountability.

Typical mechanics include:

- **Accreditation or onboarding** to define which providers can participate and under what conditions;
- **Service-level agreements** that clarify expected services, quality standards, reporting obligations, and performance requirements;
- **Demand aggregation** through public purchasers, anchor buyers, platforms, insurers, aggregators, or program sponsors;
- **Payment rules** that define who pays, when payment is made, what triggers payment, and how delays are handled;
- **Invoice, claims, or service verification** to confirm that services were delivered according to agreed standards;
- **Working-capital support** to help providers manage the gap between service delivery and payment;
- **Liquidity buffers** to reduce disruption from payment delays or seasonal revenue cycles;
- **Data reporting and feedback systems** that allow purchasers, providers, CSOs, and financiers to monitor service continuity, quality, and accountability.

The model works best when payment predictability and service accountability are designed together. Payment without quality standards can weaken trust. Standards without reliable payment can weaken provider participation. Verification without liquidity support can still leave providers unable to scale.

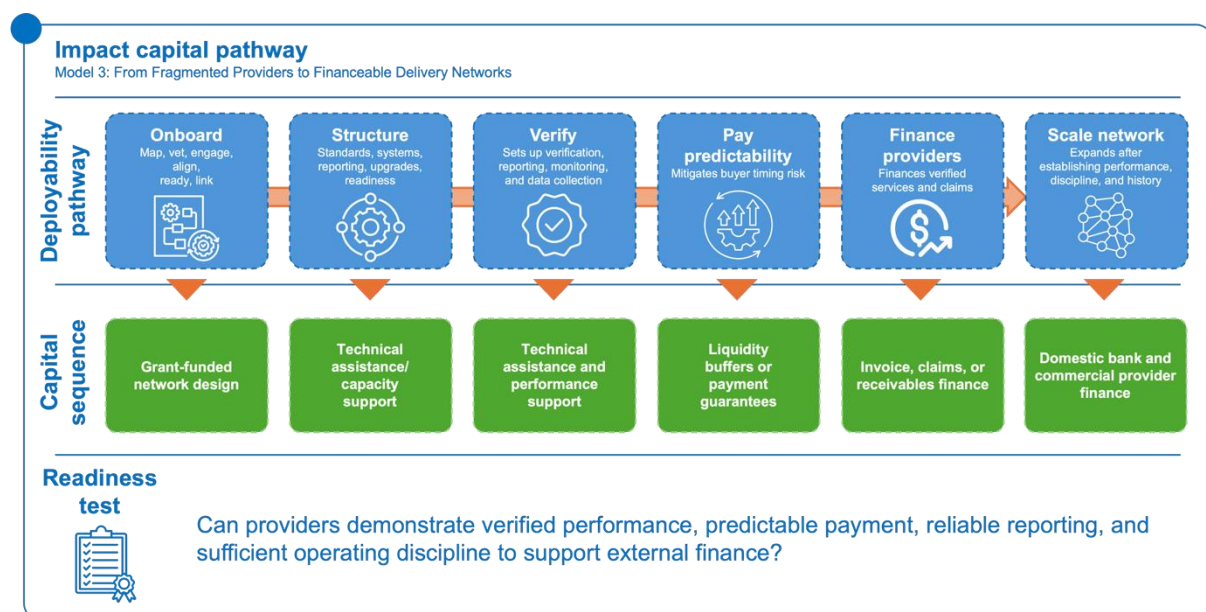
A predictable network requires enough structure to create confidence, but enough flexibility to accommodate local delivery realities.

10.4 Impact Capital Pathway: From Fragmented Providers to Financeable Delivery Networks

Predictable delivery networks require capital to move in stages as fragmented providers become more standardized, verifiable, and financeable. Early grant funding supports network design, provider mapping, accreditation frameworks, community engagement, service standards, and purchaser readiness. Technical assistance and capacity support help providers meet quality requirements, reporting expectations, verification rules, and operational standards.

As providers become more structured, working-capital facilities can help bridge timing gaps between service delivery and payment. Liquidity buffers or payment guarantees may then be used where purchaser credibility exists but payment timing remains uncertain. Once services are consistently verified and payment performance becomes predictable, providers may access invoice, claims, or receivables finance. Domestic bank finance and commercial lending become appropriate when provider performance, purchaser discipline, and receivables data are sufficiently reliable.

The key financing question is not whether providers exist. It is whether provider performance, verification, reimbursement, and payment systems have become predictable enough to support sustainable financing and network growth.



Key indicators to track include:

- providers accredited or onboarded;
- providers meeting service standards;
- payment timeline adherence;
- claims or invoice approval rate;
- provider working-capital gap reduced;
- service continuity, uptime, or stock availability;
- user adoption and retention;
- domestic finance participation;
- reduction in service interruptions caused by delayed payments.

Risks to test include:

Risk	Deployability concern	Mitigation
Weak purchaser credibility	Delayed or unreliable payment undermines provider participation and financing.	Strengthen payment rules, purchaser discipline, liquidity buffers, and payment guarantees.
Unsupported accreditation	Providers cannot meet standards, reporting requirements, or quality expectations.	Use technical assistance, phased accreditation, and provider-upgrade finance.
Verification burden	Reporting and verification requirements overwhelm providers.	Apply proportionate verification systems and digital simplification.
Provider liquidity risk	Providers carry working-capital risk between delivery and payment.	Use working-capital facilities, claims finance, and receivables finance.
Exclusion risk	Smaller, informal, or rural providers are excluded from participation.	Apply tiered standards, inclusion safeguards, and targeted support.
Accountability risk	Users lack meaningful feedback, grievance, or accountability mechanisms.	Establish grievance systems, community feedback channels, and social performance monitoring.

For detailed examples of predictable delivery network models in practice, see the **Case Study Compendium**.

10.5 CSO and institutional actor lens

CSO role

CSOs and community-facing organizations can play a central role in making delivery networks legitimate, inclusive, and responsive to user needs.

They can help:

- support community onboarding and awareness;
- strengthen trust between providers, users, purchasers, and public actors;
- validate whether services respond to real demand and adoption patterns;
- identify barriers to access, affordability, quality, or continuity;
- support demand generation where services are useful but underutilized;
- provide service-quality feedback and help surface delivery failures early;
- support grievance channels and accountability mechanisms;
- monitor whether underserved groups are included as the network scales;
- help protect the legitimacy of the model as private or institutional participation increases.

In this model, CSOs are not simply outreach partners. They help make service networks more trustworthy, responsive, and durable.

Institutional actor role

Institutional actors should clarify whether their role is to strengthen the purchaser, finance providers, set standards, coordinate the network, or support the systems that make the network viable.

Their role may include:

- funding or designing accreditation systems;
- supporting purchaser capacity or reimbursement discipline;
- providing working capital, guarantees, or liquidity facilities;
- setting or harmonizing service standards;
- coordinating providers across geographies or service lines;
- supporting verification and accountability arrangements;
- financing provider upgrades, equipment, or digital systems;
- aligning public, philanthropic, and private actors around the same delivery network.



The key strategic question is:

Are we helping providers deliver more predictably and sustainably, or simply adding another program around fragmented services?

10.6 Bankability test and failure modes

Predictable Delivery Networks are more likely to become financeable and scalable when service providers, purchasers, users, and financiers have confidence in the network's demand, standards, payment, and accountability arrangements.

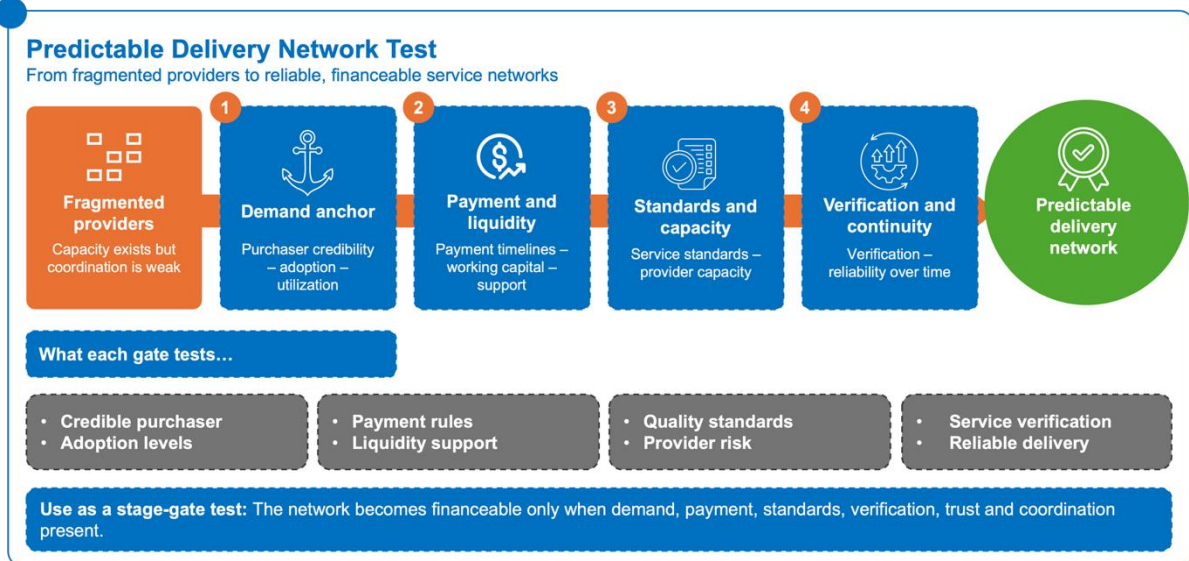
Bankability test

Key questions include:

- **Purchaser credibility:** Is there a credible public, quasi-public, donor, insurer, platform, anchor buyer, or commercial purchaser behind demand?
- **Adoption and utilization:** Are users adopting the service at levels that support operational sustainability?
- **Payment timelines:** Are payment rules clear, reliable, and aligned with provider working-capital needs?
- **Service standards:** Are quality, reporting, and performance expectations clear enough for providers and purchasers?
- **Verification arrangements:** Is there a credible way to confirm that services were delivered as agreed?
- **Provider capacity:** Can providers meet expected standards without taking on unsustainable operational or financial risk?
- **Liquidity support:** Are providers protected from payment delays, seasonality, or working-capital gaps that could disrupt delivery?
- **Continuity and reliability:** Is there enough confidence that the service can be delivered consistently over time?
- **Accountability and trust:** Are users able to raise issues, provide feedback, and see problems addressed?

- **Network coordination:** Is there a clear actor responsible for maintaining alignment between providers, purchasers, funders, and users?

Figure 20: From fragmentation to reliability: pressure-testing demand, payments, standards, and verification to build delivery networks that capital can trust.



Common failure modes

Failure condition	What it means in practice
Unstructured demand	Demand is assumed to exist but is not aggregated, contracted, or translated into predictable purchasing commitments.
Weak purchaser credibility	Purchasers lack the financial strength, discipline, or systems to make timely and reliable payments.
Unsupported provider accreditation	Providers are onboarded or accredited without the operational, financial, or technical support needed to meet required standards.
Misaligned service standards	Standards are either too rigid for local realities (limiting participation) or too vague to ensure accountability and quality.
Burdensome verification systems	Verification processes increase reporting requirements without improving trust, payment reliability, or performance visibility.
Provider liquidity constraints	Service providers carry working-capital risk without access to financing or liquidity support to sustain operations.
Limited CSO integration	CSOs are engaged only for outreach rather than contributing to design, feedback loops, accountability, and adoption.
Late identification of adoption barriers	Barriers to uptake (affordability, trust, access) are recognized too late, affecting utilization and viability.
Payment delays	Delayed payments undermine provider confidence, disrupt service continuity, and weaken the network over time.
Lack of network coordination	No single actor is responsible for managing, coordinating, and sustaining the network over time.

Closing logic

Predictable Delivery Networks are useful when the problem is not a lack of providers, but a lack of structure around how services are purchased, delivered, verified, paid for, and trusted.

For CSOs and development actors, the model creates a way to preserve community relationships, trust, and accountability while supporting more sustainable service delivery. For institutional actors and financiers, the model creates a basis for engaging with fragmented providers through clearer demand, standards, performance expectations, and payment logic.

Model Effectiveness

1



Connects providers to demand and payment

Links existing service providers to structured, predictable demand and reliable payment flows.

2



Protects quality, inclusion, and accountability

Maintains service standards, inclusion safeguards, and accountability systems as the network expands.

3



Builds confidence for sustained participation

Creates enough operational and financial confidence for providers, purchasers, and financiers to engage and remain over time.

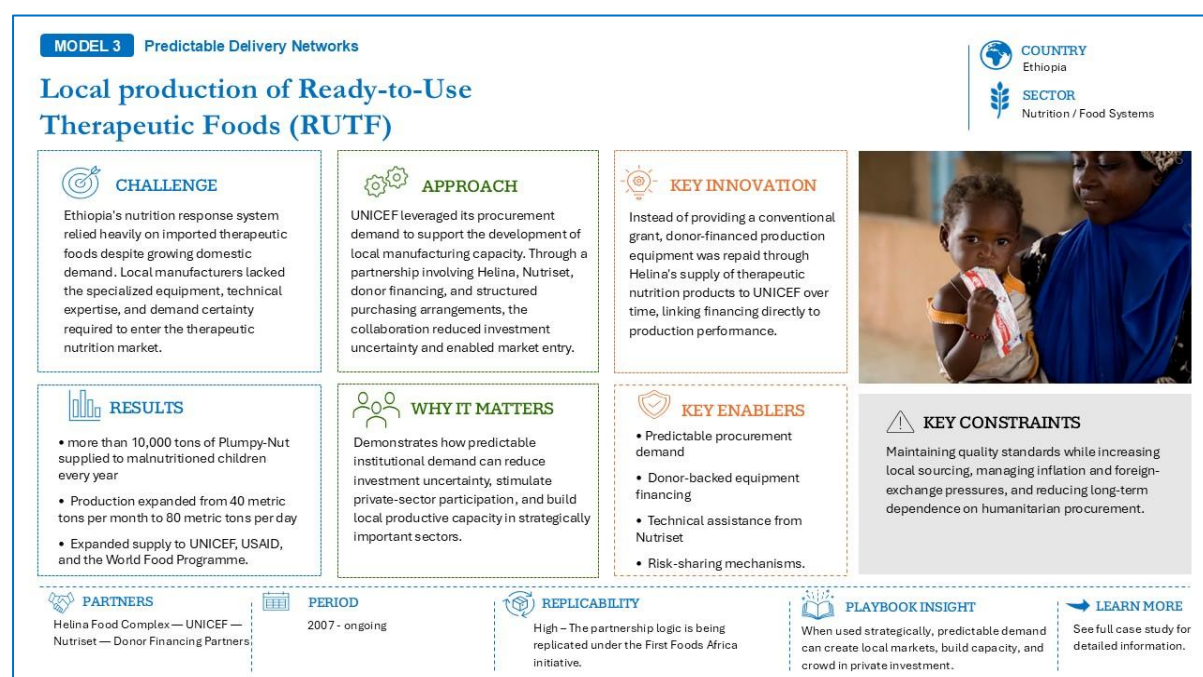
10.7 Illustrative case

In practice, predictable delivery networks become most effective when recurring demand, payment visibility, and service coordination create enough confidence for providers to invest in long-term delivery capacity. Across health, agriculture, and decentralized energy systems, these structures have increasingly helped transform fragmented service activity into more reliable and scalable delivery ecosystems.

The local production of Ready-to-Use Therapeutic Foods (RUTF) in Ethiopia shows how predictable procurement can convert humanitarian demand into domestic production capacity. By using UNICEF's procurement demand, donor-backed equipment financing, technical assistance from Nutriset, and risk-sharing mechanisms, the model helped local manufacturers enter a highly specialized nutrition market that had previously depended heavily on imports. The approach expanded production from 40 metric tons per month to 80 metric tons per day and supplied more than 10,000 tons of Plumpy-Nut to malnourished children each year, while demonstrating that predictable demand can reduce investment uncertainty, support local capacity, and crowd in private-sector participation.

What worked:

- Existing providers were linked to structured demand.
- Standards, verification, and payment rules improved reliability.
- Liquidity support reduced provider fragility.
- CSOs strengthened adoption, feedback, and accountability.



Application and tools

**Sector translation, country
adaptation pathways, a
transaction toolkit, and
monitoring, learning, and
accountability**



Translating partnership models into sector-specific pathways for energy, food and agriculture, and health. The three models respond to the same challenge, turning impact activity into scalable partnership pathways, but deploy differently by sector.

Model Translation by Sector

- 1  **Secures investable energy revenue**
Builds payment confidence through tariffs, payment security, grid access, and community acceptance.
- 2  **Connects fragmented food value chains**
Turns dispersed production into coordinated systems through aggregation, offtake, logistics, finance, and farmer inclusion.
- 3  **Strengthens trusted health purchasing**
Links providers into reliable delivery networks through accreditation, reimbursement, quality controls, and integrated service standards.

CSOs and development actors make these pathways viable by grounding them in demand, trust, inclusion, accountability and delivery reality. These conditions shape investment performance, not only social outcomes.

Sector-model translation overview

Sector	Main constraint	Model application	Conditions for scale	CSO role
Energy	Payment risk, weak preparation, small, distributed assets, regulatory uncertainty	M1: distributed assets; M2: IPPs and infrastructure; M3: last-mile services	Tariffs, PPAs, payment security, standard contracts, grid readiness, local acceptance	Land and affordability monitoring, engagement, grievances
Food and agriculture	Fragmented producers and SMEs, weak offtake, poor logistics, limited finance	M1: aggregation; M2: enabling infrastructure; M3: recurring services	Buyers, quality standards, storage, logistics, finance, fair producer participation	Farmer trust, inclusion, contract fairness, local accountability
Health	Fragmented providers, late payment, weak claims and data systems	M1: provider portfolios; M2: infrastructure and digital systems; M3: provider networks	Accreditation, reimbursement, verification, quality, fiscal credibility	Patient trust, equity, quality feedback, continuity monitoring

11.1 Energy

From isolated assets to credible, affordable and community-legitimate energy systems

Sector proposition

Energy demand does not guarantee investment. Projects scale when revenues are predictable, public counterparties are credible, risks are assigned to the actors that can manage them, and communities accept the service and its cost.

The main barriers are offtaker payment risk, tariff and currency uncertainty, incomplete preparation, slow approvals, weak grid or service systems, and unresolved land or affordability concerns. Energy partnerships therefore require standard contracts, targeted risk support, reliable payment systems and early community engagement. The research identifies payment security, preparation, aggregation and standard documentation as core investment conditions.

11.1.1. How the partnership models translate into energy

Model 1: Aggregation and Warehouse Platforms

Application: distributed energy assets and service portfolios

In energy, this model shows up as portfolio finance for distributed assets and service contracts. It is most relevant where individual opportunities are too small or fragmented to attract finance on their own, such as mini-grids, PAYGo receivables, solar irrigation, productive-use solar, clean cooking, cold-chain energy and maintenance contracts.

The sector translation is simple: aggregation turns fragmented energy demand into a more visible, standardized and financeable portfolio. The key shift is from financing isolated assets to financing a pool of assets with common standards, clearer revenue flows and reusable documentation.

Element	Energy translation
Fragmented opportunity	Mini-grids, PAYGo, solar irrigation, clean cooking and maintenance contracts
Aggregation mechanism	Warehouse facility or portfolio vehicle
Revenue basis	Customer payments, service fees, verified results payments or offtake
Risk support	First-loss tranche, reserve, partial guarantee or currency support
Standardization	Technical specifications, customer contracts, O&M terms and reporting
Scale pathway	Portfolio refinancing through banks, DFIs or institutional investors



The key illustrative signal question is:

Public and donor de-risking can help private providers enter underserved markets by making last-mile energy delivery investable.

Model 2: Integrated Project Preparation + Guarantee Platforms

Application: IPPs, transmission, grid infrastructure and large renewable projects

In energy, this model shows up in IPPs, transmission, grid infrastructure and larger renewable-energy projects. It is most relevant where projects are technically promising but cannot reach financial close because preparation is incomplete or investors cannot absorb payment, policy, currency or regulatory risk.

Project challenge	Platform response
Incomplete preparation	Finance feasibility, grid studies, financial models, safeguards, permits and procurement documents
Offtaker payment risk	Provide liquidity facilities, guarantees, escrow or payment-security structures
Bespoke terms	Standardize PPAs, direct PPAs, concessions, EPC and O&M contracts
Currency exposure	Apply limited currency-risk support where justified
Regulatory uncertainty	Clarify tariffs, connection rules, licensing and review procedures
Fiscal exposure	Apply Value-for-Money tests, liability caps and independent review

The sector translation is that preparation and guarantees must focus on the risks that block bankability: offtaker payment credibility, tariff clarity, grid connection, permits, currency exposure, public liabilities and standardized contracts. The point is not to guarantee weak projects, but to make viable projects investable.



The key Ethiopia–Kenya investment lesson is:
Large energy projects become investable when payment risk is reduced in Ethiopia and revenue/risk-sharing structures are clarified in Kenya.

Model 3: Predictable Delivery Networks

Application: distributed energy services, maintenance and affordable access

Distributed energy depends on service continuity. Maintenance providers, clean-cooking distributors, solar-home-system firms and last-mile agents need clear standards, verified performance and finance linked to reliable delivery.

Network function	Energy translation
Provider onboarding	Qualify suppliers, maintenance firms and last-mile agents
Service standards	Set quality, warranty, uptime, repair and consumer-protection rules
Payment mechanism	Customer collections, verified results payments or targeted affordability support
Verification	Metering, connection records, uptime data and grievance tracking
Finance pathway	Working capital or equipment finance tied to performance
Scale logic	Reliable service supports repeat customers, revenue and expansion

11.1.2. What CSOs contribute in energy partnerships

CSO contribution	Value to the partnership
Demand intelligence	Tests actual needs, productive-use potential and affordability before investment
Land and social-risk identification	Surfaces disputes, compensation concerns and livelihood effects early
Affordability monitoring	Identifies tariffs or payment rules that exclude target users
Community engagement	Builds acceptance and reduces avoidable implementation conflict
Grievance channels	Tracks service, pricing, land and safety failures
Inclusion safeguards	Monitors access for rural households, women, youth and vulnerable groups

CSOs should support affordable access without hiding a model that cannot operate without permanent subsidy.

11.1.3. Energy readiness questions

1. **Revenue and affordability:** Who pays, under what tariff or payment arrangement, and is it credible and affordable?
2. **Counterparty credibility:** Can the utility, purchaser or customer base pay reliably?
3. **Risk allocation:** Who controls construction, operations, payment, currency, policy, land and community risks?
4. **System readiness:** Are grid access, maintenance, monitoring and productive demand adequate?
5. **Community legitimacy:** Are land, benefit, tariff and grievance issues addressed?
6. **Replication:** Can contracts, standards, reporting and risk instruments be reused?



The key energy translation takeaway is:

Energy partnerships scale when secure payment, standard contracts, and targeted risk support are matched with affordable access, reliable service, and community legitimacy.

11.2 Food and Agriculture

From fragmented production activity to inclusive, financeable value chains

Sector proposition

Food partnerships scale when production connects to reliable buyers, logistics, finance and fair participation. Farmers, cooperatives, processors, traders and development actors may already be active, but value remains lost when supply is fragmented, buyers lack consistent quality, storage and transport fail, or connecting SMEs cannot access finance.

The priority is not isolated yield improvement. It is a bankable value chain with clear volumes, standards, prices, delivery terms, risk allocation and benefit sharing. The research identifies cluster infrastructure, enforceable offtake and blended SME finance as the central scaling levers.

11.2.1. How the partnership models translate into food and agriculture

Model 1: Aggregation and Warehouse Platforms

Application: processors, aggregators, cold chain, storage, logistics and productive assets

This model shows up as aggregation of producers, cooperatives, processors, millers, storage operators, logistics providers, productive assets or supply contracts. It is most relevant where supply is fragmented but collectively bankable.

Element	Sector translation
Fragmented opportunity	Farmers, cooperatives, aggregators, millers, processors, storage and logistics providers
Aggregation mechanism	Producer platform, supply portfolio, warehouse vehicle or SME finance facility
Revenue basis	Purchase agreements, procurement contracts, exports, service fees or warehouse receipts
Risk support	First-loss capital, working-capital guarantees, reserves, insurance or technical assistance
Standardization	Quality, traceability, delivery, pricing, contracts and reporting
Scale pathway	Finance against pooled supply and credible buyer demand

The sector translation is that aggregation connects dispersed production to credible buyers, quality standards, working capital and logistics. The focus is less on individual farmers or assets, and more on the missing middle that links production to markets.

Senegal PDIDAS Model in Action: Agricultural Scale

-  **1 Unlocks public support**
Best match for public facilitation, land access, infrastructure, and inclusion.
-  **2 Mobilizes private investment**
Best match for capital, agro-industrial production, and investment.
-  **3 Includes smallholder producers**
Best match for smallholder farmers, productive access, and agricultural inclusion.

Model 2: Integrated Project Preparation + Guarantee Platforms

Application: agro-industrial zones, irrigation, storage, cold chain and logistics corridors

Large agricultural infrastructure becomes investable only when supply, buyers, operating costs, land arrangements and community effects are credible.

Project challenge	Platform response
Infrastructure without buyer demand	Require credible processor, purchaser or offtake commitments before scaling
Weak preparation	Test volumes, throughput, logistics, storage, processing demand and operating costs
Land and community risk	Establish land rules, consultation, compensation, benefit-sharing and grievance processes
SME exclusion	Pair infrastructure with finance, technical assistance and market access
Seasonal cash flows	Use working capital, storage, offtake and targeted risk-sharing
Policy barriers	Clarify standards, licensing, trade, procurement and pricing risks

Ethiopia Agro-Industrial Parks Model: Shared Infrastructure

- 
1 Connects farmers to productive infrastructure
 Links land, infrastructure, and farmer participation so production can enter a more coordinated value chain.
- 
2 Anchors rural transformation centres
 Uses shared agro-industrial platforms to reduce fragmentation and organize production around common infrastructure.
- 
3 Integrates processors and service providers
 Brings processing, services, and market access closer to producers so value chains become more efficient and investable.

Model 3: Predictable Delivery Networks

Application: extension, veterinary services, inputs, fortification, nutrition and market access

Food systems also require recurring services: inputs, extension, veterinary care, mechanization, aggregation, traceability and nutrition delivery. A predictable network qualifies providers, verifies outcomes and links reliable service to payment and finance.

Network function	Sector translation
Provider onboarding	Qualify millers, suppliers, extension providers, veterinarians, aggregators and processors
Service standard	Set quality, safety, fortification, traceability and delivery requirements
Payment mechanism	Processor payments, public procurement, service vouchers, results payments or blended working capital
Verification	Product testing, farmer records, traceability data and procurement compliance
Finance pathway	Working capital, equipment or input finance linked to performance
Scale logic	Verified demand and delivery make local providers financeable

Sanku Fortification Model: Practical Revenue Mechanism

- 1  **Enables nutrition delivery**
Provides the fortification platform that allows small millers to participate in nutrition delivery.
- 2  **Works through small millers**
Uses existing local firms as the delivery channel, making the model practical and closer to communities.
- 3  **Offsets premix costs through packaging revenue**
Creates a revenue mechanism that helps small firms absorb fortification costs and keep delivery workable.

11.2.2. What CSOs contribute in food and agriculture partnerships

CSO contribution	Value to the partnership
Farmer trust	Supports participation in aggregation, service and offtake arrangements
Production intelligence	Tests assumptions on volumes, seasons and adoption barriers
Women and youth inclusion	Prevents platforms from serving only stronger producers
Contract monitoring	Identifies late payments, unfair prices and opaque quality deductions
Capability support	Helps farmers and SMEs meet standards and join market systems
Social accountability	Tracks land, water, labour, livelihoods and benefit-sharing effects

Aggregation creates scale but can reduce farmer voice. Contracts, monitoring and grievance systems must preserve fair participation.

11.2.3. Food and agriculture readiness questions

1. **Demand and offtake:** Is there a credible buyer, processor or public purchaser?
2. **Producer participation:** Can farmers and SMEs meet volume and quality requirements on fair terms?
3. **Infrastructure and logistics:** Are storage, cold chain, transport, power, irrigation and processing adequate?
4. **Finance and risk:** What support addresses the binding constraint?
5. **Policy distortion:** Do trade, pricing, subsidy or procurement rules weaken viability?
6. **Inclusion and legitimacy:** Are smallholders, women, youth and affected communities protected?
7. **Replication:** Can contracts, standards, data and finance arrangements be reused?



The key food and agriculture translation takeaway is:
Food partnerships scale when reliable demand, logistics, finance, and inclusive governance turn dispersed producers and SMEs into coordinated value chains.

11.3 Health

From fragmented providers to predictable, trusted and financeable delivery networks

Sector proposition

Health partnerships scale when private providers connect to reliable purchasing, clear quality rules and patient accountability. Clinics, laboratories, pharmacies, equipment providers and digital-health firms often serve patients already, but weak reimbursement, claims, supply-chain and referral systems keep delivery fragmented.

The main issue is not need for care. It is who pays, when, against what standards and with what patient protections. Accreditation, predictable reimbursement, digital verification, provider integration and credible public stewardship convert existing capacity into a scalable system.

11.3.1. How the partnership models translate into health

Model 1: Aggregation and Warehouse Platforms

Application: provider, pharmacy, diagnostic and equipment-finance portfolios

This model pools accredited providers, equipment needs or verified claims that are too small for efficient financing individually.

Element	Health translation
Fragmented opportunity	Clinics, pharmacies, laboratories, diagnostics, equipment and provider receivables
Aggregation mechanism	Provider portfolio, equipment-finance facility or claims-backed warehouse
Revenue basis	Reimbursements, insurance claims, service contracts or verified procurement payments
Risk support	First-loss facility, claims liquidity buffer, guarantee or concessional working capital
Standardization	Accreditation, quality, coding, claims documentation and reporting
Scale pathway	Finance against visible service demand and credible payment flows

Aggregation requires reliable quality controls and payment data. Pooling uncertain claims or weak providers does not make them investable.

Model 2: Integrated Project Preparation + Guarantee Platforms

Application: hospitals, diagnostics, equipment PPPs and digital health infrastructure

Health infrastructure and technology require preparation that tests service financing, utilization, quality, data governance and continuity of care.

Project challenge	Platform response
Infrastructure without service financing	Link preparation to utilization, reimbursement and operating budgets
Equipment without maintenance incentives	Tie payments to uptime and verified service
Fragmented digital systems	Define interoperability, data governance, adoption and purchasing pathways
Public payment risk	Use bounded liquidity or payment-security mechanisms tied to clear claims rules
Quality and equity gaps	Set clinical, access, inclusion and grievance requirements
Unclear fiscal exposure	Assess long-term budgets, reimbursement obligations and liabilities

Risk support should solve defined payment or delivery constraints. It should not replace purchasing reform or finance uncontrolled expansion.



The key Kenya health delivery takeaway is:
Private capacity becomes more useful when it is tied to public standards, shared data, and measurable performance.

Model 3: Predictable Delivery Networks

Application: integrated provider networks, strategic purchasing and digital health

This is health's most direct pathway. A coordinated network links accredited clinics, laboratories, pharmacies and digital-health providers to standards, claims, payment, procurement and supervision.

Network function	Health translation
Provider onboarding	Accredit or empanel clinics, labs, pharmacies and digital-health providers
Service standards	Set quality, reporting, patient-protection, referral and continuity rules
Payment mechanism	Insurance reimbursement, public purchasing, claims settlement or service contracts
Verification	Digital claims, provider registries, quality audits, referral data and fraud controls
Finance pathway	Working capital, equipment or supply-chain finance tied to verified payment
Scale logic	Reliable payment and oversight support responsible expansion

Accreditation → Predictable payment → Finance → Expanded, accountable delivery

11.3.2. What CSOs contribute in health partnerships

CSO contribution	Value to the partnership
Patient trust	Supports uptake of integrated private delivery
Access and equity monitoring	Identifies exclusion of rural, low-income and vulnerable groups
Quality and continuity feedback	Tracks stock-outs, interrupted treatment, referral failures and poor care
Grievance channels	Captures denial of care, informal charges, mistreatment and privacy failures
Data and consent safeguards	Protects patients in digital claims and health-information systems
Public-value accountability	Tests whether private participation improves affordability, access and quality

11.3.3. Health readiness questions

1. **Purchaser credibility:** Can the public agency, insurer or buyer pay reliably?
2. **Accreditation and quality:** Are entry rules, supervision and sanctions clear?
3. **Claims and payment:** Are verification and settlement timelines workable?
4. **Provider integration:** Can providers connect to referrals, reporting, procurement and public-health priorities?
5. **Finance and liquidity:** Can predictable payment unlock working capital or equipment finance?
6. **Fiscal credibility:** Are commitments and risk tools affordable over time?
7. **Trust and equity:** Does the model protect affordability, inclusion, privacy, quality and continuity?
8. **Replication:** Can the same rules and systems apply across facilities and regions?



The key health translation takeaway is:

Health partnerships scale when reliable purchasing, quality rules, and claims systems turn fragmented providers into trusted delivery networks.

Cross-sector conclusion: What the translation reveals

The same three models travel across energy, food and agriculture, and health, but they do not solve the same problem in the same way.

Table 4: Same issues, different sectors: translating shared constraints into energy, agriculture, and health realities – and roles that make them work.

Cross-sector issue	Energy expression	Food and agriculture expression	Health expression
Revenue predictability	Tariffs, PPAs, payment security	Offtake, procurement, processor demand	Reimbursement, claims, purchasing
Preparation and risk	Grid studies, guarantees, off-taker risk	Land, infrastructure, production and market risk	Utilization, quality, purchaser and continuity risk
Aggregation	Distributed assets and receivables	Farmers, SMEs, storage and logistics	Providers, pharmacies, diagnostics and equipment
Delivery networks	Maintenance and last-mile services	Inputs, extension, fortification and veterinary services	Accredited providers and digital health systems
Legitimacy	Land, affordability, acceptance	Farmer trust, inclusion, benefit-sharing	Patient trust, quality, equity, continuity
CSO role	Community risk and accountability	Farmer voice and fair participation	Patient protection and uptake

In energy, the binding issue is often payment credibility, risk allocation and service continuity. Partnerships must make revenues reliable, counterparties credible and services trusted by communities.

In food and agriculture, the binding issue is value-chain fragmentation. Partnerships must connect producers, SMEs, infrastructure, buyers, logistics and finance into arrangements that are both bankable and fair.

In health, the binding issue is predictable and accountable service delivery. Partnerships must link providers to purchasing, quality standards, claims, referrals, patient protection and public stewardship.

The common lesson is that partnership models only scale when they are translated into the operating reality of each sector. Aggregation, preparation and delivery networks are not generic instruments. They become effective when they respond to each sector's specific revenue logic, delivery structure, risk profile and accountability requirements.

Part XII. Country adaptation pathways

12.1 Adaptation is not model selection

The selection of Model 1 (Aggregation and Warehousing Platforms), Model 2 (Integrated Project Preparation and Guarantee Platforms), or Model 3 (Predictable Delivery Networks) should not be determined by country classifications or readiness scores.

Models are selected based on the specific constraint or opportunity they are intended to address. Multiple models may therefore be relevant within the same country, sector, or implementation environment.

Country context does not determine which model should be chosen. Instead, it helps users understand the conditions that may influence implementation, feasibility, sequencing, risk, and overall effectiveness.

The purpose of country adaptation is therefore to answer a practical question: **what conditions must be strengthened, sequenced, coordinated, or de-risked for the selected model to work in this context?**

Figure 21: Seven contextual conditions that shape how partnership models are sequenced, adapted, and implemented.



12.2 Conditions shaping the application of partnership models

Country context does not determine which model should be selected, but it can influence whether a model can be implemented successfully. Before applying a model, stakeholders should assess the factors that may support or constrain implementation and identify what may need to be strengthened, coordinated, or de-risked.

Legal and Regulatory Frameworks

The legal and regulatory environment can directly affect implementation. Clear regulations, predictable approval processes, and effective contract enforcement can support implementation and encourage participation from public and private actors. Conversely, regulatory uncertainty, administrative delays, or conflicting policies can slow progress and increase implementation risks. Stakeholders should assess whether existing regulations support the proposed intervention and whether policy or regulatory barriers need to be addressed.

Payment Credibility

Many partnership models depend on reliable financial flows and predictable payment arrangements. Delayed payments, uncertain funding commitments, or weak financial management systems can undermine implementation and reduce confidence among partners and investors. Stakeholders should assess whether payment obligations are likely to be met

and whether financing arrangements are sufficiently reliable to sustain implementation over time.

Preparation Capacity

The success of a model often depends on the ability of institutions and organizations to prepare, manage, and implement projects effectively. Weak project preparation, limited technical expertise, or insufficient management capacity can delay implementation and reduce impact. Stakeholders should assess whether the necessary skills, systems, and resources are available and identify any capacity gaps that may need to be addressed before implementation begins.

Capital Depth

Access to financing can significantly influence the scale and speed of implementation. In some contexts, sufficient capital may be available through commercial banks, investors, donors, or development finance institutions. In others, limited financing options may constrain implementation or require additional risk-sharing mechanisms. Understanding the financing landscape helps stakeholders determine whether adequate funding can be mobilized and sustained.

Localization and African Ownership

The extent to which implementation strengthens local institutions, domestic capital participation, local enterprises, and long-term ownership can influence both sustainability and scale. While localization and African ownership do not determine which model is selected, they can affect how a model is financed, governed, implemented, and sustained over time.

Stakeholders should assess who is leading implementation, whether local SMEs, providers, and institutions are being strengthened, whether domestic sources of capital can participate, and whether accountability mechanisms remain close to the communities affected by the intervention. They should also consider who will own and govern the platform, network, asset, or capability over the long term, and whether the approach reduces or deepens dependence on external actors.

Understanding these dynamics helps stakeholders assess whether implementation will contribute to stronger local systems, deeper domestic capital participation, greater institutional resilience, and more sustainable ownership outcomes over time.

Enabling Systems

Effective implementation often depends on supporting systems such as coordination mechanisms, data systems, monitoring processes, procurement arrangements, and implementation partnerships. Even when a model is well designed, weak supporting systems can create delays and inefficiencies. Stakeholders should assess whether the necessary systems are in place to support implementation and identify areas that require strengthening.

Legitimacy and Trust

Implementation is more likely to succeed when institutions and organizations are perceived as credible and trustworthy by stakeholders and beneficiaries. Low levels of trust can reduce participation, weaken collaboration, and create resistance to change. Stakeholders should consider whether key actors have the legitimacy required to lead implementation and whether additional efforts are needed to build confidence and stakeholder buy-in.

Political Economy

Political priorities, institutional incentives, and stakeholder interests can influence implementation outcomes. Even technically sound interventions may face challenges if they conflict with existing interests or lack sufficient political support. Understanding the political and institutional landscape can help stakeholders anticipate risks, manage resistance, and sequence implementation more effectively.

Taken together, these factors influence implementation feasibility, risk, sequencing, sustainability, domestic participation, and long-term ownership. Assessing them early can help stakeholders identify what conditions need to be strengthened before applying a model in a specific context.

12.3 Illustrative country considerations

The following illustrate how different structural conditions within and across countries shape how a model is executed. Kenya, Ethiopia, and Senegal are not presented as prescriptive cases or “better” environments for any given approach. Instead, they highlight how context influences the design, sequencing, and implementation of the same underlying model.

The intent is to show that, even when objectives are aligned, execution conditions can vary significantly – meaning a single model can take very different forms in practice depending on where and how it is deployed.

Kenya: a more advanced ecosystem but characterized by fragmentation and platform competition

Kenya illustrates an environment where certain market components are already relatively mature, particularly in digital finance, innovation, and the presence of private-sector actors.

This generally enables faster model execution, but it also introduces specific challenges:

- Strong presence of multiple actors (public, private, fintechs, NGOs), which can create coordination and duplication issues.
- Risk of solution fragmentation, where multiple platforms coexist without meaningful integration.
- Competition for the same flows (funding, beneficiaries, data), which can reduce the efficiency of integrated models.
- Relatively strong ecosystem capacity, but high dependence on governance and alignment mechanisms.



Implementation

In this type of context, the question is not only “**can the model be implemented?**”, but also “**how do we avoid fragmentation and ensure interoperability?**”

Ethiopia: strong public coordination but market and capacity constraints

Ethiopia illustrates a context where the state plays a strong structuring role, with significant planning capacity, but where certain market conditions remain limited.

Implications for model execution include:

- Strong centrality of public actors in structuring and validating interventions.
- Implementation capacity that is sometimes concentrated but uneven across sectors and regions.
- Limited access to capital and guarantee mechanisms, often requiring external strengthening.
- Markets still under development, which may slow deployment but improve strategic alignment.



Implementation

Models often require substantial upfront preparation, **institutional strengthening, and structuring before becoming fully operational.**

Senegal: an intermediate environment with strong reliance on partnerships

Senegal can be understood as an intermediate context, where relatively stable institutional dynamics coexist with an ecosystem that is still developing.

This translates into:

- High importance of partnerships between public actors, donors, and the private sector.
- Existing institutional capacity but sometimes constrained by resources and coordination challenges.
- Presence of pilot initiatives, but difficulty scaling without strong structuring mechanisms.
- Strong dependence on the quality of upfront project design.



Implementation

The success of models depends heavily on the quality of initial design, clarity of roles, and the ability to structure effective scaling pathways.

12.4 Cross - system implications

Across all three models, performance is primarily determined by system conditions, not design. CSOs, donors, DFIs, and institutional actors should apply a consistent **system readiness check** before deployment and during scale-up.

System readiness

Verify whether the enabling infrastructure is in place for execution. This includes functional administrative systems, usable data and digital infrastructure, and the ability for actors to exchange information and coordinate in practice. Where this backbone is weak, models will not operationalize effectively.

Coordination reality

Test how coordination works in practice, not on paper. Confirm whether actors actually align across government, CSOs, donors, and private sector, or whether coordination remains project-based and informal. Weak coordination leads to duplication and parallel systems.

Financial flow reliability

Ensure financial flows are predictable, timely, and executable. Assess whether disbursement systems function without structural delays and whether funding can move efficiently across implementing layers. Unreliable flows directly degrade execution quality.

Implementation capacity

Confirm where execution capacity sits and whether it matches delivery requirements. Many systems have strong central capacity but weak subnational implementation. Where capacity is uneven, scaling will not translate into performance.

Incentive alignment

Assess whether institutional incentives support coordination or fragmentation. Misaligned incentives across public institutions, donors, and CSOs remain a primary driver of system inefficiency even when coordination frameworks exist.

Governance clarity

Verify that decision rights, execution responsibility, and accountability are clearly assigned. Where governance is ambiguous or distributed without coordination authority, systems default to ad hoc decision-making and slow problem resolution.

Sequencing logic

Test whether the system is ready for scale or requires foundational strengthening first. Premature scaling of pilots without validated systems, interoperability, or capacity readiness increases the probability of failure.

Risk patterns

Identify dominant system failure risks before deployment. These typically include fragmentation, weak preparation, coordination breakdown, scaling failure, or financial instability. Risk identification should directly inform design and sequencing choices.

Synthesis

Across all three models, the core discipline is **system fit validation prior to deployment**. The key question shifts from model selection to system readiness: what conditions must be in place for the model to function, scale, and sustain impact in this specific context.

Part XIII. Transaction toolkit

13.1 How to Use the Companion Toolkit

This Playbook provides the framework, diagnostic logic, partnership models, role-selection guidance, capital sequencing concepts, and systems perspective needed to design deployable partnership pathways. The practical application tools are provided separately through the Companion Toolkit, which is intended to support structured assessment, decision-making, implementation planning, monitoring, and learning. The Toolkit translates the concepts presented throughout this Playbook into practical decision-support resources that can be used by CSOs, governments, foundations, DFIs, development actors, intermediaries, investors, SMEs, and institutional strategy leaders. The Toolkit should be used alongside the Playbook rather than as a standalone resource. The Playbook explains why particular decisions matter and when different approaches are appropriate; the Toolkit provides the worksheets, scorecards, diagnostics, templates, and decision-support tools needed to apply those concepts in practice.

The Toolkit includes both cross-cutting resources and model-specific resources. Cross-cutting tools support diagnosis, role selection, capital planning, risk assessment, and monitoring across all partnership models. Model-specific tools provide tailored worksheets and templates for Aggregation and Warehouse Platforms, Integrated Project Preparation and Guarantee Platforms, and Predictable Delivery Networks.

Attention should be given to the **Impact Capital Continuum Worksheets**, which provide practical guidance on capital sequencing across different stages of deployability. Separate worksheets are provided for each partnership model to reflect their different financing pathways, risk profiles, and progression toward domestic and commercial capital participation. Together, the Playbook and Toolkit are intended to help users move from diagnosis, to model selection, to execution planning, to implementation, monitoring, and learning in a structured and repeatable way.

13.2 Toolkit Structure and Purpose

The Toolkit is organized around six practical functions that mirror the stages of partnership development.

Toolkit function	Purpose	Illustrative tools
Diagnose	Identify the primary constraint preventing deployability	Binding-Constraint Diagnostic; Deployability Scorecard
Select Model	Determine which partnership model best addresses the identified constraint	Model-Selection Decision Tree
Assign Roles	Clarify institutional responsibilities and identify gaps	Stakeholder Role Matrix; Actor Misalignment Map
Structure Capital	Identify appropriate financing pathways and sequencing logic	Impact Capital Continuum Worksheet; Model-Specific Impact Capital Pathway Worksheets; Capital Stack Template
Assess Risk	Allocate risk and select mitigation instruments	Risk-Instrument Matching Tool; Risk-Allocation Matrix; Purchaser Credibility Checklist
Monitor Outcomes	Track implementation, performance, learning, and adaptation	Monitoring Templates; Partnership Performance Dashboards



Full templates for these tools are provided in the accompanying Transaction Toolkit. This section summarizes the core tools and their intended use.

Part XIV. Monitoring, learning, and accountability

14.1 Financial and delivery metrics

Financial and delivery metrics will help assess how collaboration models perform and mature over time as implementation progresses. Beyond measuring outputs, these indicators provide insight into the consistency of implementation processes, the deployability of financing structures, the strength of institutional coordination, and the gradual reduction of dependency on intensive external support.

Together, these indicators help assess whether collaboration approaches are becoming more operationally reliable, financially sustainable, and capable of supporting long-term implementation at scale.

Table 5: From metrics to maturity: tracking if capital moves, delivery holds, and markets sustain beyond subsidy.

Strategic objective	Illustrative indicators
Assess financing efficiency and investment readiness	Time to close; capital mobilized; leverage ratio
Evaluate financial discipline and operational credibility	Payment discipline; guarantee utilization
Measure implementation reliability and performance consistency	Delivery reliability; default/performance data
Assess long-term sustainability and market maturation	Repeat transactions; subsidy dependence over time

14.2 Social and legitimacy metrics

As collaboration models expand, long-term sustainability also depends on how implementation is perceived and experienced by affected populations. Social and legitimacy metrics will help capture whether delivery approaches remain accessible, trusted, responsive, and accountable as implementation scales across different communities and user groups.

Table 6: From inclusion to legitimacy: tracking whether systems stay affordable, accountable, and trusted over time.

Strategic objective	Illustrative indicators
Evaluate inclusion and affordability	Access and inclusion; affordability
Assess responsiveness to affected populations	Community feedback; grievance resolution
Measure implementation quality and accountability	Provider accountability; service quality
Track legitimacy, trust, and long-term adoption	Adoption; trust

14.3 Monitoring Progress Along the Impact Capital Continuum

Not all partnership progress is reflected in service outputs or financial performance alone. A key objective of deployability is to create conditions in which opportunities can move progressively from grant-supported activity toward more sustainable, repeatable, and financeable structures. Monitoring should therefore track not only implementation outcomes, but also movement along the Impact Capital Continuum. The following indicators can help assess whether a partnership is becoming more deployable over time:

Indicator	What it measures
Grant dependency reduced	Extent to which the partnership relies less on recurring grant funding over time.
Catalytic capital crowd-in ratio	Amount of additional capital mobilized per unit of catalytic or concessional capital deployed.
Guarantees mobilized against specific risks	Use of guarantees or risk-sharing instruments linked to clearly identified risks rather than generalized support.
Domestic capital participation	Share of financing provided by domestic banks, pension funds, insurers, public funds, corporates, or local investors.
Commercial capital mobilized	Amount of market-based finance attracted as deployability improves.
Refinancing achieved	Extent to which early-stage capital is replaced by longer-term financing once performance is demonstrated.
Capital recycled	Amount of capital repaid, refinanced, or redeployed into new opportunities.
Transaction costs reduced	Reduction in time, administrative burden, legal costs, or structuring costs resulting from standardization and repetition.
Time to financial close reduced	Improvement in the speed with which opportunities move from preparation to financing and implementation.
Repeatable structures reused	Frequency with which contracts, templates, risk-allocation approaches, procurement structures, or delivery arrangements are reused across opportunities.

These indicators should be interpreted alongside sector, delivery, social-impact, and institutional-performance metrics. Not every partnership is expected to move fully toward commercial financing. In some cases, grant funding or public financing will remain appropriate. The purpose of these indicators is to assess whether the partnership is becoming more structured, more efficient, more financeable, and more sustainable over time.

14.4 Localization, Ownership, and Accountability Metrics

Partnership performance should not be assessed only through financial mobilization, implementation outputs, or service delivery outcomes. Monitoring should also track whether partnerships strengthen local ownership, domestic participation, accountability, and institutional capability over time.

The following indicators can help assess progress toward stronger localization and long-term ownership:

Indicator	What it measures
Local decision-making share	Percentage of key governance, financing, implementation, or strategic decisions led or approved by local institutions or stakeholders.
Local ownership of platforms or institutions	Extent to which platforms, facilities, delivery networks, assets, data systems, or coordinating institutions are locally owned or governed.
Local SME participation	Participation of local SMEs, providers, cooperatives, intermediaries, or enterprises in delivery, procurement, operations, financing, or value chains.
Domestic capital participation	Share of financing provided by domestic banks, pension funds, insurers, public funds, corporates, development banks, or local investors.
Community governance mechanisms	Existence and effectiveness of community oversight structures, advisory groups, user committees, or participatory governance mechanisms.
Women and youth inclusion	Representation, participation, leadership, and access among women- and youth-led organizations, enterprises, providers, or beneficiaries.
Accountability response rates	Percentage of grievances, complaints, feedback reports, or accountability issues addressed within agreed timeframes.

These indicators should be assessed alongside financial, operational, and social-performance metrics. Their purpose is to determine whether the partnership is building stronger local institutions, deeper domestic participation, more responsive accountability systems, and greater long-term resilience.

Strong performance is demonstrated not only by project delivery, but also by increasing local ownership, stronger domestic capital participation, meaningful community accountability, and a gradual reduction in dependence on externally managed systems over time.

14.5 Systems Transformation Metrics

Partnerships should be assessed not only on whether they deliver projects, services, or financing, but also on whether they strengthen the systems that enable future opportunities to be implemented more effectively. Monitoring should therefore track changes in institutional capability, coordination quality, financial systems, and market maturity over time.

The following indicators can help assess systems-level outcomes:

Indicator	What it measures
Institutional capability strengthened	Improvements in the ability of institutions to prepare, procure, finance, coordinate, monitor, and manage partnership opportunities independently.
Coordination quality improved	Increased alignment, information-sharing, role clarity, and collaboration across public, private, civil-society, and financing actors.
Payment systems strengthened	Improvements in payment reliability, reimbursement processes, settlement timelines, collection systems, and payment transparency.
Procurement systems improved	Improvements in procurement readiness, standardization, transparency, transaction efficiency, and contract management.
Data and verification systems improved	Increased availability, quality, interoperability, accountability, and use of performance, financial, operational, or service-delivery data.
Reduced dependency on external grant support	Extent to which delivery, financing, or operations become less reliant on continuing external grant funding.
Stronger local market systems	Growth in domestic market participation, local provider capability, SME participation, domestic capital mobilization, and ecosystem resilience.

These indicators help determine whether a partnership leaves behind stronger systems rather than simply delivering a successful project. Strong performance should be reflected not only in outputs and outcomes, but also in improved institutional capability, stronger coordination, more reliable financial and procurement systems, deeper local market participation, and increased ability to sustain progress over time.

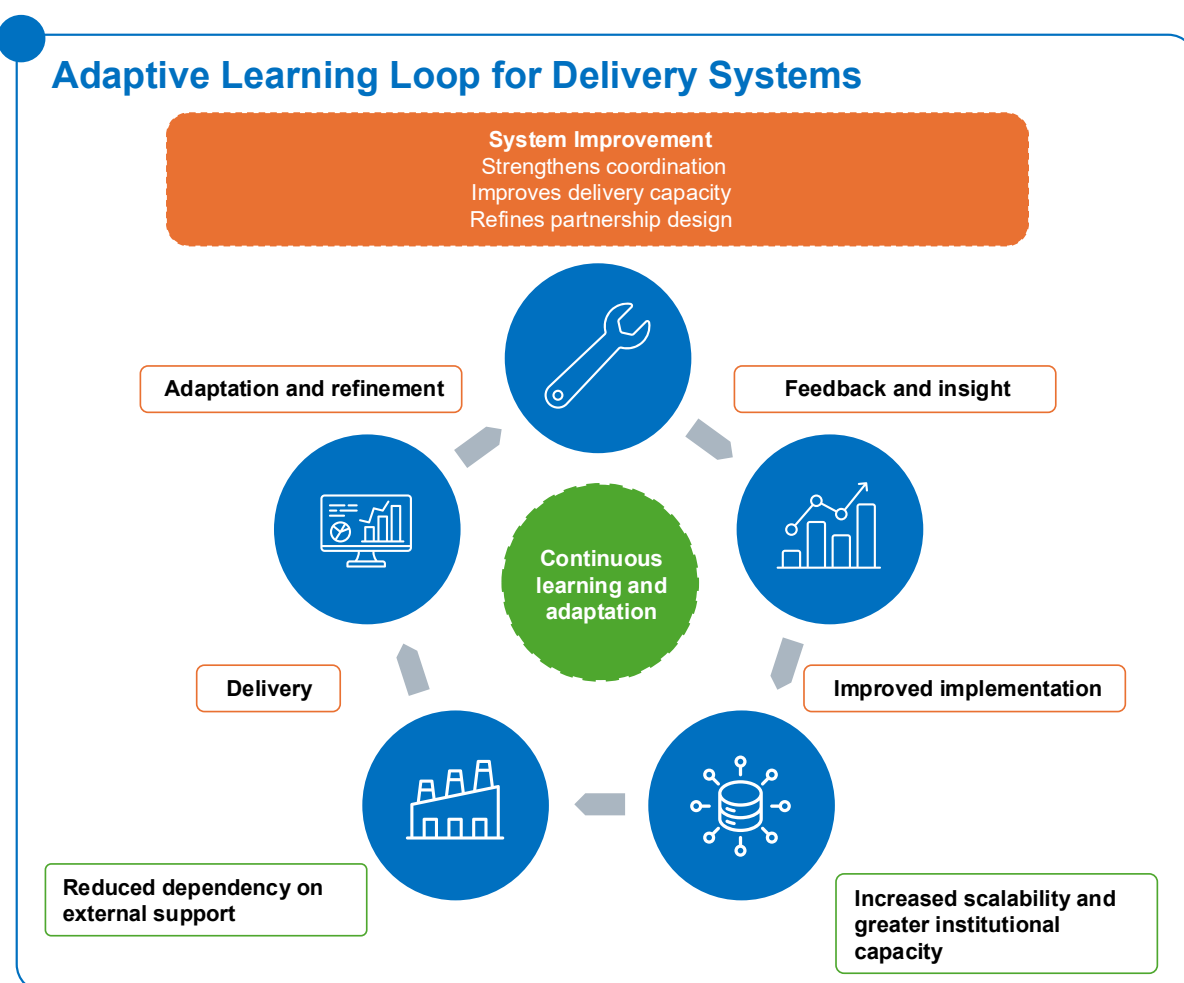
Where possible, systems transformation metrics should be measured at both baseline and follow-up intervals to assess whether partnership activity is creating durable improvements that make future opportunities easier to structure, finance, implement, and scale.

14.6 Learning loops

Monitoring and accountability mechanisms are designed not only to track performance, but also to support continuous adaptation and implementation improvement over time. Performance data, operational feedback, and implementation experience can help identify recurring bottlenecks, refine delivery approaches, strengthen coordination mechanisms, and improve future implementation cycles.

Stakeholders can also use these learning processes to strengthen underlying delivery capacities, reduce long-term dependency on intensive external support, and improve the scalability of collaboration approaches across different contexts.

Figure 22: Close the loop: turn data, delivery, and feedback into continuous system improvement.





Synthesis

Synthesis and annexes

Advancing Partnerships Between Private Sector and Development Actors in Africa

Across sectors and country contexts, the central challenge has not been the absence of social-impact activity, institutional ambition, or even available capital. Each of these elements is already present in most partnership ecosystems. The constraint has been the difficulty of translating these elements into pathways that can be structured, executed, and sustained over time.

Partnerships become deployable when four dimensions align within a coherent and credible system. These dimensions are often developed separately, but they determine success collectively:

- **Capital logic**, which defines whether an opportunity can support financing, risk allocation, and return expectations;
- **Social legitimacy**, which determines whether communities trust, adopt, and sustain the model in practice;
- **Institutional strategy**, which clarifies roles, mandates, and the level of commitment required from each actor;
- **Execution architecture**, which translates intent into delivery systems, coordination mechanisms, and accountable performance over time.

Where this alignment is weak, opportunities remain visible but underprepared—strong in intent but limited in execution, and therefore unable to attract sustained participation or scale. Where it is achieved, however, capital can move with confidence, institutions can commit with clarity, and delivery systems can expand in ways that are operationally viable, financially sustainable, and socially legitimate.

This Playbook has shown that the challenge is not to create new opportunities from scratch, but to better organize, structure, and connect what already exists. Development actors, CSOs, and public institutions are already generating demand visibility, trust, delivery systems, and community relationships. What is required is a clearer pathway that allows these assets to translate into repeatable partnership structures.

15.2 Final proposition

This Playbook does not ask Civil Society Organizations to become investors, nor strategy leaders to become transaction advisors. It does not assume that all development activity should become commercial, nor that all partnerships should be driven by private capital. Instead, it recognizes that different actors bring distinct strengths to partnership systems, and that their value lies in how those strengths are connected.

At its core, this Playbook provides a practical lens for understanding how existing social-impact activity can evolve into structured and scalable partnership pathways. It helps development actors, CSOs, and ecosystem partners move from a focus on intent and activity toward a clearer understanding of execution and sustainability.

In practical terms, it clarifies what must be true for opportunities to become:

- **Structured**, with defined roles, responsibilities, and operating models that move beyond pilot or program logic;
- **Credible**, with clear demand, payment mechanisms, and institutions capable of honoring commitments;
- **Scalable**, supported by coordination systems, standardization, and delivery models that can extend across contexts;
- **Financeable**, aligned with appropriate risk allocation, cash flow visibility, and capital participation;

- **Repeatable**, capable of moving beyond one-off initiatives into sustained and adaptable pathways over time.

These conditions are not theoretical requirements. They represent the practical foundations that determine whether a partnership remains a bounded initiative or evolves into a system capable of lasting impact.

The purpose of the Playbook is therefore not to replace development action, but to **translate it**. It connects social-impact logic, community trust, and delivery experience to the structures required for long-term participation, institutional ownership, and market viability.

In doing so, it reframes the central question facing many actors. The question is no longer whether partnerships are needed, or whether capital is available. It is whether the conditions exist for those partnerships to become deployable, sustainable, and capable of operating at scale.

At its simplest, the shift is from **visible impact to deployable pathways** – from activity to structure, and from structure to sustained execution.

Annex: Development-to-Investment Translation Logic

Social-impact/development-coded framing	Private-sector / strategy translation
Beneficiaries	Clients, users, payers, purchasers, offtakers, or reimbursers
Need	Addressable and bankable demand
Impact	Measurable outcomes plus operational sustainability and viable market participation
Theory of change	Capital deployment and repayment pathway
Program	Pipeline, platform, portfolio, or market structure
Grant support	Market-building, catalytic capital, first-loss, TA, preparation, or de-risking capital
Partnership	Defined roles, risks, incentives, and accountability
Sustainability	Unit economics, recurring revenue, payment discipline, delivery continuity and institutional ownership
Scale	Repeatability, standardization, refinancing, and capital recycling
Inclusion	Demonstrated participation, access, and performance under adapted finance, risk, and delivery conditions
Community engagement	Legitimacy, adoption, trust, feedback, grievance, and accountability architecture
Institutional strategy	Role choice, strategic fit, resource allocation, and executable pathway

Annex: Institutional Role Selection Matrix

If the bottleneck is...	CSO role	Chief Strategy Officer / strategy leader role
Weak demand visibility	Validate need, identify users, build trust, surface adoption barriers.	Assess whether demand can become a strategic pipeline or market opportunity.
Weak payment credibility	Monitor service/payment experience and user protection concerns.	Determine whether to support purchaser strengthening, guarantee, liquidity, or payment mechanism.
Weak preparation	Surface community and social risks before structuring.	Prioritize which opportunities merit preparation resources.
Weak coordination	Convene community actors and build legitimacy.	Align internal and external stakeholders around institutional role and pathway.
Weak inclusion	Monitor access, exclusion, quality, and grievance channels.	Set inclusion as a strategic design condition rather than a downstream safeguard.
Weak trust	Build legitimacy and feedback loops.	Assess whether trust risk affects institutional positioning and execution feasibility.
Weak capital logic	Clarify beneficiary/client distinction and local demand realities.	Translate ambition into capital stack, risk allocation, and deployment pathway.

Annex: Impact Capital Continuum

Purpose of the Continuum

The Impact Capital Continuum describes how different forms of capital may be deployed as an opportunity moves from early-stage development activity toward more deployable, scalable, and financeable partnership pathways.

The Continuum is not a linear funding ladder and should not be interpreted as a requirement that all opportunities progress toward commercial finance. Some activities will remain appropriately grant-funded or publicly financed. The purpose of the Continuum is to help users determine:

- which form of capital is appropriate at a given stage;
- what risks remain unresolved;
- what conditions must be met before additional capital can participate; and
- when progression to other forms of capital is realistic and justified.

The model-specific capital pathways in Parts VIII–X apply this logic to Aggregation and Warehouse Platforms, Integrated Project Preparation and Guarantee Platforms, and Predictable Delivery Networks.

Grant Capital

When it is appropriate

Grant capital is appropriate where activities generate public or social value but do not yet have a credible revenue, reimbursement, purchasing, or repayment pathway.

Typical uses include:

- community engagement;
- inclusion activities;
- market-building;
- demand validation;
- early-stage pilot activities;
- accountability systems;
- public-good functions.

What it should not be used for

Grant capital should not be used indefinitely to sustain activities that require a sustainable operating, financing, or ownership model.

Conditions before moving forward

Before additional capital can participate:

- demand should be better understood;
- delivery assumptions should be tested;
- implementation capability should be visible;
- risks should be identified.

Market-Building Grants

When it is appropriate

Market-building grants strengthen the conditions required for partnership pathways to function.

Typical uses include:

- standards development;
- ecosystem coordination;
- provider readiness;
- pipeline development;
- market intelligence;
- data systems.

What it should not be used for

Market-building grants should not substitute for sustainable financing, purchasing, or ownership arrangements.

Conditions before moving forward

- demand is visible;
- coordination mechanisms exist;
- actors can participate under clear rules and standards.

Technical Assistance

When it is appropriate

Technical assistance supports readiness, capability, and structuring.

Typical uses include:

- feasibility studies;
- legal structuring;
- financial modelling;
- procurement preparation;
- operational improvement;
- accreditation and quality systems.

What it should not be used for

Technical assistance should not compensate for absent demand, weak institutional commitment, or unresolved political barriers.

Conditions before moving forward

- opportunities are sufficiently prepared;
- delivery capability is understood;
- implementation pathways are clear.

Catalytic Capital

When it is appropriate

Catalytic capital helps unlock participation from other actors by absorbing risks that commercial capital cannot accept at an early stage.

Typical uses include:

- early-stage risk absorption;
- demonstration effects;
- crowding in additional investment;
- supporting deployment where uncertainty remains high.

What it should not be used for

Catalytic capital should not mask weak economics, unclear revenue logic, or poorly prepared opportunities.

Conditions before moving forward

- risks are identified;
- risk-sharing logic is clear;
- a pathway exists for additional participation.

First-Loss Capital

When it is appropriate

First-loss capital protects other investors by absorbing initial losses within a portfolio or financing structure.

Typical uses include:

- aggregation platforms;
- portfolio finance;
- SME finance facilities;
- blended finance structures.

What it should not be used for

First-loss capital should not be used where the underlying assets, contracts, or cash flows remain fundamentally weak.

Conditions before moving forward

- portfolio quality is visible;
- performance data is available;
- repayment logic is credible.

Guarantees

When it is appropriate

Guarantees should address clearly defined risks, including:

- payment default;
- political risk;

- completion risk;
- counterparty risk;
- liquidity risk;
- regulatory risk.

What it should not be used for

Guarantees should not compensate for poor preparation, weak project design, or absent demand.

Conditions before moving forward

- risks are explicitly identified;
- responsibilities are clearly allocated;
- guarantee triggers and limits are defined.

Concessional Finance

When it is appropriate

Concessional finance is suitable where a repayment pathway exists but risks, affordability constraints, or market immaturity prevent commercial financing.

Typical uses include:

- transition financing;
- infrastructure development;
- working-capital support;
- provider finance.

What it should not be used for

Concessional finance should not permanently replace sustainable financing arrangements.

Conditions before moving forward

- repayment performance is demonstrated;
- risks are reduced;
- operating systems are functioning effectively.

Blended Finance

When it is appropriate

Blended finance combines concessional, catalytic, philanthropic, public, and commercial resources to support development outcomes.

Typical uses include:

- crowding in commercial capital;
- addressing specific market failures;
- supporting scaling pathways.

What it should not be used for

Blended finance should not be used where the underlying opportunity cannot demonstrate a credible pathway toward sustainability.

Conditions before moving forward

- risk allocation is clear;
- capital roles are defined;
- performance can be measured.

Domestic Capital

When it is appropriate

Domestic capital becomes increasingly relevant when opportunities demonstrate:

- reliable cash flows;
- clear governance;
- repayment discipline;
- operational credibility.

Sources may include:

- banks;
- pension funds;
- insurers;
- corporates;
- public financial institutions;
- local investors.

What it should not be used for

Domestic capital should not be expected to absorb poorly understood risks without appropriate preparation or safeguards.

Conditions before moving forward

- performance data exists;
- payment systems are credible;
- risk allocation is clear.

Commercial Capital

When it is appropriate

Commercial capital is appropriate where opportunities demonstrate:

- credible revenue;
- repayment capacity;
- enforceable contracts;
- manageable risk;
- sufficient scale.

What it should not be used for

Commercial capital should not be expected to finance activities that remain dependent on unresolved structural risks or uncertain payment pathways.

Conditions before moving forward

- performance history is established;
- financing structures are proven;
- revenue and repayment are predictable.

Capital Recycling

When it is appropriate

Capital recycling occurs when capital can be repaid, refinanced, or redeployed into new opportunities.

Typical examples include:

- repayment of concessional capital;
- portfolio refinancing;
- take-out financing;
- revolving facilities.

What it should not be used for

Capital recycling should not be assumed where repayment pathways are unclear or unsupported by actual performance.

Conditions before moving forward

- repayment is demonstrated;
- refinancing mechanisms exist;
- performance information is reliable;
- future deployment opportunities are identifiable.

Key Principle

The Impact Capital Continuum is ultimately a deployability framework. Movement between capital types should occur only when the underlying conditions justify it. The objective is not to maximize commercial finance, but to match the right form of capital to the right stage of readiness while strengthening long-term ownership, sustainability, and implementation capability.

Annex: Stakeholder-Specific Recommendations

Purpose

Different actors contribute to deployable partnership pathways in different ways. Partnership success depends not only on selecting the right model, but also on ensuring that each actor plays a role aligned with its mandate, capability, legitimacy, incentives, and risk-bearing capacity.

The recommendations below provide practical guidance on what each stakeholder group should focus on, what it should avoid being expected to do, and which models or institutional roles are most relevant.

CSOs and Community-Facing Organizations

What should this actor do differently?

- Translate community knowledge into demand intelligence and adoption insights.
- Participate earlier in partnership design rather than only during implementation.
- Surface affordability, legitimacy, inclusion, and delivery risks before financing decisions are made.
- Strengthen accountability, feedback, and grievance systems.
- Help convert social-impact activity into structured partnership opportunities.

What should this actor not be expected to do?

- Absorb significant financial, payment, policy, or working-capital risk.
- Replace government purchasing systems or private-sector operators.
- Carry responsibility for scale without corresponding authority or resources.

Most relevant models and roles

Models

- Model 1: Aggregation and Warehouse Platforms
- Model 3: Predictable Delivery Networks

Roles

- Demand validator
- Accountability partner
- Trust-builder
- Community engagement lead

Donors and Foundations

What should this actor do differently?

- Focus grants on deployability constraints rather than perpetual pilots.
- Support preparation, market-building, system strengthening, and risk reduction.
- Use catalytic resources to crowd in capability and capital.
- Define clear pathways from grant funding to sustainable implementation.

What should this actor not be expected to do?

- Substitute indefinitely for functioning payment systems.

- Finance recurring delivery without an ownership pathway.
- Carry all responsibility for coordination.

Most relevant models and roles

Models

- Model 2: Integrated Project Preparation and Guarantee Platforms
- Model 1: Aggregation and Warehouse Platforms

Roles

- Funder
- Convener
- Catalyst
- Ecosystem builder

DFIs and Development Financiers

What should this actor do differently?

- Focus on preparation, risk allocation, and structured de-risking.
- Use guarantees and concessional finance selectively.
- Support domestic capital participation where feasible.
- Help create pathways toward refinancing and capital recycling.

What should this actor not be expected to do?

- Finance opportunities that remain poorly prepared.
- Replace public accountability or core service stewardship.
- Use risk instruments to compensate for weak design.

Most relevant models and roles

Models

- Model 2: Integrated Project Preparation and Guarantee Platforms
- Model 1: Aggregation and Warehouse Platforms

Roles

- De-risker
- Capital mobilizer
- Structured finance partner

Governments and Public Purchasers

What should this actor do differently?

- Clarify payment commitments and procurement pathways.
- Strengthen project preparation and approval systems.
- Improve payment reliability and procurement discipline.
- Define accountability, quality, and service standards.

What should this actor not be expected to do?

- Transfer unmanaged risks to providers or investors.
- Use guarantees without understanding fiscal exposure.
- Assume private participation automatically improves outcomes.

Most relevant models and roles

Models

- Model 2: Integrated Project Preparation and Guarantee Platforms
- Model 3: Predictable Delivery Networks

Roles

- Public purchaser
- Regulator
- Market steward
- Policy sponsor

SMEs and Private-Sector Operators

What should this actor do differently?

- Participate in standardization and reporting processes.
- Demonstrate operational performance and delivery reliability.
- Build partnerships around verified demand and payment pathways.
- Engage earlier in preparation processes.

What should this actor not be expected to do?

- Absorb policy, payment, or political risks beyond its control.
- Finance public-good functions without compensation.
- Carry system-level coordination responsibilities alone.

Most relevant models and roles

Models

- Model 1: Aggregation and Warehouse Platforms
- Model 3: Predictable Delivery Networks

Roles

- Operator
- Service provider
- Aggregation participant

Investors and Banks

What should this actor do differently?

- Assess payment systems and institutional readiness, not only project economics.
- Engage in portfolio approaches where aggregation increases scale.
- Consider domestic participation pathways and refinancing opportunities.

What should this actor not be expected to do?

- Finance opportunities with unclear revenue logic.
- Enter projects where preparation remains incomplete.
- Replace preparation, coordination, or accountability functions.

Most relevant models and roles

Models

- Model 1: Aggregation and Warehouse Platforms
- Model 2: Integrated Project Preparation and Guarantee Platforms

Roles

- Senior capital provider
- Domestic capital participant
- Refinancing partner

Intermediaries and Ecosystem Orchestrators

What should this actor do differently?

- Move beyond convening to execution support.
- Reduce transaction friction across actors.
- Maintain momentum between design, financing, and implementation.
- Support shared standards, learning, and coordination.

What should this actor not be expected to do?

- Substitute for decision-making authority.
- Carry delivery responsibility on behalf of all actors.
- Act as a long-term owner where ownership should sit elsewhere.

Most relevant models and roles

Models

- Relevant across all three models

Roles

- Ecosystem orchestrator
- Platform convener
- Coordination lead

Strategy Leaders and Institutional Decision-Makers

What should this actor do differently?

- Diagnose the binding constraint before acting.
- Translate ambition into clear institutional roles.
- Align resources, incentives, and implementation pathways.
- Build explicit transition and ownership strategies.

What should this actor not be expected to do?

- Assume partnership activity automatically creates impact.
- Rely on tools or frameworks without operational ownership.
- Remain at the level of strategy without execution accountability.

Most relevant models and roles

Models

- Relevant across all three models

Roles

- Strategy integrator
- Role selector
- Institutional sponsor
- Local ownership steward

Core Principle

The most effective partnerships emerge when actors focus on the functions they are best placed to perform, while avoiding the transfer of responsibilities, risks, and expectations to actors that lack the authority, incentives, capability, legitimacy, or resources to carry them successfully.

Annex: Trade-Offs, Limits, and Appropriate Use

Purpose

The Playbook is designed to help users identify and structure opportunities where partnership pathways can improve delivery, sustainability, accountability, scalability, or financing outcomes. However, not all development activities should be commercialized, and not all partnership opportunities require private-sector participation.

This annex provides a practical framework for assessing when alternative approaches may be more appropriate and when partnership structures may introduce unnecessary costs, risks, or distortions.

The accompanying Toolkit includes a **Trade-Off Assessment Checklist** that can be used to apply these considerations systematically.

When Grant Funding Remains Appropriate

Grant funding remains appropriate where activities generate significant public or social value but lack a credible revenue, reimbursement, purchasing, or repayment pathway.

Examples may include:

- community engagement and trust-building;
- accountability and grievance systems;
- inclusion initiatives;
- advocacy and policy reform;
- market-building activities;
- early-stage innovation;
- public-good functions;
- services for populations that cannot reasonably pay.

Grant funding should not be viewed as a temporary placeholder in all cases. Some functions are appropriately grant-funded because their primary value is social rather than commercial.

Key question

Would introducing repayment expectations, revenue requirements, or commercial returns undermine the core purpose of the activity?

When Public Delivery May Be Preferable

Some services are fundamentally public responsibilities and may be best delivered directly by public institutions.

Public delivery may be preferable where:

- universal access is a primary objective;
- strong public accountability is required;
- market incentives are weak or absent;

- equity concerns are significant;
- private participation would add complexity without improving outcomes.

Private actors may still contribute through technology, logistics, maintenance, procurement, infrastructure delivery, or specialist services, without becoming the primary delivery mechanism.

Key question

Does private participation improve delivery performance or simply introduce additional actors into the system?

When Private-Sector Participation May Undermine Equity

Private-sector participation can expand access and improve performance, but it can also create incentives that unintentionally exclude vulnerable groups.

Risks may include:

- prioritization of more profitable users;
- exclusion of remote or underserved communities;
- affordability barriers;
- service quality differences across income groups;
- reduced access for populations with limited purchasing power.

These risks do not automatically justify excluding private participation, but they require explicit safeguards.

Key question

Could commercial incentives systematically disadvantage the populations the partnership is intended to serve?

When Transaction Costs Exceed Benefits

Partnership structures create coordination, governance, legal, monitoring, and reporting requirements. In some cases, the costs of structuring a partnership may outweigh the benefits.

Warning signs include:

- very small opportunity size;
- limited scale potential;
- highly localized or one-off interventions;
- excessive negotiation requirements;
- disproportionate administrative burden.

In these situations, simpler approaches may be more effective.

Key question

Does the partnership structure create more value than complexity?

When Accountability Risks Cannot Be Managed

Partnerships rely on accountability systems that allow users, funders, providers, and public institutions to monitor performance and address failures.

Partnership approaches may be inappropriate where:

- performance cannot be verified;
- users cannot raise concerns safely;
- grievance systems are absent;
- oversight capacity is weak;
- contractual enforcement is unrealistic.

Weak accountability can undermine both impact and legitimacy.

Key question

Can stakeholders realistically detect, report, and correct failures?

When Commercialization Creates Mission Drift

Commercial participation can support sustainability, but it can also shift attention away from intended development outcomes.

Mission drift may occur when:

- financial performance becomes the primary goal;
- social objectives become secondary;
- incentives prioritize growth over inclusion;
- activities are redesigned primarily to attract investors;
- accountability shifts away from intended beneficiaries.

Mission drift is particularly important for CSOs, foundations, social enterprises, and mission-driven partnerships.

Key question

Would commercialization change the fundamental purpose of the intervention?

Common Warning Signs

The following conditions should trigger additional scrutiny before pursuing a partnership pathway:

Warning sign	Why it matters
No credible payer or revenue pathway	The model may never become sustainable regardless of financing structure.
High transaction costs	Implementation complexity may exceed expected benefits.
Weak accountability systems	Users and communities may be exposed to unmanaged risks.
Significant affordability concerns	Scale may come at the expense of access or inclusion.
Unresolved legitimacy issues	Resistance, mistrust, or low adoption may undermine implementation.
External dependency remains unchanged	The model may not strengthen long-term ownership or resilience.
Commercial incentives conflict with public value	Financial success and development outcomes may pull in different directions.
Risk is shifted to weaker actors	CSOs, SMEs, providers, or communities may absorb risks they cannot manage.

Decision Principle

The purpose of private-sector collaboration is not to maximize commercialization. It is to improve outcomes, strengthen systems, expand access, increase sustainability, and create more deployable pathways where appropriate.

The central question is therefore:

Does private-sector participation create additional public value, or would another approach achieve the same objective more effectively, equitably, and sustainably?

Where the answer is unclear, users should apply the **Trade-Off Assessment Checklist** included in the Companion Toolkit before selecting a model or structuring a partnership.